

23 Folders Suitability

Red Flag Scenarios

50 scenarios | Fact patterns with red flag indicators and regulatory concerns

Red Flag Scenario 1

Topic: *failure_to_know_customer*

Fact Pattern

Margaret Holloway, age 74, is a retired elementary school teacher living in Tucson, Arizona. She has a modest pension paying \$2,800 per month, Social Security income of \$1,650 per month, and a \$410,000 portfolio that represented her entire life savings, accumulated over 38 years of teaching. In March 2022, Margaret visited the branch office of Ridgemont Financial Services after her husband of 49 years passed away. She met with advisor Kevin Stahl, who had been with the firm for three years. Margaret told Stahl she needed safe, income-producing investments because she was worried about outliving her money and had upcoming medical expenses related to a hip replacement surgery scheduled for August 2022. She also mentioned she had never managed investments on her own, as her late husband had always handled their finances. Stahl opened a new account for Margaret but never completed a full client profile form. He did not document her risk tolerance, her investment time horizon, her liquidity needs, her tax situation, or her total net worth. He did not ask about other accounts or debts. Within two weeks, Stahl invested \$295,000 of Margaret's portfolio into a concentrated position across three small-cap technology stocks and a leveraged ETF focused on semiconductor companies. He placed the remaining \$115,000 into a high-yield bond fund with a 4.75% front-end sales load. By October 2022, the technology positions had declined 43%, losing approximately \$126,850 in value. The high-yield bond fund dropped 12%, losing an additional \$13,800. Margaret's portfolio was now worth approximately \$269,350. When Margaret called the branch in November 2022, distressed about her losses and needing \$35,000 for her medical bills, she was told she would need to sell positions at a significant loss to access her funds. Stahl had not returned her three previous phone calls over a six-week period.

Red Flag

Advisor failed to gather essential customer information - including risk tolerance, time horizon, liquidity needs, and financial situation - before making aggressive, concentrated investments completely misaligned with a recently widowed retiree's stated conservative objectives.

Red Flag Indicators

- No completed client profile or new account documentation capturing risk tolerance, time horizon, or financial situation
- 74-year-old recently widowed retiree with no investment management experience placed into speculative small-cap and leveraged products
- Concentration of over 71% of total life savings in volatile technology-sector equities and a leveraged ETF

- Client explicitly stated need for safe, income-producing investments, yet portfolio contained no fixed-income or conservative allocation
- Known near-term liquidity need (hip replacement surgery in five months) was ignored with no liquid reserves set aside
- Front-end sales load of 4.75% charged on bond fund when lower-cost alternatives were available, suggesting commission motivation
- Advisor unresponsive to client communications over a six-week period following significant portfolio losses
- No evidence of any discussion about risks of leveraged ETFs or concentrated sector exposure with the client

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2090 (Know Your Customer), which requires members to use reasonable diligence to know and retain essential facts about each customer. It also potentially violates FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and quantitative suitability obligations. The failure to document the client's investment profile contravenes FINRA Rule 4512 (Customer Account Information). Additionally, Regulation Best Interest (Reg BI) under Securities Exchange Act Rule 15l-1 imposes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations consistent with the customer's investment profile. The advisor's apparent prioritization of commission-generating products may also implicate the Conflict of Interest Obligation under Reg BI. FINRA Rules 3110 and 3120 regarding supervisory systems are implicated if the firm failed to review and flag the account activity.

Recommended Action

The firm's compliance department should immediately freeze the account from further advisor-directed transactions, conduct a full supervisory review of all of Stahl's client accounts for similar documentation deficiencies and unsuitable recommendations, and assign a senior advisor to assess Margaret's current portfolio and develop a remediation plan. The firm should file a complaint with its internal compliance escalation process and consider whether a FINRA Rule 4530 regulatory event filing is warranted. Restitution to the client should be calculated to include portfolio losses attributable to the unsuitable investments plus the front-end load charged. Stahl should be placed on heightened supervision pending an internal investigation, and the branch manager who failed to catch the missing documentation should also be reviewed for supervisory failures. If the investigation confirms the facts, a referral to FINRA Enforcement and potential termination of Stahl should follow.

Red Flag Scenario 2

Topic: annuity_unnecessary_switching

Fact Pattern

Robert and Linda Chen, ages 68 and 65 respectively, are a retired couple in suburban Minneapolis. Robert is a former mechanical engineer and Linda a former dental hygienist. Their combined retirement income from pensions and Social Security totals \$7,200 per month, and they have approximately \$820,000 in investable assets. In January 2020, their longtime advisor at Beacon Wealth Partners, Daniel Ortiz,

recommended they place \$500,000 into a fixed indexed annuity issued by National Fidelity Life Insurance Company. The product had a 10-year surrender period, a guaranteed minimum interest rate of 1.5%, participation in the S&P 500 index capped at 6.5%, and annual fees totaling 1.85%. The Chens purchased the annuity, and Ortiz received a 6.5% commission totaling \$32,500. In September 2021, only 20 months later, Ortiz contacted the Chens and told them he had found a 'much better product' from Pinnacle Assurance Group. He recommended they surrender the National Fidelity annuity and purchase a new variable annuity with Pinnacle for \$500,000. The surrender of the existing annuity triggered a \$42,500 surrender charge (8.5% of the contract value). The new Pinnacle variable annuity had a 12-year surrender period, annual fees of 2.45% including mortality and expense charges and sub-account management fees, an optional guaranteed lifetime withdrawal benefit rider costing an additional 1.10% annually, and a death benefit rider at 0.35% annually. Total annual costs on the new product were 3.90%. Ortiz earned a 7% commission on the new annuity sale totaling \$35,000. In total, Ortiz earned \$67,500 in commissions across the two transactions within 20 months. The Chens were not informed of the full surrender charge amount before signing documents; they later discovered it on a confirmation statement. By March 2023, the new variable annuity's sub-accounts had declined 18% due to market volatility, reducing the contract value to approximately \$375,500 - a total loss of over \$124,000 from the original \$500,000 investment when combined with the surrender penalty. The Chens now face a 12-year surrender schedule starting at 9% if they wish to move their money. Robert Chen has been diagnosed with early-stage Parkinson's disease and the couple anticipates significant long-term care expenses within the next three to five years.

Red Flag

Advisor executed an unnecessary annuity switch - surrendering an existing annuity with substantial penalties to purchase a more expensive replacement product with a longer surrender period - generating \$67,500 in commissions within 20 months while the retired clients suffered significant financial harm and face emerging long-term care liquidity needs.

Red Flag Indicators

- Surrender of an existing annuity only 20 months after purchase, triggering a \$42,500 surrender charge that was not clearly disclosed to the clients beforehand
- Replacement annuity carried materially higher total annual costs (3.90% vs. 1.85%) with no documented justification for why the new product was superior
- New product imposed a longer surrender period (12 years vs. 10 years) on clients already in their late 60s, effectively locking funds until ages 77 and 80
- Advisor earned \$67,500 in total commissions across the two transactions, representing a strong financial incentive to recommend the switch
- Clients were not informed of the surrender charge amount prior to executing the transaction, raising concerns about informed consent and disclosure
- No documented analysis comparing the features, costs, and benefits of the existing annuity versus the replacement product
- Known emerging health concerns (Robert's Parkinson's diagnosis) and likely future long-term care needs create a serious liquidity mismatch with a 12-year surrender product
- Variable annuity sub-accounts exposed conservative retirees to market volatility inconsistent with their income-preservation objectives

Regulatory Concern

This fact pattern implicates multiple regulatory frameworks. FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) requires a principal to review and approve annuity transactions before execution and mandates a reasonable basis to believe the transaction is suitable, including consideration of whether an exchange or replacement is in the customer's interest. The 1035 exchange or surrender-and-replace pattern triggers heightened scrutiny under FINRA Regulatory Notice 10-05 and applicable state insurance replacement regulations, which typically require completion of replacement forms and a comparative analysis. Regulation Best Interest's Care Obligation (Exchange Act Rule 15l-1) requires the advisor to evaluate reasonably available alternatives and consider costs, and the Disclosure Obligation requires full transparency about material fees including surrender charges. FINRA Rule 2111 (Suitability) customer-specific obligations are implicated given the clients' age, retirement status, and emerging healthcare needs. The failure to disclose the surrender penalty before execution may also constitute a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). State insurance regulations governing annuity replacements and suitability - often modeled on the NAIC Suitability in Annuity Transactions Model Regulation - are also likely violated.

Recommended Action

The firm should immediately initiate an internal investigation of the annuity replacement, including a review of all documentation submitted at the time of the switch, any replacement forms or comparative analyses (or lack thereof), and whether a registered principal approved the transaction as required. The compliance department should contact the Chens directly to gather their account of events and assess whether informed consent was obtained. The firm should calculate full restitution including the \$42,500 surrender charge, excess fees paid, and investment losses attributable to the unsuitable replacement, and offer to make the clients whole. All of Ortiz's annuity transactions over the preceding 36 months should be reviewed for a pattern of switching or churning. Ortiz should be placed on immediate heightened supervision with a prohibition on annuity transactions pending the outcome of the investigation. The firm should evaluate whether a FINRA Rule 4530(a) filing or a Form U5 amendment is required, and cooperate with any state insurance department inquiry. If the investigation confirms unnecessary switching motivated by commissions, the firm should consider termination and referral to FINRA Enforcement.

Red Flag Scenario 3

Topic: leveraged_etf_unsuitable

Fact Pattern

Margaret Donnelly, a 71-year-old retired school librarian in Tucson, Arizona, had a \$340,000 IRA rollover account that she opened with advisor Kevin Huang in January 2023. Mrs. Donnelly told Huang during their initial meeting that she needed the account to generate steady income to supplement her \$1,800 monthly Social Security check, that she had no other significant assets besides her home, and that she described herself as a conservative investor who 'cannot afford to lose this money.' Her signed new account form listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her time horizon as '5-10 years,' and her annual income as \$21,600. Between February and September 2023, Huang placed approximately 78% of Mrs. Donnelly's portfolio - roughly \$265,000 - into three-times leveraged ETFs tracking the Nasdaq-100 and the S&P 500 energy sector. Huang told Mrs. Donnelly these were 'index funds that just perform a little better than the regular ones' and did not explain the daily reset

mechanism, compounding decay, or the products' intended use as short-term trading instruments. Huang held these positions for seven to eleven months without rebalancing. During a volatile stretch in Q3 2023, the leveraged Nasdaq ETF experienced a drawdown of 38% from its purchase price. By November 2023, Mrs. Donnelly's account had declined to \$191,000 - a loss of approximately \$149,000, or 43.8% of her original rollover. Meanwhile, Huang earned \$9,100 in commissions on the initial purchases. Mrs. Donnelly discovered the nature of the products only after her grandson, a finance student, reviewed her account statements over Thanksgiving and explained what leveraged ETFs were. She filed a written complaint with the firm on December 4, 2023.

Red Flag

A retired, conservative, income-dependent senior investor was concentrated into highly volatile leveraged ETFs designed for short-term trading, which were held for months, resulting in catastrophic losses representing nearly half her retirement savings.

Red Flag Indicators

- 71-year-old retiree with conservative risk tolerance and income/preservation objectives placed into 3x leveraged ETFs
- 78% portfolio concentration in leveraged products far exceeding any reasonable allocation for the client's profile
- Leveraged ETFs held for 7 to 11 months despite these products being designed for single-day holding periods
- Advisor described leveraged ETFs as 'index funds that just perform a little better' without disclosing material risks, daily reset, or volatility decay
- Client's sole retirement asset of \$340,000 was the account in question, with no other financial cushion besides Social Security
- Account lost 43.8% of its value (\$149,000) in under one year for a client who stated she could not afford losses
- No rebalancing or risk mitigation steps taken during significant drawdown periods
- Advisor earned \$9,100 in upfront commissions incentivizing the product selection

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including customer-specific suitability and reasonable-basis suitability, as leveraged ETFs are complex products generally unsuitable for buy-and-hold strategies and conservative, elderly investors. It also implicates Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the Care Obligation (making recommendations in the customer's best interest considering the investor's profile) and the Disclosure Obligation (failing to disclose material facts about the products' risks and daily reset mechanism). FINRA Regulatory Notices 09-31 and 09-65 specifically warned that leveraged ETFs are typically unsuitable for long-term retail investors. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) may be implicated by the misleading characterization of the products. The concentration of a senior's retirement assets in speculative instruments may also trigger concerns under NASAA's Model Rule on Senior-Specific Designations and state securities laws regarding exploitation of vulnerable adults.

Recommended Action

The firm's compliance department should immediately escalate the complaint and place a supervisory hold on the advisor's account activities pending investigation. An independent review of all of Huang's client

accounts should be conducted to identify other customers who may have been placed in leveraged ETFs unsuitably. The firm should assess whether restitution to Mrs. Donnelly is warranted, including the \$149,000 in losses plus the \$9,100 in commissions. Huang's supervisory chain should be reviewed to determine whether enhanced supervision or a supervisory failure occurred. The matter should be reported on Huang's Form U4/U5 as applicable. If the firm cannot resolve the complaint satisfactorily, Mrs. Donnelly should be informed of her right to pursue FINRA arbitration. The firm should also consider implementing automated surveillance alerts that flag leveraged or inverse ETF purchases in accounts belonging to clients over age 65 or with conservative risk profiles, and require principal pre-approval for such transactions.

Red Flag Scenario 4

Topic: excessive_load_funds

Fact Pattern

Dr. Samuel Okoro, a 45-year-old orthopedic surgeon in Charlotte, North Carolina, opened a brokerage account in March 2022 with advisor Danielle Prescott at a mid-sized broker-dealer. Dr. Okoro had \$1.2 million to invest from a combination of savings and a prior employer's deferred compensation plan payout. He told Prescott he wanted long-term growth for retirement, estimated to be 20 years away, and that he was comfortable with moderate-to-aggressive risk. Between March 2022 and February 2024, Prescott executed 14 separate purchases totaling \$1.05 million across six different Class A mutual fund families, each carrying front-end sales loads ranging from 4.50% to 5.75%. The total front-end load charges paid by Dr. Okoro amounted to approximately \$54,600. However, every one of the six fund families offered breakpoint discounts: had Prescott consolidated the purchases to reach applicable breakpoint thresholds - or used a single fund family where the \$1.05 million investment would have qualified for the lowest available load tier of 1.00% - Dr. Okoro would have paid roughly \$10,500 in loads, saving approximately \$44,100. Additionally, four of the six fund families offered substantially similar large-cap growth and diversified equity strategies, meaning the diversification across families provided no meaningful investment benefit. Prescott also failed to inform Dr. Okoro that the firm offered no-load institutional share classes and lower-cost ETF alternatives that tracked nearly identical indices with expense ratios of 0.03% to 0.15%, compared to the 0.85% to 1.25% annual expense ratios on the Class A shares she recommended. Prescott received approximately \$27,300 in gross commissions from the load charges. An internal compliance review triggered by a quarterly commission report flagged Prescott's account in June 2024 after noticing the pattern of split purchases across fund families in a single high-value account.

Red Flag

A high-value client was systematically steered into multiple front-loaded mutual fund families in small increments that avoided breakpoint discount thresholds, resulting in over \$44,000 in excess sales charges while lower-cost alternatives were available and never disclosed.

Red Flag Indicators

- 14 separate purchases across 6 fund families despite a \$1.05 million account that easily qualified for significant breakpoint reductions within any single family
- Total front-end loads of \$54,600 when consolidation could have reduced the charges to approximately \$10,500

- Four of the six fund families held substantially overlapping large-cap growth strategies with no meaningful diversification benefit
- Advisor earned \$27,300 in gross commissions directly tied to the inflated load structure
- No disclosure or discussion of available no-load institutional share classes or low-cost ETF alternatives offered by the same firm
- Purchases were spread over a 23-month period in amounts that consistently fell just below breakpoint thresholds
- Expense ratios on selected funds (0.85%-1.25%) were dramatically higher than available alternatives (0.03%-0.15%)
- Client's 20-year time horizon magnifies the compounding drag of higher annual expense ratios, costing potentially tens of thousands more over the investment period

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2342 (Breakpoint Sales), which requires member firms to ensure customers receive applicable breakpoint discounts on front-end load mutual fund purchases. It also implicates Regulation Best Interest (Reg BI) under the Exchange Act, particularly the Care Obligation (requiring the advisor to consider reasonably available alternatives and costs) and the Conflict of Interest Obligation (the advisor's commission incentive to split purchases across families was not disclosed or mitigated). FINRA Rule 2111 (Suitability) is also implicated, as the recommendation to spread assets across duplicative fund families at maximum load tiers was not in the customer's interest. The failure to disclose lower-cost alternatives may violate the Disclosure Obligation under Reg BI. FINRA has brought numerous enforcement actions and issued guidance (e.g., NASD NTM 02-85, Joint NASD/SEC Report on Breakpoint Examination Initiative) making clear that breakpoint failures are a high-priority enforcement concern. The pattern of splitting purchases to avoid breakpoints may also constitute a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) if it was intentional.

Recommended Action

The firm should conduct an immediate review of all accounts serviced by Prescott to identify any additional clients who may have been denied breakpoint discounts or steered into higher-cost share classes. The firm should calculate the total overcharges to Dr. Okoro - including approximately \$44,100 in excess loads and the ongoing excess expense ratio costs - and provide full restitution. Prescott should be placed under heightened supervision, and the firm should evaluate whether disciplinary action, including potential termination, is appropriate. The firm should file a Form U5 amendment if Prescott is terminated for cause. The compliance department should implement pre-trade surveillance that automatically flags mutual fund purchases in accounts where breakpoint thresholds are within reach or where purchases are being split across multiple fund families without documented justification. The firm should also consider whether its supervisory procedures for mutual fund share class selection are adequate, including whether advisors are required to document why they selected Class A shares over available lower-cost alternatives. If the conduct appears willful, the matter should be referred to FINRA's Department of Enforcement for potential regulatory action.

Red Flag Scenario 5

Topic: lack_of_diversification

Fact Pattern

Margaret Hoffman, a 72-year-old retired school librarian in Tucson, Arizona, had a \$1.2 million retirement portfolio consisting of a mix of mutual funds, Treasury bonds, and a small allocation to blue-chip equities when she became a client of advisor Derek Paulson in January 2022. Mrs. Hoffman told Paulson during their initial meeting that she needed steady income to supplement her \$1,400 monthly pension and \$2,100 Social Security payment, that she had no other significant assets besides her home, and that she described herself as conservative with no appetite for losing principal. Over the next fourteen months, Paulson systematically liquidated her diversified holdings and reinvested approximately \$1.05 million - roughly 87.5% of her total portfolio - into shares of a single publicly traded regional bank holding company, Great Plains Bancshares Inc. Paulson told Mrs. Hoffman the stock paid a reliable 4.8% dividend and was 'as safe as a savings account.' He did not discuss the risks of concentrating nearly all of her retirement savings in one issuer, nor did he present any alternative income-generating strategies. Account statements from March 2022 through June 2023 show twelve separate purchase transactions of Great Plains Bancshares stock, each generating a commission ranging from \$1,100 to \$4,600, totaling approximately \$31,000 in commissions to Paulson. In September 2023, Great Plains Bancshares disclosed significant commercial real estate loan losses and suspended its dividend. By December 2023, the stock had declined 61% from Paulson's average purchase price, reducing Mrs. Hoffman's position to approximately \$409,000. She was forced to sell a portion of shares at a loss to cover property taxes and medical expenses, realizing a loss of over \$340,000. Mrs. Hoffman's neighbor, a retired financial professional, reviewed her statements in early 2024 and urged her to file a complaint.

Red Flag

Extreme concentration of a retired, conservative, income-dependent senior investor's entire retirement portfolio into a single equity security, generating substantial commissions while exposing her to catastrophic single-issuer risk.

Red Flag Indicators

- 87.5% of portfolio assets concentrated in a single common stock position
- Client profile clearly indicated conservative risk tolerance and dependence on portfolio income for living expenses
 - Twelve separate purchase transactions over 14 months systematically dismantling a previously diversified portfolio
- Approximately \$31,000 in total commissions generated from the concentration trades
- No documentation of discussion regarding concentration risk or alternative income strategies
- Client was a 72-year-old retiree with no other significant liquid assets beyond the account
- Advisor compared a single equity position to a savings account, materially misrepresenting the risk
- Dividend suspension and 61% price decline resulted in client being forced to liquidate at a loss to meet basic living expenses

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2111 (Suitability), including the customer-specific suitability obligation requiring that a recommendation be suitable for the particular customer based on age, risk tolerance, financial situation, and needs. The concentration also potentially violates Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Section 15(l), specifically the Care Obligation (requiring reasonable diligence to understand risks and ensure the

recommendation is in the customer's best interest) and the Disclosure Obligation (requiring disclosure of material facts including risks of concentration). FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) may also apply given the misleading comparison of a concentrated equity position to a savings account. Additionally, FINRA Regulatory Notice 12-25 highlights concentration as a key suitability concern. The advisor's conduct may also constitute a violation of the firm's supervisory obligations under FINRA Rule 3110 if the pattern of concentration was not flagged and addressed.

Recommended Action

The firm's compliance department should immediately freeze the advisor's ability to execute further transactions in the client's account and initiate a formal supervisory review of all twelve concentration trades. An independent assessment of Mrs. Hoffman's losses should be conducted to determine appropriate restitution. The firm should file a Form U5 amendment if warranted and consider whether a FINRA Rule 4530 regulatory event reporting obligation has been triggered. A broader review of all of Paulson's client accounts should be conducted to identify any similar concentration patterns, particularly among senior or retired clients. The matter should be escalated to senior compliance leadership for potential referral to FINRA's Department of Enforcement. Mrs. Hoffman should be informed of her right to pursue arbitration through FINRA Dispute Resolution, and the firm should proactively offer to make the client whole to mitigate further regulatory and reputational exposure.

Red Flag Scenario 6

Topic: bond_duration_mismatch

Fact Pattern

Robert and Linda Chen, ages 68 and 65 respectively, retired from their careers in January 2023 and met with their financial advisor, Jason Whitfield, at a regional broker-dealer in Charlotte, North Carolina, to restructure their \$2.8 million in combined retirement savings. The Chens explained that they needed to begin drawing \$9,500 per month from their portfolio starting in July 2023 - just six months away - to cover their mortgage, health insurance premiums, and daily living expenses. They told Whitfield they had no pension, that their combined Social Security income of \$4,200 per month would not cover their expenses, and that they could not afford to see significant fluctuations in the value of the money they would need over the next one to five years. They explicitly asked Whitfield to keep the portfolio 'safe and accessible.' Between February and April 2023, Whitfield invested approximately \$2.3 million - 82% of the Chens' total portfolio - into long-duration fixed income instruments, including \$900,000 in 30-year zero-coupon Treasury STRIPS, \$750,000 in a leveraged closed-end fund holding 25-year mortgage-backed securities, and \$650,000 in long-dated investment-grade corporate bonds with maturities ranging from 2045 to 2053. The remaining \$500,000 was placed in a high-yield bond fund with an average duration of 9.2 years. Whitfield told the Chens that because these were 'all bonds,' the portfolio was conservative. He did not explain duration risk, the inverse relationship between interest rates and bond prices, or the fact that the Federal Reserve had been raising rates aggressively throughout 2022 and into 2023. By October 2023, rising interest rates had caused the portfolio to decline by approximately \$520,000, a loss of 18.6%. The 30-year zero-coupon STRIPS alone lost roughly 28% of their value. When the Chens attempted to begin their \$9,500 monthly withdrawals, they were forced to sell holdings at substantial losses. The leveraged closed-end fund was trading at a 14% discount to its net asset value, compounding the liquidation losses.

Over the next eight months, the Chens withdrew approximately \$76,000 while realizing losses of over \$190,000 on the sold positions. By mid-2024, their remaining portfolio had fallen to approximately \$2.05 million, and they were considering selling their home to meet ongoing expenses. The Chens retained an attorney after learning from an independent advisor that their portfolio's effective duration of approximately 18 years was wildly inconsistent with their six-month-to-five-year income needs.

Red Flag

Massive mismatch between the clients' near-term income needs beginning in six months and a portfolio constructed almost entirely of long-duration and leveraged fixed income instruments with extreme sensitivity to rising interest rates.

Red Flag Indicators

- 82% of portfolio invested in bonds with maturities of 25 to 30 years despite income needs beginning within six months
- Portfolio effective duration of approximately 18 years for clients requiring liquidity within 1 to 5 years
- Inclusion of 30-year zero-coupon STRIPS, the most duration-sensitive Treasury instrument available, for clients needing near-term cash flow
- Use of a leveraged closed-end fund holding long-dated mortgage-backed securities, amplifying both interest rate risk and liquidity risk
- No allocation to short-duration instruments, money market funds, or a cash ladder to meet the stated \$9,500 monthly withdrawal requirement
- Advisor described the portfolio as 'conservative' based solely on the bond label without explaining duration, interest rate sensitivity, or leverage risk
- Investments made during a well-publicized aggressive rate-hiking cycle, increasing the probability of near-term principal losses on long-duration holdings
- Clients were forced to liquidate positions at losses to fund basic living expenses, including selling a leveraged fund at a 14% discount to NAV

Regulatory Concern

This conduct raises significant concerns under FINRA Rule 2111 (Suitability), particularly the customer-specific and reasonable-basis suitability components: the advisor failed to match the investment time horizon and liquidity profile to the customers' clearly articulated needs. Regulation Best Interest under Section 15(l) of the Securities Exchange Act of 1934 imposes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in understanding the investment risks and ensuring the recommendation is in the retail customer's best interest - constructing a long-duration portfolio for clients with imminent income needs plainly fails this standard. The Disclosure Obligation under Reg BI was also likely violated, as the advisor did not explain duration risk, leverage risk, or the impact of the rising rate environment. FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the misleading characterization of the portfolio as 'conservative.' FINRA Regulatory Notice 09-31 specifically addresses duration risk in fixed income recommendations and the obligation to consider interest rate sensitivity in the context of the customer's investment horizon. The firm may have violated FINRA Rule 3110 (Supervision) if its surveillance systems failed to flag the extreme duration mismatch between the clients' documented short-term liquidity needs and the portfolio's construction.

Recommended Action

The firm should immediately assign a senior compliance officer to review all documentation related to the

Chens' account, including the new account form, investment objectives, risk tolerance disclosures, and any notes from meetings with Whitfield. The portfolio should be restructured under independent supervision to align with the Chens' actual income timeline, including establishing a short-duration bond ladder or cash reserve sufficient to cover at least 24 months of planned withdrawals. A full loss calculation should be performed comparing the Chens' actual portfolio performance to a suitable benchmark portfolio matching their stated risk tolerance and time horizon. The firm should conduct a broader review of all of Whitfield's client accounts for similar duration mismatches, particularly among retired or near-retirement clients with documented short-term income needs. Whitfield's recommendation authority should be restricted pending the investigation outcome. The firm should assess whether a FINRA Rule 4530 filing is required and evaluate the appropriateness of proactive restitution to the Chens. If the investigation confirms the misconduct, the matter should be referred to FINRA Enforcement, and the firm should consider termination and appropriate Form U5 disclosures.

Red Flag Scenario 7

Topic: illiquid_investments

Fact Pattern

Margaret Dawson, age 74, is a retired schoolteacher in Tucson, Arizona, living on a fixed income of approximately \$3,200 per month from Social Security and a modest state pension. Her total investable assets were approximately \$410,000, representing her entire life savings, held in an IRA rollover account. In her new account documentation completed in March 2022, she indicated her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '1-5 years,' and her liquidity needs as 'high' because she anticipated needing funds for assisted living expenses within two to three years. Her financial advisor, Derek Montoya, who had been assigned to her account after her previous advisor retired, recommended over the following six months that she invest \$275,000 - roughly 67% of her portfolio - into three separate non-traded Real Estate Investment Trusts (REITs). Montoya told Mrs. Dawson these products would provide 'steady monthly income just like a CD but with better returns.' He did not explain that the investments carried a minimum holding period of seven years, that early redemption was either impossible or subject to severe penalties, or that share values could decline significantly. Each REIT charged upfront commissions and fees totaling approximately 10-12%, meaning roughly \$30,000 of Mrs. Dawson's money was consumed by costs before a single dollar was invested in real estate. By late 2023, one of the three REITs suspended its distribution payments entirely, and another reduced its monthly distribution by 60%. When Mrs. Dawson contacted Montoya in January 2024 requesting access to her funds because she needed to move into an assisted living facility costing \$6,500 per month, she was told she could not liquidate her REIT holdings and that the current estimated value of her \$275,000 investment was approximately \$188,000. Her remaining liquid assets of \$135,000 would cover only about 20 months of assisted living costs. Montoya earned approximately \$30,250 in commissions from the three REIT transactions.

Red Flag

A 74-year-old retiree with high near-term liquidity needs and a conservative risk profile was concentrated into illiquid, long-lockup non-traded REITs consuming two-thirds of her life savings, creating a severe liquidity mismatch with her anticipated assisted living expenses.

Red Flag Indicators

- 67% portfolio concentration in illiquid non-traded REITs for a 74-year-old conservative investor
- Client's documented need for liquidity within 2-3 years directly contradicts 7-year minimum holding periods on recommended products
- Upfront fees and commissions of 10-12% (\$30,250 total) representing an outsized cost drag on a retirement account
- Advisor described non-traded REITs as comparable to CDs, materially misrepresenting the risk and liquidity characteristics
- No discussion or documentation of early redemption restrictions, penalties, or illiquidity risks
- IRA rollover account - tax-advantaged retirement savings - invested in high-commission illiquid products rather than lower-cost income alternatives
- New advisor relationship with no prior history, rapidly placing large trades within months of assignment
- Client's stated objective of 'income and preservation of capital' inconsistent with products that suspended or sharply reduced distributions

Regulatory Concern

This fact pattern raises potential violations of FINRA Rule 2111 (Suitability), including customer-specific suitability and quantitative suitability considerations, as well as Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Section 15(l), specifically the Care Obligation (making recommendations in the customer's best interest considering investment alternatives) and the Disclosure Obligation (failing to disclose material facts about illiquidity and fees). The advisor's mischaracterization of non-traded REITs as CD-like instruments may constitute a violation of FINRA Rule 2210 (Communications with the Public) and potentially fraud under Section 10(b) of the Exchange Act and Rule 10b-5. FINRA's guidance on non-traded REITs (Regulatory Notices 09-09 and 15-02) specifically warns about concentration limits and suitability concerns for these products. The exploitation of a senior investor may also implicate FINRA Rule 2165 (Financial Exploitation of Specified Adults) and applicable state elder financial abuse statutes.

Recommended Action

The firm's compliance department should immediately freeze any further illiquid product sales by this advisor, initiate a full review of all accounts serviced by Derek Montoya - particularly those of senior clients - and conduct a forensic examination of his non-traded REIT sales over the past three years to identify a pattern of unsuitable recommendations. The firm should file a complaint with its supervisory chain and consider whether a FINRA Rule 4530 reporting obligation has been triggered. An investigation should determine whether Montoya's supervisor reviewed and approved the REIT transactions and whether the firm's product-level concentration limits were exceeded or bypassed. The firm should explore making Mrs. Dawson whole through its complaint resolution or arbitration process, including restitution of the approximately \$87,000 in losses plus the \$30,250 in commissions. A referral to FINRA Enforcement and, if applicable, the state securities regulator should be made. The firm should also consider enhanced supervisory procedures requiring pre-approval for any illiquid product sale exceeding 10% of a client's portfolio for clients over age 65 or with documented short-term liquidity needs.

Red Flag Scenario 8

Topic: private_placements_unsuitable

Fact Pattern

Carlos and Elena Reyes, ages 52 and 49, are a married couple in San Antonio, Texas. Carlos works as a warehouse supervisor earning \$72,000 per year, and Elena is a part-time medical receptionist earning \$28,000 per year, giving them a combined household income of \$100,000. Their net worth, excluding their primary residence, was approximately \$340,000, consisting of Carlos's 401(k) (\$185,000), a joint taxable brokerage account (\$95,000), and a savings account (\$60,000). They had two children approaching college age, with tuition expenses expected to begin within 18 months. In September 2022, their financial advisor, Ryan Aldrich, invited them to an 'exclusive investment dinner' at an upscale restaurant, where a presenter described a private placement offering in a startup oil and gas exploration company called PetroDynamics LLC. Aldrich followed up with the couple the following week and recommended they invest \$80,000 - their entire taxable brokerage account balance plus \$15,000 from savings - into PetroDynamics units at \$5,000 per unit, emphasizing 'projected 22% annual returns' and 'significant tax deductions' from intangible drilling costs. The private placement memorandum, which was 187 pages long, was provided to the couple two days before the investment deadline. Aldrich told them to 'not worry about the fine print' and that he had 'vetted the deal personally.' The couple did not meet the accredited investor thresholds - their income was below \$200,000 and their net worth excluding their home was below \$1 million - but Aldrich completed the subscription documents indicating they were accredited based on 'anticipated future earnings growth.' By mid-2023, PetroDynamics had failed to produce commercially viable wells and ceased operations. The Reyes family's \$80,000 investment was a total loss. They were left with only Carlos's 401(k) and \$45,000 in savings, with college tuition bills arriving in months. Aldrich earned a 9% selling commission (\$7,200) on the transaction, plus a 1% trailing placement fee from PetroDynamics' general partner.

Red Flag

A middle-income couple who did not qualify as accredited investors were sold an \$80,000 private placement in a speculative oil and gas startup, with falsified accreditation documents, consuming nearly all their liquid non-retirement assets on the eve of major college expenses.

Red Flag Indicators

- Clients did not meet accredited investor income or net worth thresholds, yet subscription documents were falsified to indicate accredited status
- Investment of \$80,000 represented approximately 56% of the couple's non-retirement liquid assets, creating dangerous concentration in a single speculative venture
- Known near-term capital need (college tuition within 18 months) made illiquid, high-risk private placement fundamentally incompatible with the clients' financial situation
- Advisor used a high-pressure sales dinner event followed by a compressed timeline, providing the 187-page PPM only two days before the funding deadline
- Advisor discouraged the clients from reading offering documents, telling them not to worry about the fine print
- Projected returns of 22% presented without adequate context about the speculative nature and total-loss risk of early-stage oil and gas exploration
- Combined selling commission and trailing fee of 10% (\$8,000+) created a significant financial incentive for the advisor to close the sale regardless of suitability
- No evidence the advisor conducted independent due diligence on PetroDynamics despite claiming to have 'vetted the deal personally'

Regulatory Concern

This fact pattern raises serious concerns under multiple regulatory frameworks. The falsification of accredited investor documentation constitutes potential fraud under Section 17(a) of the Securities Act of 1933 and Section 10(b) of the Securities Exchange Act of 1934, as well as a violation of Regulation D, Rule 506, which governs private placement exemptions and imposes verification requirements for accredited investor status. The unsuitable recommendation violates FINRA Rule 2111 (Suitability) across all three components - reasonable-basis suitability (inadequate due diligence on PetroDynamics), customer-specific suitability (incompatible with the clients' moderate income, near-term liquidity needs, and risk profile), and quantitative suitability (excessive concentration). Under Regulation Best Interest, the Care Obligation requires the advisor to evaluate reasonably available alternatives and consider costs, and the Disclosure Obligation requires clear communication of material risks - both appear to have been violated. The advisor's instruction to ignore the PPM may violate FINRA Rule 2210 and the antifraud provisions. FINRA Notice to Members 10-22 specifically addresses heightened supervision of private placements. The firm's supervisory obligations under FINRA Rules 3110 and 3120 are implicated if it failed to review and detect the falsified accreditation or the unsuitability of the recommendation. Additionally, the sale of securities to non-accredited investors without proper disclosure could void the Regulation D exemption, exposing PetroDynamics and the selling firm to liability under Section 12(a)(1) of the Securities Act for the sale of unregistered securities.

Recommended Action

The firm must immediately place Ryan Aldrich on heightened supervision or suspend his ability to sell private placements pending a full investigation. Compliance should audit every private placement transaction Aldrich has executed, with particular focus on accredited investor certifications, to determine whether there is a pattern of falsifying subscription documents. The firm should conduct a thorough review of its due diligence files on PetroDynamics to assess whether it met its reasonable-basis suitability obligation before approving the offering for sale. A Form U5 amendment may be required to disclose the misconduct, and a FINRA Rule 4530 filing should be made to report potential violations. The firm should proactively contact the Reyes family to discuss restitution options, which should include full recovery of the \$80,000 principal investment plus the \$8,000+ in commissions and fees, plus reasonable interest. The matter should be referred to FINRA Enforcement and the SEC's Division of Enforcement given the falsification of accreditation documents, which is a serious antifraud violation. The firm should also refer the matter to its state securities regulator, as many states have enhanced blue sky provisions governing private placement sales. Going forward, the firm should implement mandatory independent verification of accredited investor status for all private placement transactions and require a compliance officer's pre-approval before any private placement is sold to a client with a household income below \$150,000 or a net worth below \$750,000.

Red Flag Scenario 9

Topic: high_fees_unsuitable

Fact Pattern

Margaret Owens, a 72-year-old retired postal worker in Tulsa, Oklahoma, had a \$340,000 portfolio

consisting of Treasury bonds and a money market account when she met advisor Craig Belmont in March 2021. Mrs. Owens told Belmont she needed steady income to supplement her \$1,800 monthly pension and \$1,400 monthly Social Security, and that she could not afford to lose principal. She had no investment experience beyond certificates of deposit and was classified on her new account form as having a conservative risk tolerance. Over the following 14 months, Belmont moved her entire portfolio into a combination of Class C mutual fund shares and variable annuities with surrender periods ranging from 7 to 10 years. The Class C shares carried annual 12b-1 fees of 1.00%, and the variable annuities imposed mortality and expense charges of 1.35% plus underlying fund expenses averaging 0.85%. In total, Mrs. Owens was paying approximately \$10,800 per year in combined fees and charges - roughly 3.18% of her portfolio annually. Lower-cost alternatives, including Class A shares with breakpoint discounts at her investment level and no-load index funds, were available on the firm's platform. Belmont received approximately \$14,200 in upfront and trailing commissions during the first year. By June 2023, Mrs. Owens' account had declined to \$291,000 after fees and modest market losses, and she discovered that liquidating the annuities to access her money would trigger surrender charges totaling nearly \$27,000. She contacted the firm's branch manager after her granddaughter, a CPA, reviewed the account statements and flagged the fee drag.

Red Flag

A conservative, income-dependent retiree was placed entirely into high-fee Class C shares and variable annuities with long surrender periods when significantly cheaper and more liquid alternatives were available, generating outsized advisor compensation at the client's expense.

Red Flag Indicators

- Entire \$340,000 portfolio moved from low-cost fixed income into high-expense products within 14 months
- Annual all-in fees of approximately 3.18% for a conservative retiree seeking principal preservation
- Selection of Class C shares instead of Class A shares with available breakpoint discounts at the \$340,000 investment level
- Variable annuities with 7- to 10-year surrender periods sold to a 72-year-old client with income liquidity needs
- No remaining liquid or low-cost holdings after the reallocation was complete
- Advisor earned \$14,200 in first-year compensation - more than 4% of the portfolio value
- Client's documented conservative risk tolerance and income dependency contradict the product selections
- Portfolio declined by approximately \$49,000 (14.4%) in just over two years, largely driven by fee erosion

Regulatory Concern

This pattern raises concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific and reasonable-basis obligations, as the products selected were inconsistent with the client's age, risk tolerance, liquidity needs, and investment objectives. FINRA Rule 2310 governing variable annuity suitability requires a reasonable basis to believe the transaction is suitable, including an evaluation of surrender periods relative to the customer's age and liquidity needs. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence and prudence in making recommendations, and the Cost Obligation within the Care component requires consideration of reasonably available lower-cost alternatives. The selection of Class C shares over breakpoint-eligible Class A shares may also implicate FINRA's guidance on mutual fund share class suitability and FINRA Regulatory Notice

16-15 regarding share class selection. Additionally, the pattern may raise concerns under FINRA Rule 2330 regarding deferred variable annuity transactions, which requires principal approval and specific suitability determinations before processing.

Recommended Action

The firm's compliance department should immediately freeze any further transactions in the account and initiate a supervisory review of all share class and annuity recommendations Belmont has made to clients aged 65 and older. A cost-impact analysis should be performed comparing the products sold against lower-cost alternatives available on the platform at the time of each transaction. The firm should evaluate whether Mrs. Owens should be made whole for excess fees, surrender charges, and opportunity costs, potentially through restitution or a share class conversion. The branch manager's supervisory review records should be examined to determine whether adequate pre-approval occurred for the variable annuity sales. A broader look-back review of Belmont's book of business should be conducted to identify similar patterns. If the review confirms systematic placement of conservative clients into high-fee products, the matter should be escalated to senior compliance for potential regulatory reporting on Form U5 and referral to FINRA's Department of Enforcement.

Red Flag Scenario 10

Topic: lack_of_diversification

Fact Pattern

David and Irene Kowalski, both 58, are public school teachers in suburban Detroit who together earn approximately \$128,000 per year. In January 2020, they rolled over their respective 403(b) retirement accounts - \$215,000 for David and \$195,000 for Irene - into new IRA accounts managed by financial advisor Trent Hadley at a regional broker-dealer. The couple told Hadley they planned to retire at age 65, needed the money to last through retirement, and described themselves as moderate investors willing to accept some volatility but not significant losses. Hadley recommended that both IRAs be invested almost entirely in shares of a single publicly traded regional bank holding company headquartered in Michigan, purchasing a total of approximately \$385,000 worth of the stock across both accounts. The remaining \$25,000 was placed in a money market fund. Hadley told the Kowalskis that the bank stock paid a 4.2% dividend yield and was a 'rock solid Midwest institution.' Hadley had a personal relationship with the bank's management team and had recommended the same stock to at least 14 other clients during the same quarter. At the time of the purchases, the bank stock represented approximately 94% of the Kowalskis' combined retirement savings. The couple had no other significant investments or pension beyond their state teacher retirement system. In October 2022, the regional bank disclosed significant commercial real estate loan losses and its stock price fell 61% over the following five months. The Kowalskis' combined IRA accounts dropped from roughly \$385,000 in stock value to approximately \$150,000 by March 2023. They contacted an attorney after receiving their year-end account statements.

Red Flag

A couple's entire combined retirement savings of \$410,000 were concentrated in a single regional bank stock comprising 94% of the portfolio, eliminating diversification for moderate-risk clients approaching retirement, while the advisor had a personal relationship with the issuer's management and had made the

same concentrated recommendation to numerous other clients.

Red Flag Indicators

- 94% concentration of combined retirement assets in a single equity security
- Both IRA accounts invested in the same individual stock, providing no diversification even across accounts
- Clients were 58 years old with a 7-year retirement horizon, making recovery from a concentrated loss extremely difficult
- Documented moderate risk tolerance is fundamentally inconsistent with a single-stock concentration strategy
- Advisor had a personal relationship with the issuer's management, suggesting a potential conflict of interest in the recommendation
- At least 14 other clients received the same concentrated stock recommendation in the same quarter, indicating a pattern rather than individualized advice
- No allocation to bonds, mutual funds, ETFs, or other asset classes despite the clients' moderate profile and approaching retirement
- The \$385,000 loss exposure in one stock dwarfed the couple's annual income of \$128,000, creating catastrophic risk relative to their financial capacity

Regulatory Concern

This fact pattern implicates FINRA Rule 2111 (Suitability), particularly the customer-specific obligation which requires that a recommended investment strategy - including concentration - be suitable in light of the customer's investment profile, risk tolerance, time horizon, and financial situation. The over-concentration in a single security for moderate-risk pre-retirees with no other substantial liquid assets is a classic suitability failure. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to consider reasonably available alternatives and the potential risks and rewards of the recommendation; a 94% concentration in one equity for retirement accounts of moderate-risk investors approaching retirement would be extremely difficult to justify. The Conflict of Interest Obligation under Reg BI requires disclosure and mitigation of material conflicts, and Hadley's personal relationship with the bank's management team constitutes a material conflict that should have been disclosed and addressed. The pattern of recommending the same concentrated position to 14 or more clients may also raise concerns under FINRA Rule 3110 (Supervision) regarding the firm's failure to detect and address a dangerous pattern of concentrated recommendations. Additionally, the recommendation to invest rollover IRA assets in this manner triggers heightened scrutiny under FINRA Regulatory Notice 13-45 regarding rollover recommendations and their suitability.

Recommended Action

The firm should place Hadley's accounts under heightened supervision immediately and conduct a comprehensive review of all accounts where he recommended the regional bank stock, focusing on concentration levels, client risk profiles, and client age. An investigation should determine the nature and extent of Hadley's personal relationship with the bank's management and whether this relationship was disclosed to the firm, to clients, or on any required disclosure documents. The firm should assess whether its supervisory systems flagged the concentration - and if not, why automated concentration alerts failed to trigger a review when a single position exceeded common thresholds such as 10-25% of account value. Affected clients, including the Kowalskis, should be contacted and the firm should evaluate appropriate

remediation, which may include restitution for losses attributable to the unsuitable concentration. The findings should be reported through the firm's escalation process, and if the investigation confirms systemic misconduct, a Form U4/U5 amendment and referral to FINRA should follow. The firm should also consider whether its supervisory procedures around concentrated positions and advisor conflicts require enhancement to prevent recurrence.

Red Flag Scenario 11

Topic: annuity_unnecessary_switching

Fact Pattern

Margaret Holloway, a 71-year-old retired school principal living in Tucson, Arizona, had a fixed indexed annuity with a remaining surrender period of three years and an account value of approximately \$340,000. Her advisor, Kevin Driscoll, age 44, had been her registered representative since 2019. In March 2022, Driscoll contacted Mrs. Holloway and recommended she surrender her existing annuity and purchase a new variable annuity with a guaranteed minimum income benefit rider from a different carrier. Mrs. Holloway paid a surrender charge of \$17,850 to liquidate the existing contract. The new annuity carried a seven-year surrender schedule, an annual mortality and expense charge of 1.40%, an administrative fee of 0.15%, sub-account management fees averaging 0.85%, and the income rider fee of 1.10% annually. Driscoll received a commission of approximately \$20,400 on the new sale. Internal firm records show that Mrs. Holloway's original annuity was already providing a guaranteed 3.25% annual crediting rate with a lower total expense ratio of approximately 1.05%. Her stated investment objectives on file were capital preservation with modest income supplementation, and her risk tolerance was documented as conservative. Mrs. Holloway's total liquid net worth outside this annuity was approximately \$95,000 in a money market account and \$62,000 in a bank CD. Within fourteen months, Driscoll again contacted Mrs. Holloway suggesting she add an optional long-term care benefit rider to the new annuity at an additional annual cost of 0.75%, which she accepted. A review of Driscoll's production records reveals he executed similar annuity switches for nine other clients over the age of 65 in the same twelve-month period, each time moving them from fixed or fixed indexed annuities into variable annuities with higher fee structures from the same carrier.

Red Flag

Advisor systematically replaced lower-cost fixed indexed annuities with higher-cost variable annuities for elderly clients, generating significant surrender charges and commissions without a demonstrable benefit to the customers.

Red Flag Indicators

- Client paid \$17,850 in surrender charges to exit an existing annuity that still had three years remaining on its surrender period
- New annuity had a substantially higher all-in annual expense ratio (approximately 3.50%) compared to the original product (approximately 1.05%)
- Advisor received a \$20,400 commission on the replacement sale, creating a significant financial incentive to recommend the switch
- Client's documented risk tolerance was conservative, yet she was moved from a fixed indexed product

into a variable annuity with market-linked sub-accounts

- A pattern of nine similar annuity switches involving elderly clients within a twelve-month period suggests a systematic practice rather than individualized advice
- Client's limited outside liquidity (\$157,000 total) and age made the new seven-year surrender schedule particularly restrictive
- Addition of another fee-generating rider within fourteen months of the replacement increased costs further without documented need
- All replacement sales directed clients into the same carrier's variable annuity product, suggesting possible incentive arrangements or sales contests

Regulatory Concern

This conduct raises potential violations of FINRA Rule 2330 (Suitability requirements for variable annuity transactions, including the specific obligation to evaluate whether a replacement transaction provides a material benefit to the customer after considering surrender charges, new surrender periods, fees, and product features), FINRA Rule 2111 (Suitability, including reasonable-basis, customer-specific, and quantitative suitability), Regulation Best Interest under the Securities Exchange Act Section 15(l) (requiring broker-dealers to act in the retail customer's best interest and not place their financial interests ahead of the customer's), and potentially FINRA Rule 3110 (supervisory obligations of the member firm to review and approve annuity replacement transactions). The pattern of similar switches may also implicate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and state insurance replacement regulations requiring thorough comparison of existing and proposed contracts.

Recommended Action

The firm's compliance department should immediately place a hold on any pending annuity replacement transactions recommended by Driscoll and initiate a comprehensive review of all ten identified replacement transactions, comparing the features, costs, benefits, and surrender schedules of the original and replacement products for each client. An independent suitability review panel should assess whether any of the replacements provided a material net benefit to the customers. The firm should file a heightened supervision plan for Driscoll and consider requiring pre-approval for all annuity transactions. If the review confirms that the switches were not in the customers' best interests, the firm should calculate full restitution including surrender charges paid, excess fees incurred, and any lost benefits from the original contracts. A FINRA Uniform Complaint (U5 amendment) should be considered. The matter should be escalated to senior compliance leadership for evaluation of whether a regulatory referral or self-report is warranted.

Red Flag Scenario 12

Topic: variable_annuity_unsuitable

Fact Pattern

David and Patricia Emerson, ages 38 and 36, are a dual-income couple living in Charlotte, North Carolina, with a combined annual household income of \$112,000. They have two children, ages 6 and 4, and their primary financial goals - as documented on their new account forms in January 2023 - were saving for their children's college education within a 12-to-14-year time horizon and building an emergency fund. They had \$28,000 in a joint savings account, approximately \$41,000 combined in employer 401(k) plans, and no

other investment accounts. They carried \$189,000 remaining on their mortgage and \$34,000 in auto loans. Their advisor, Stephanie Raines, age 51, recommended they invest \$22,000 - the bulk of their accessible liquid savings - into a variable annuity with a ten-year surrender charge schedule starting at 8% and declining by roughly 1% per year. The annuity's annual fees totaled approximately 2.95%, including a 1.30% mortality and expense charge, 0.20% administrative fee, and sub-account expense ratios averaging 1.45%. The annuity was purchased in a joint non-qualified taxable account. Raines told the Emersons that the variable annuity would be a 'tax-smart college savings vehicle' and emphasized the death benefit feature. She did not discuss or present alternatives such as 529 education savings plans, custodial accounts, or low-cost index mutual funds. Raines earned a 6.5% commission of approximately \$1,430 on the sale. By September 2023, the Emersons' car required an unexpected \$4,800 repair, and when they attempted to withdraw funds from the annuity, they learned they would face an 8% surrender charge of approximately \$1,760 on a \$22,000 withdrawal, plus ordinary income tax treatment on any gains, plus a potential 10% tax penalty for withdrawals before age 59½. Their remaining savings account balance was only \$6,200 after routine expenses, leaving them financially strained.

Red Flag

A young couple with limited liquidity, moderate income, a medium-term education savings goal, and no prior investment accounts was sold a high-cost variable annuity with a ten-year surrender period as a college savings vehicle, when far more suitable and lower-cost alternatives existed.

Red Flag Indicators

- The \$22,000 investment represented nearly 79% of the couple's total liquid savings, leaving dangerously insufficient emergency reserves for a family of four
- A ten-year surrender charge schedule is fundamentally mismatched with a 12-to-14-year college savings timeline, locking up funds during nearly the entire accumulation period
- Variable annuity purchased in a non-qualified account sacrifices the ability to receive capital gains treatment on investment growth, converting all gains to ordinary income - a tax disadvantage for a younger couple in their earning years
- All-in annual expenses of approximately 2.95% are exceptionally high compared to alternatives like 529 plans or index funds with expense ratios under 0.20%
- No documentation that the advisor discussed or considered 529 plans, which offer state tax deductions and tax-free growth for qualified education expenses - the clients' stated primary goal
- The death benefit feature was emphasized as a selling point despite the clients being in their 30s with no apparent estate planning need that would justify the cost
- The couple's existing debt obligations (\$223,000 combined mortgage and auto loans) and limited retirement savings (\$41,000) suggest the annuity purchase further strained an already tight financial picture
- The emergency fund shortfall became immediately apparent within eight months when an unexpected expense arose and the clients could not access their annuity without significant penalties

Regulatory Concern

This transaction raises potential violations of FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that a recommendation be suitable for the particular customer based on their investment profile, including age, financial situation, liquidity needs, time horizon, and investment objectives. FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) specifically requires a registered representative to have a reasonable basis to believe the

customer has been informed of the features of the variable annuity, the customer would benefit from the annuity's tax-deferred features, and the transaction as a whole is suitable - including consideration of whether the customer could be better served by other products. Regulation Best Interest (Reg BI) under Exchange Act Rule 15l-1 imposes a best interest standard requiring the advisor to consider reasonably available alternatives and not place her financial interest (the \$1,430 commission) ahead of the customers' interest. The Care Obligation component of Reg BI specifically requires consideration of costs and reasonably available alternatives. The Disclosure Obligation would require clear disclosure of the material conflicts created by the commission compensation. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) may be implicated if the characterization of the annuity as a 'tax-smart college savings vehicle' is found to be misleading given the tax disadvantages of a non-qualified annuity for this purpose.

Recommended Action

Compliance should conduct an immediate review of the Emersons' account, including all documentation of the recommendation, suitability analysis worksheets, and any notes from the sales meeting. The firm should interview both the Emersons and Raines to determine exactly what disclosures were made and what alternatives, if any, were discussed. If the review confirms the annuity was unsuitable, the firm should facilitate a no-cost surrender or rescission of the annuity contract and make the Emersons whole for any surrender charges, tax penalties, and excess fees incurred. Raines should be placed under heightened supervision with mandatory pre-approval for all annuity recommendations, and a broader review of her book of business should be conducted to identify other potentially unsuitable variable annuity sales, particularly to younger clients or those with education savings objectives. The firm should evaluate whether its supervisory review process under FINRA Rule 3110 adequately flagged this transaction at the point of sale and remediate any deficiencies. Depending on the findings, the firm should consider whether a regulatory disclosure on Form U4 or U5 is required and whether a self-report to FINRA is appropriate.

Red Flag Scenario 13

Topic: annuity_unnecessary_switching

Fact Pattern

Margaret Dawson, a 71-year-old retired school librarian in Tallahassee, Florida, had a fixed indexed annuity purchased in 2019 with a seven-year surrender period and an account value of approximately \$285,000. The annuity was providing a guaranteed minimum interest rate of 2.5% and had a death benefit rider that she had specifically requested to leave assets to her two grandchildren. In March 2023, her financial advisor, Kevin Trujillo, age 38, contacted her and recommended she surrender the existing annuity and purchase a new variable annuity with a different insurance carrier. Trujillo told Mrs. Dawson the new product would 'grow faster' and had 'better options for your family.' Mrs. Dawson agreed and signed the paperwork. The surrender of the original annuity triggered a \$17,100 surrender charge (6% of account value). The new variable annuity carried a 5.25% upfront sales commission paid to Trujillo, a 1.45% annual mortality and expense charge, a 0.85% administrative fee, and underlying sub-account expenses averaging 1.10%. The new annuity also had a fresh eight-year surrender schedule starting at 8%. The new product did not include a guaranteed minimum interest rate, and the optional death benefit rider Mrs. Dawson wanted cost an additional 0.95% annually, which Trujillo did not add to the contract. Mrs. Dawson's total annual fees on the new product would be approximately 3.40% compared to total annual costs of roughly

0.60% on her prior annuity. A review of Trujillo's production records showed that he had executed 14 similar annuity switches for clients over age 65 during a 16-month period, generating approximately \$198,000 in commissions. Eleven of those switches involved annuities still within their original surrender periods. Mrs. Dawson's risk tolerance questionnaire on file was marked 'conservative,' and her annual income from Social Security and a small pension totaled \$34,000. She had no other liquid investments outside of a \$22,000 savings account.

Red Flag

Systematic replacement of existing annuities with more expensive products that reset surrender periods and generate new commissions, without demonstrable benefit to the client

Red Flag Indicators

- Client incurred a \$17,100 surrender charge to exit an annuity still within its surrender period, reducing her principal by 6%
- New annuity carries total annual expenses of approximately 3.40% versus 0.60% on the original product
- a nearly sixfold increase in cost
- The death benefit rider that was the client's stated priority was not included in the replacement annuity
- A new eight-year surrender schedule was imposed on a 71-year-old conservative investor, effectively locking assets until she reaches age 79
- Advisor's production records reveal 14 annuity switches for senior clients in 16 months, with 11 involving products still in surrender periods
- Advisor earned approximately \$198,000 in commissions from the pattern of switches, suggesting financial motivation rather than client need
- Client's conservative risk profile and limited liquid assets (\$22,000 savings) are inconsistent with a variable annuity carrying market risk and high fees
- No documented comparison or analysis showing material improvement in benefits, guarantees, or features for the client

Regulatory Concern

This pattern raises concerns under FINRA Rule 2330 (Variable Annuity Transactions), which requires a principal or designated person to review and approve annuity exchanges and determine that the transaction is suitable. The unnecessary switching implicates FINRA Rule 2111 (Suitability), specifically the quantitative suitability component, as well as Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1, which requires broker-dealers to act in the retail customer's best interest and not place their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires consideration of reasonably available alternatives and analysis of costs versus benefits of switching. Additionally, many states have adopted the NAIC Model Regulation on annuity replacements requiring documented comparison of existing versus proposed products. The pattern of switches may also constitute a violation of FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and could be considered churning in an annuity context.

Recommended Action

The firm's compliance department should immediately place a hold on all pending annuity exchanges submitted by Trujillo and initiate a full retrospective review of his 14 annuity switches, comparing surrender charges incurred, fee differentials, benefit changes, and commission generated. The firm should engage an independent analysis of each switch using a standardized replacement comparison form. Mrs. Dawson and

similarly situated clients should be contacted, informed of the fee discrepancies, and offered rescission or restoration to their original positions where possible. Trujillo should be placed on heightened supervision with pre-approval required for all annuity transactions. The firm should file a Form U5 amendment if Trujillo is terminated and consider filing a suspicious activity report. A referral to FINRA Enforcement and the relevant state insurance department should be made. Affected clients should be made whole through restitution of surrender charges, excess fees, and any lost benefits, including the guaranteed minimum interest rate and death benefit rider Mrs. Dawson lost.

Red Flag Scenario 14

Topic: reverse_churning

Fact Pattern

David and Sharon Kowalski, both age 58 and working as a postal carrier and dental hygienist respectively, had a combined household income of approximately \$112,000. In January 2021, they consolidated \$410,000 from several old 401(k) accounts into a single advisory account at Pinnacle Wealth Partners, managed by advisor Rachel Fontaine. Fontaine placed the couple into a wrap-fee advisory program charging 1.35% annually on assets under management, which amounted to approximately \$5,535 per year in fees. Fontaine constructed an initial portfolio of 60% broad-market equity index ETFs, 30% investment-grade bond ETFs, and 10% in a money market fund. After the initial allocation was completed in February 2021, Fontaine made no changes to the portfolio for the next 32 months - through March 2024. During that entire period, there were zero rebalancing trades, zero tactical adjustments, and zero changes despite significant interest rate increases in 2022 and 2023, a bear market in equities in 2022, and the couple reaching age 60 and approaching their stated retirement target of age 62. The only account activity consisted of automatic dividend reinvestments. Over the 32-month period, the Kowalskis paid approximately \$15,200 in cumulative advisory fees. Had the same portfolio been held in a commission-based brokerage account, the initial trades would have generated approximately \$320 in commissions, and with no subsequent activity, no further commissions would have been charged - resulting in total costs of \$320 versus \$15,200. Fontaine's book of business contained 187 advisory accounts. An internal audit sampling revealed that 74 of those accounts - roughly 40% - had fewer than two discretionary trades in any rolling 12-month period. Fontaine's annual advisory fee revenue was approximately \$620,000, while her estimated commission equivalent revenue from the same activity level would have been under \$28,000. The Kowalskis received two brief annual review emails from Fontaine during the period, each consisting of a one-paragraph summary stating 'your portfolio remains on track' with no substantive analysis, no updated risk assessment, and no discussion of their approaching retirement date.

Red Flag

Clients paying ongoing asset-based advisory fees for a dormant, unmanaged portfolio where the fee-based structure costs dramatically more than a commission alternative with no commensurate advisory services being provided

Red Flag Indicators

- Zero discretionary trades or rebalancing over a 32-month period despite significant market events including a bear market and major interest rate shifts

- Cumulative advisory fees of \$15,200 compared to an estimated \$320 in equivalent commission-based costs - a 47-to-1 cost disparity
- No updated risk assessment or retirement planning discussion as clients aged from 58 to 60 and approached their stated retirement target of age 62
- Annual review communications were perfunctory one-paragraph emails with no substantive analysis or portfolio recommendations
- Internal audit revealed 40% of the advisor's 187 accounts showed minimal trading activity (fewer than two trades per year), suggesting a systemic pattern
 - Advisor's annual fee revenue of \$620,000 was approximately 22 times what equivalent commission-based compensation would have been, indicating the fee-based model is not aligned with service delivery
- The portfolio's static 60/30/10 allocation was never adjusted as the clients' time horizon shortened and market conditions changed materially
- Accounts were originally consolidated from 401(k) plans through an IRA rollover, raising questions about whether the rollover recommendation itself was in the clients' interest given the fee structure

Regulatory Concern

Reverse churning implicates Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, specifically the Care Obligation, which requires broker-dealers to evaluate reasonably available alternatives including account type and whether a commission-based account would be more cost-effective given the anticipated level of trading activity. For investment advisers, the fiduciary duty under the Investment Advisers Act of 1940, Sections 206(1) and 206(2), requires advisers to act in clients' best interests and not place their own financial interests ahead of clients', including the obligation to recommend the most appropriate account type. FINRA Regulatory Notice 13-23 addresses reverse churning concerns in fee-based accounts. The lack of ongoing portfolio management despite collecting advisory fees may also constitute a breach of the duty to provide continuous and regular supervisory or management services as represented in Form ADV disclosures, potentially violating the antifraud provisions. Additionally, the IRA rollover from 401(k) plans triggers analysis under the Department of Labor's prohibited transaction exemptions (PTE 2020-02), which requires documentation that the rollover recommendation is in the retirement investor's best interest, including a comparison of fees.

Recommended Action

Pinnacle Wealth Partners' compliance department should conduct an immediate firm-wide review of all advisory accounts to identify those with minimal trading activity relative to fees charged, using a quantitative screen for accounts with fewer than a defined threshold of discretionary trades per year. For the Kowalski account and the 74 flagged accounts, the firm should perform a cost-benefit analysis comparing advisory fees paid against what commission-based costs would have been, and assess whether the level of advisory services delivered (financial planning, rebalancing, tax management, retirement analysis) justified the fee-based structure. Clients who were materially disadvantaged should receive restitution of excess fees - for the Kowalskis, approximately \$14,880 representing the difference between fees paid and commission equivalents. Fontaine should be placed on heightened supervision with mandatory quarterly documentation of advisory services delivered to each client. The firm should implement automated surveillance to flag advisory accounts with dormant activity for quarterly compliance review. The firm should also consider whether Fontaine's Form ADV brochure accurately describes the services provided and amend disclosures if necessary. If the pattern reflects willful neglect of fiduciary duties, referral to state securities regulators

and SEC examination staff is warranted.

Red Flag Scenario 15

Topic: *crypto_assets_unsuitable*

Fact Pattern

Margaret Ellison, age 74, is a retired schoolteacher living in Tucson, Arizona, with a fixed income of \$2,800 per month from her pension and Social Security. She has approximately \$340,000 in retirement savings held in an IRA account at a mid-sized brokerage firm. Her account opening documents from 2019 list her investment objective as 'capital preservation,' her risk tolerance as 'conservative,' her time horizon as '1-3 years,' and her liquidity needs as 'high' due to anticipated medical expenses related to a recent cancer diagnosis. In March 2023, her financial advisor, Derek Montoya, age 31, recommended that Mrs. Ellison liquidate \$185,000 - approximately 54% of her IRA - from a diversified portfolio of Treasury bonds and investment-grade municipal bond funds and reinvest the proceeds into a combination of Bitcoin, Ethereum, Solana, and three smaller-capitalization altcoins through a digital asset allocation program offered by the firm. Montoya told Mrs. Ellison that 'crypto is the future of money' and that she could 'easily double her portfolio in a year.' He did not provide any written risk disclosures specific to digital assets, nor did he discuss the extreme volatility history of these tokens. Mrs. Ellison signed the paperwork, trusting Montoya, whom she had worked with for four years. By November 2023, the crypto portfolio had declined in value by approximately 47%, reducing the \$185,000 investment to roughly \$98,000. Mrs. Ellison was forced to liquidate a portion of the remaining crypto holdings at a loss to cover \$32,000 in out-of-pocket chemotherapy costs. In total, she realized losses exceeding \$87,000. Montoya earned approximately \$7,400 in commissions and platform fees from the crypto transactions. Internal firm records show Montoya placed similar crypto-heavy allocations in the accounts of at least six other clients over the age of 70 during the same period.

Red Flag

A financial advisor moved the majority of a 74-year-old cancer patient's conservative retirement savings into highly volatile cryptocurrency assets, resulting in catastrophic losses and an inability to meet critical medical expenses.

Red Flag Indicators

- Over 54% of a conservative retiree's IRA was concentrated into a single highly speculative asset class
- Customer's documented risk tolerance was 'conservative' and investment objective was 'capital preservation,' directly contradicting the recommendation
- Client had a stated 1-3 year time horizon and high near-term liquidity needs due to medical expenses, incompatible with volatile digital assets
- Advisor made unsubstantiated verbal performance guarantees ('easily double her portfolio in a year') without written disclosures
- No written risk disclosures specific to digital asset volatility were provided to the client
- Advisor earned \$7,400 in commissions and fees, suggesting financial motivation for the recommendation
- A pattern of similar unsuitable crypto allocations was identified in at least six other elderly client accounts
- Client was a 74-year-old retiree on fixed income with no other significant assets or income sources to

absorb losses

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2111 (Suitability), which requires that a recommended investment strategy be suitable given the customer's age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Under Regulation Best Interest (Reg BI) adopted pursuant to Section 913 of the Dodd-Frank Act and codified at 17 CFR § 240.15l-1, the advisor had a Care Obligation to exercise reasonable diligence, care, and skill in making the recommendation, ensuring it was in the customer's best interest and did not place the advisor's financial interests ahead of the client's. The verbal performance guarantee may also violate FINRA Rule 2210 (Communications with the Public) regarding misleading statements. The pattern of similar conduct across multiple elderly accounts could constitute a supervisory failure under FINRA Rule 3110 (Supervision). Additionally, the concentration of a senior investor's assets into speculative crypto holdings may implicate NASAA guidelines on senior investor protection and potential financial exploitation of vulnerable adults.

Recommended Action

The firm's compliance department should immediately freeze Montoya's ability to make new crypto recommendations and initiate a full review of all his client accounts, particularly those belonging to investors over age 65. A look-back review should examine each of Montoya's crypto-related transactions for suitability documentation and whether adequate risk disclosures were provided. The firm should file a FINRA Rule 4530 reporting event if it determines a potential rule violation occurred. Mrs. Ellison should be contacted directly to assess potential restitution or account remediation. The firm should consider referring the matter to FINRA Enforcement and should cooperate with any resulting investigation. Montoya should be placed on heightened supervision pending the internal review. The firm should also evaluate whether its supervisory procedures for digital asset recommendations are adequate and whether principal review was conducted prior to these transactions, updating its Written Supervisory Procedures (WSPs) as necessary.

Red Flag Scenario 16

Topic: options_unsuitable

Fact Pattern

Robert and Linda Chen, ages 68 and 65 respectively, are a retired couple living in suburban Philadelphia. Robert is a former postal worker and Linda is a former part-time librarian. Their combined retirement income is approximately \$4,100 per month from pensions and Social Security. They hold a joint brokerage account with a total value of approximately \$410,000, which represents their entire liquid net worth aside from their home. Their account application, completed in January 2022, lists their investment experience as 'limited - mostly mutual funds and CDs,' their risk tolerance as 'moderate,' their investment objective as 'income with moderate growth,' and their time horizon as '5-10 years.' In June 2022, their advisor, Patricia Valdez, convinced them to sign an options trading agreement, telling them she could 'generate extra monthly income safely using covered calls.' Over the following 14 months, however, Valdez executed a total of 247 options transactions in the Chens' account, including not only covered calls but also naked put writes, bull call spreads, iron condors, and short strangles on highly volatile technology and biotech stocks. The Chens had no prior experience with any options strategy beyond a basic conceptual understanding of

covered calls. Many positions involved margin borrowing, and the account's margin balance reached as high as \$138,000 at one point. The cumulative commissions and options contract fees over the 14-month period totaled approximately \$41,200. The account suffered net realized and unrealized losses of approximately \$167,000, reducing the portfolio from \$410,000 to roughly \$243,000. The Chens first became aware of the extent of the trading when they received a margin call for \$46,000 in August 2023, at which point they contacted the firm's branch manager. Valdez had discretionary control over the account, though no formal written discretionary authorization was ever signed by the Chens. Monthly account statements were mailed to the Chens but contained dense options transaction summaries that neither Robert nor Linda understood.

Red Flag

A financial advisor executed 247 complex options transactions - including naked puts, short strangles, and iron condors on margin - in the joint account of an inexperienced retired couple, generating over \$41,000 in fees while causing \$167,000 in losses, all without proper discretionary authorization.

Red Flag Indicators

- 247 options transactions over 14 months in an account belonging to retirees with 'limited' investment experience, indicating potential excessive trading or churning
- Escalation from the disclosed strategy of covered calls to highly complex strategies including naked puts, short strangles, and iron condors without documented client understanding or consent
- Margin borrowing reaching \$138,000 in a retirement-focused account with a 'moderate' risk tolerance and 'income with moderate growth' objective
- Cumulative commissions and fees of \$41,200 representing approximately 10% of the original account value in just 14 months, suggesting an excessive cost-to-equity ratio
- No formal written discretionary trading authorization on file despite the advisor exercising de facto discretion over trade selection, timing, and execution
- Account holders had no meaningful ability to understand monthly statements detailing complex options activity
- Account losses of \$167,000 (approximately 41% of original value) in a couple's entire liquid retirement savings
- The advisor's initial pitch framed the strategy as safe income generation (covered calls) but actual trading bore no resemblance to that conservative description

Regulatory Concern

Multiple regulatory violations are implicated. FINRA Rule 2360 (Options) requires that options recommendations be suitable for the customer based on their financial situation, investment objectives, and experience, and that firms conduct appropriate due diligence before approving options trading privileges - especially for complex, multi-leg, and uncovered strategies. FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitative suitability for all recommendations; the volume, complexity, and cost of the trading likely fail all three prongs. Under Regulation Best Interest (17 CFR § 240.15l-1), the Care Obligation required Valdez to ensure each recommendation and the overall trading strategy was in the Chens' best interest given their profile. The unauthorized exercise of discretion without written authorization violates FINRA Rule 3260 (Discretionary Accounts). The turnover rate and cost-to-equity ratio likely establish quantitative unsuitability and potential churning, which may also constitute a violation of Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder if

scienter is established. The firm's failure to detect 247 options trades, escalating margin, and high commissions in a retiree account raises supervisory failure concerns under FINRA Rule 3110 (Supervision) and FINRA Rule 3120 (Supervisory Control System).

Recommended Action

The firm should immediately suspend Valdez's options trading privileges and place her under heightened supervision. A comprehensive review of all Valdez client accounts should be conducted, focusing on options activity, turnover rates, commission-to-equity ratios, and client demographics. The firm should calculate annualized turnover ratios and cost-to-equity ratios for the Chens' account to quantify potential churning. A formal investigation should determine whether Valdez was exercising unauthorized discretion across other accounts. The Chens should be contacted by a senior compliance officer to explain the trading activity and assess remediation, including potential restitution of losses and commission rebates. The firm should file a FINRA Rule 4530 event report and, if warranted, a Form U5 amendment disclosing the circumstances of any termination. The firm should also review its options account approval process to assess whether the Chens were properly approved for the level of options trading that occurred, and whether supervisory exception reports for concentrated options activity, margin usage, and commission thresholds in retirement accounts were functioning appropriately.

Red Flag Scenario 17

Topic: bond_duration_mismatch

Fact Pattern

Margaret Holloway, age 74, is a retired school librarian in Tucson, Arizona, living on a fixed income consisting of Social Security (\$2,100/month) and a small pension (\$1,400/month). She has a total liquid net worth of approximately \$410,000, held in an IRA rollover account at a regional broker-dealer. In March 2023, Mrs. Holloway told her financial advisor, Craig Denton, that she needed to begin taking regular monthly distributions of \$2,000 from her IRA to supplement her income and cover prescription drug costs, property taxes, and home maintenance. She explicitly stated she could not afford to lose principal and needed predictable income over the next 3-5 years. Between March and June 2023, Denton liquidated Mrs. Holloway's existing portfolio of short-term Treasury bills and a money market fund, and reinvested approximately \$385,000 into long-duration zero-coupon municipal bonds and 30-year Treasury STRIPS with maturities ranging from 2045 to 2053. These instruments pay no periodic interest and are highly sensitive to interest rate fluctuations. Denton earned \$11,200 in commissions on the transactions. By October 2023, as interest rates continued to rise, the portfolio's market value had declined to approximately \$278,000, a paper loss of roughly \$107,000, or 27.8%. To fund her required monthly distributions, Mrs. Holloway was forced to sell portions of these holdings at steep losses. Over the following six months, she liquidated approximately \$14,400 in bonds at realized losses exceeding \$5,100. By April 2024, her account balance had fallen to \$241,000. Mrs. Holloway's granddaughter, a CPA, reviewed the account statements and filed a written complaint with the firm, noting that her grandmother had never requested or understood long-duration zero-coupon instruments and that Denton had described the purchases as 'safe government and municipal bonds.'

Red Flag

Placement of a 74-year-old retiree's liquid assets, needed for near-term income distributions, into ultra-long-duration zero-coupon bonds with extreme interest rate sensitivity and no periodic cash flow

Red Flag Indicators

- Complete liquidation of short-term, liquid, low-risk holdings (T-bills, money market) and replacement with 20-30 year duration instruments
- Client explicitly communicated a 3-5 year time horizon and immediate need for monthly distributions, yet portfolio duration exceeded 20 years
- Zero-coupon bonds generate no periodic income, directly contradicting the client's stated need for regular cash flow
- Client's age (74), fixed-income dependency, and inability to tolerate principal loss were documented but ignored in the investment selection
- Advisor described zero-coupon STRIPS and long-duration munis as 'safe government and municipal bonds,' omitting material interest rate risk disclosures
- Commission-driven motivation evident: \$11,200 in commissions generated on a \$385,000 reallocation for a client who was well-served by existing low-cost holdings
- Forced liquidation of depreciated long-duration bonds at losses to fund basic living expenses, creating a destructive sequence-of-returns spiral
- 27.8% portfolio decline within seven months for a client with a conservative risk profile and no capacity to recover losses

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including customer-specific suitability and quantitative suitability, as well as Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the Care Obligation (requiring reasonable diligence to understand risks and match recommendations to the customer's investment profile) and the Disclosure Obligation (requiring full and fair disclosure of material risks). The misrepresentation of ultra-long-duration zero-coupon bonds as 'safe' may also constitute a violation of FINRA Rule 2210 (Communications with the Public) and potentially fraud under Section 10(b) of the Exchange Act and Rule 10b-5. Additionally, given Mrs. Holloway's age, FINRA Rule 2165 (Financial Exploitation of Specified Adults) and related senior investor protections are relevant. The commission motivation may implicate FINRA's conflict-of-interest obligations under Reg BI's Conflict of Interest Obligation.

Recommended Action

The firm's compliance department should immediately place a supervisory hold on the advisor's discretionary activities and initiate a heightened supervision review of all accounts managed by Craig Denton, with particular focus on senior clients and fixed-income portfolios. The firm should engage an independent fixed-income specialist to assess the remaining portfolio and develop a remediation plan to transition Mrs. Holloway's holdings into instruments aligned with her income needs and time horizon, such as short-duration bonds, bond ladders, or Treasury bills. A restitution calculation should be performed to determine the full extent of losses attributable to the unsuitable recommendations, including both realized losses and the opportunity cost of liquidating the original holdings. The complaint should be reported on the advisor's Form U4/U5 and, if warranted, referred to FINRA's Department of Enforcement. The firm should also review its supervisory procedures for detecting duration mismatches in accounts flagged for regular distributions or belonging to senior investors.

Red Flag Scenario 18

Topic: *crypto_assets_unsuitable*

Fact Pattern

Donald and Patricia Eng, ages 68 and 65 respectively, are a married couple in suburban Philadelphia who retired in 2021 after selling their dry-cleaning business. Their total investable assets are approximately \$620,000, representing their entire retirement savings aside from Social Security benefits (combined \$4,800/month). Neither has a pension. In January 2024, their financial advisor, Ryan Samuels, at a dually registered broker-dealer and investment adviser, recommended that the couple invest \$190,000 - approximately 30.6% of their portfolio - into a combination of cryptocurrency-related products: \$95,000 into a private fund investing primarily in Bitcoin and Ethereum, \$55,000 into shares of a speculative blockchain technology startup offered through a private placement, and \$40,000 into a leveraged crypto exchange-traded product. Samuels told the Engs that cryptocurrency was 'the future of money' and that the allocation would 'turbocharge their retirement.' The couple's new account form listed their risk tolerance as 'moderate,' their investment objective as 'income with capital preservation,' and their investment experience as 'limited - CDs and savings accounts.' The private fund had a 2-year lock-up period with no early redemption, the private placement was restricted and illiquid with no public market, and the leveraged ETF carried daily rebalancing decay risk. By August 2024, Bitcoin experienced a significant correction. The leveraged crypto ETF lost approximately 62% of its value, falling to roughly \$15,200. The blockchain startup disclosed in a letter to investors that it was suspending operations and that investors should expect to recover no more than \$0.10 on the dollar. The private fund suspended redemptions citing liquidity concerns. In total, the Engs' \$190,000 crypto-related investment was worth an estimated \$52,700 - a loss of approximately \$137,300, or 72.3%. The couple, who had planned to use portfolio withdrawals to supplement Social Security and pay for Patricia's ongoing cancer treatment, were left unable to access a significant portion of their retirement savings. Their son discovered the allocation when reviewing year-end tax documents and filed a complaint in October 2024.

Red Flag

Concentration of over 30% of a retired couple's entire life savings into illiquid, speculative, and leveraged cryptocurrency-related products despite a moderate risk tolerance, income-oriented objectives, limited investment experience, and critical near-term liquidity needs including medical expenses

Red Flag Indicators

- 30.6% concentration in a single speculative asset class (cryptocurrency) for clients whose stated objective was income with capital preservation
- Client investment experience was documented as 'limited - CDs and savings accounts,' making complex products like leveraged ETFs, private funds, and private placements fundamentally inappropriate
- Private fund with a 2-year lock-up and a private placement with no secondary market imposed severe liquidity constraints on retirees needing regular portfolio withdrawals
- Leveraged crypto ETF subject to daily rebalancing decay is a short-term trading instrument, not a retirement holding, and carries amplified downside risk
- Advisor used promotional language ('turbocharge their retirement,' 'future of money') rather than balanced risk disclosure, suggesting a sales-driven approach
- No documented analysis of how the couple would fund living expenses and medical costs if the crypto

investments declined or became inaccessible

- The couple had no other retirement income sources beyond Social Security and this portfolio, meaning any significant loss directly threatened their ability to meet basic needs
- Combined 72.3% loss across all three crypto-related holdings within eight months, with two of three positions effectively inaccessible due to lock-ups and business failure

Regulatory Concern

This fact pattern implicates multiple regulatory frameworks. Under Regulation Best Interest (Reg BI), the advisor's Care Obligation requires a reasonable basis to believe the recommendation is in the customer's best interest considering their investment profile, including age, financial situation, risk tolerance, liquidity needs, and investment experience - all of which counseled against this allocation. FINRA Rule 2111 (Suitability) similarly requires customer-specific suitability analysis. The concentration in a single volatile asset class may violate reasonable-basis suitability standards. The private fund and private placement implicate Regulation D under the Securities Act of 1933, including whether the Eng's qualified as accredited investors and whether adequate disclosure was provided. The leveraged ETF recommendation may violate FINRA Regulatory Notice 09-31 and 09-73 regarding leveraged and inverse ETFs, which caution that these products are generally unsuitable for long-term retail investors. The advisor's promotional statements without balanced disclosure may violate FINRA Rule 2210 (Communications with the Public). The Eng's ages (65 and 68) also trigger enhanced protections for senior investors under FINRA Rule 2165. The firm's failure to supervise the concentration and product suitability may constitute a violation of FINRA Rule 3110 (Supervision). If the advisor had a financial incentive (such as higher commissions or revenue sharing from the private fund or placement) that was not disclosed, the Conflict of Interest Obligation under Reg BI and the fiduciary duty under the Investment Advisers Act of 1940 (if the recommendation was made in an advisory capacity) would also be implicated.

Recommended Action

The firm should immediately escalate the complaint to senior compliance leadership and place Ryan Samuels under heightened supervision, suspending his ability to recommend alternative investments, private placements, or leveraged products pending the investigation's conclusion. A full review of all accounts managed by Samuels should be conducted, with priority given to senior clients and accounts with documented conservative objectives. For the Eng's specifically, the firm should engage counsel to assess restitution and potential settlement, calculating damages based on the difference between the portfolio's performance under the unsuitable allocation versus a portfolio consistent with the clients' stated objectives. The firm should explore whether the private fund's suspension of redemptions triggers any contractual or fiduciary claims the firm can pursue on the clients' behalf. Compliance should evaluate whether the firm's supervisory systems flagged the 30.6% concentration in crypto-related products at the point of sale and, if not, implement automated concentration alerts and product-specific guardrails for leveraged ETFs, private funds, and digital asset products. The matter should be reported to FINRA via the firm's complaint reporting obligations, and the advisor's Form U4 should be updated to reflect the pending complaint. If the investigation reveals that Samuels received undisclosed compensation from the private fund or placement agent, the matter should be referred to FINRA Enforcement and potentially the SEC's Division of Enforcement.

Red Flag Scenario 19

Topic: reverse_churning

Fact Pattern

Margaret Holloway, age 71, is a retired school principal living in suburban Ohio with a fixed income of approximately \$3,200 per month from her pension and Social Security. In March 2021, she met with financial advisor Derek Paulson at a regional wealth management firm. Margaret had \$410,000 in a traditional IRA that had been held at a discount brokerage in a portfolio of blue-chip dividend stocks and Treasury bonds. She told Derek that she was a conservative, buy-and-hold investor who rarely made trades - perhaps two or three per year - and that her primary goal was capital preservation with modest income generation to supplement her pension. Derek recommended she transfer her entire IRA into a fee-based advisory account at his firm, which charged an annual wrap fee of 1.65% of assets under management, or approximately \$6,765 per year. Margaret agreed, trusting Derek's explanation that the advisory account would provide 'ongoing professional management and monitoring.' Over the next 30 months, from April 2021 through September 2023, account records show that Derek executed a total of only four trades in Margaret's account: two small rebalancing transactions in June 2021, one dividend reinvestment adjustment in January 2022, and one bond swap in March 2023. The portfolio composition remained virtually unchanged from its original allocation. During this period, Margaret paid a cumulative total of approximately \$16,900 in wrap fees. Had she remained in a commission-based account, her total trading costs for the same four transactions would have been roughly \$120 to \$200. Derek collected approximately \$5,900 in personal compensation from the fees generated by Margaret's account. Margaret's account statements showed the advisory fees being deducted quarterly, but she later told a family member she assumed the fees were 'just normal account maintenance charges' and did not understand the difference between fee-based and commission-based pricing. At no point did Derek conduct a formal portfolio review meeting with Margaret, send her a written financial plan, or provide any advisory services beyond the four minimal trades.

Red Flag

A buy-and-hold retiree was placed into a high-cost fee-based advisory account despite minimal trading activity and no meaningful advisory services being provided, resulting in excessive fees compared to what a commission-based account would have cost.

Red Flag Indicators

- Extremely low trade frequency (only 4 trades over 30 months) in a fee-based advisory account charging 1.65% annually
- Cumulative advisory fees of approximately \$16,900 versus estimated commission costs of under \$200 for the same activity
- Client's self-described investment approach was buy-and-hold with conservative, infrequent trading - inconsistent with the need for an advisory account
- No formal portfolio review meetings, written financial plans, or documented advisory services were ever provided to the client
- Client was a 71-year-old retiree on fixed income with limited financial sophistication who did not understand the fee structure
- The portfolio remained virtually unchanged from its original allocation, indicating no active management

was occurring

- Advisor earned approximately \$5,900 in personal compensation from an account that required almost no work
- Client mistakenly believed quarterly fee deductions were routine maintenance charges rather than advisory fees

Regulatory Concern

This scenario raises concerns under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the Care Obligation, which requires broker-dealers to evaluate whether the account type recommended is in the customer's best interest. Placing a buy-and-hold client into a fee-based account when a commission-based account would be significantly less expensive may violate the account-type suitability component. Additionally, FINRA Regulatory Notice 18-25 specifically addresses reverse churning - the practice of placing inactive accounts into fee-based programs to generate ongoing asset-based fees without providing commensurate advisory services. If the advisor is a registered investment adviser or IAR, the conduct may violate the fiduciary duty of care and loyalty under the Investment Advisers Act of 1940, as interpreted by the SEC. The failure to disclose the fee differential and the lack of any meaningful advisory services further implicate duties of disclosure and fair dealing under FINRA Rule 2010 (Standards of Commercial Honor).

Recommended Action

The firm's compliance department should conduct a retrospective review of all fee-based accounts managed by Derek Paulson, specifically comparing trade frequency and advisory services rendered against fees charged. Margaret Holloway's account should be immediately evaluated for restitution of excess fees - the difference between fees paid and what she would have paid in a commission-based arrangement. The firm should implement automated surveillance triggers that flag fee-based accounts falling below a minimum trade or activity threshold over rolling 12-month periods. Derek Paulson should be subject to heightened supervision and required to document advisory services provided to each client. The matter should be escalated to senior compliance for potential filing of a Form U5 amendment if a pattern of reverse churning is identified. The firm should also consider whether a regulatory self-report is warranted.

Red Flag Scenario 20

Topic: complex_products_unsophisticated_investor

Fact Pattern

Roberto and Elena Medina are a married couple in their early 50s living in Bakersfield, California. Roberto works as a long-haul truck driver earning approximately \$62,000 per year, and Elena works part-time as a home health aide earning \$18,000 annually. Their combined household income is roughly \$80,000. They have no prior investment experience beyond a small savings account and Roberto's employer-sponsored 401(k) with a balance of about \$47,000 invested entirely in a target-date fund. In January 2022, the couple received a \$225,000 inheritance from Elena's late mother. They approached financial advisor Candace Whitmore at a full-service brokerage office, explaining that they wanted to invest the money safely so they could use it to pay off their mortgage (with a remaining balance of \$138,000), fund their two children's college education starting in 2025 and 2027, and build a retirement cushion. They emphasized repeatedly

that they could not afford to lose the inheritance and that they would need access to portions of it within two to five years. Candace recommended allocating \$95,000 into a non-traded real estate investment trust with a seven-year lockup period and no secondary market liquidity, \$65,000 into a structured product linked to a basket of emerging market equity indices with a six-year maturity and principal protection only if held to term, and \$40,000 into a leveraged closed-end fund focused on high-yield corporate bonds using approximately 35% leverage. The remaining \$25,000 was placed into a money market fund. Candace earned a 7% upfront commission on the non-traded REIT (\$6,650), a 3% sales concession on the structured note (\$1,950), and standard commissions on the closed-end fund purchase. In total, she earned approximately \$9,400 in commissions from the single meeting. Candace provided the Medinas with prospectuses for each product but did not walk them through the documents or explain the specific risks. Roberto later stated that he believed the non-traded REIT was 'like a savings account for real estate' and that the structured note was 'government guaranteed.' By October 2023, the leveraged closed-end fund had declined 22% in value due to rising interest rates impacting both high-yield bonds and the effects of leverage, reducing the \$40,000 investment to approximately \$31,200. The Medinas attempted to access funds from the non-traded REIT to make their eldest child's first tuition payment in summer 2025 but were informed that early redemption was not available and that no secondary market existed for their shares. They were forced to take a \$15,000 personal loan at 11.5% interest to cover the tuition shortfall.

Red Flag

An unsophisticated couple with no investment experience, a near-term need for liquidity, and an inability to absorb losses was concentrated into illiquid, complex, and leveraged products generating nearly \$9,400 in upfront commissions for the advisor.

Red Flag Indicators

- Clients had zero prior investment experience and explicitly stated they could not afford to lose the inherited funds
- Known liquidity needs within 2-5 years (mortgage payoff, college tuition) were directly contradicted by a 7-year REIT lockup and 6-year structured note maturity
- Over 88% of the investable inheritance (\$200,000 of \$225,000) was placed into complex, illiquid, or leveraged products
- Advisor earned approximately \$9,400 in upfront commissions from a single transaction day, creating a significant conflict of interest
- Client misunderstood fundamental characteristics of the products - believing the REIT was like a savings account and the structured note was government guaranteed
- No evidence that the advisor explained product risks, liquidity constraints, or the impact of leverage despite providing prospectuses
- The leveraged closed-end fund lost 22% in under two years, consistent with the predictable risk of combining high-yield credit exposure with 35% leverage in a rising rate environment
- Clients were forced to take a high-interest personal loan because they could not access their own invested funds when needed

Regulatory Concern

This fact pattern implicates multiple regulatory standards. Under FINRA Rule 2111 (Suitability), the advisor had an obligation to ensure that each recommendation was suitable based on the customers' investment profile, including their financial situation, risk tolerance, liquidity needs, investment experience, and time

horizon - all of which pointed away from complex, illiquid, and leveraged products. Under Regulation Best Interest (Reg BI), the Care Obligation requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. The Disclosure Obligation under Reg BI also requires full and fair disclosure of material facts, including conflicts of interest arising from the substantial upfront commissions. FINRA Regulatory Notices 09-31 (Non-Traded REITs), 12-03 (Complex Products), and the guidance on leveraged and inverse products are directly applicable. The concentration of over 88% of a conservative client's assets in illiquid and complex products may also violate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Trade). The failure to ensure the clients understood what they were purchasing - evidenced by their fundamental misunderstandings - raises additional concerns under the anti-fraud provisions of Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder, as well as Section 17(a) of the Securities Act of 1933, if material omissions or misleading statements occurred.

Recommended Action

The firm should immediately open a supervisory review of the Medina account, including reconstruction of the sales interaction and review of all communications and notes from the January 2022 meeting. The firm should assess whether restitution is appropriate, including reimbursement of the losses on the leveraged closed-end fund, buyback or repurchase of the non-traded REIT shares at original cost, and reimbursement of interest costs incurred on the personal loan the clients were forced to take. Candace Whitmore should be placed on heightened supervision with pre-approval required for all complex product recommendations. The firm should conduct a broader review of all complex product sales by this advisor, particularly those involving clients with limited investment experience or near-term liquidity needs. The compliance department should evaluate whether the firm's product-level suitability controls and concentration limits were functioning properly at the time of the transactions. If the investigation confirms that the advisor failed to disclose material risks or made misleading statements, the matter should be referred for potential disciplinary action and the firm should consider whether a regulatory filing with FINRA (such as a Form U5 amendment or Rule 4530 filing) is required.

Red Flag Scenario 21

Topic: high_fees_unsuitable

Fact Pattern

Margaret Dalton, a 71-year-old retired schoolteacher in Tucson, Arizona, had a \$340,000 portfolio consisting primarily of Treasury bonds and a money market fund. She told her financial advisor, Keith Brennan, that her goals were capital preservation and generating modest income to supplement her \$2,100 monthly pension and Social Security. In March 2022, Brennan recommended she liquidate her existing holdings and reinvest the proceeds into a combination of Class C mutual fund shares across six different fund families and two variable annuities with living benefit riders. The Class C shares carried annual 12b-1 fees of 1.00%, and the variable annuities each imposed mortality and expense charges of 1.35%, subaccount management fees averaging 0.85%, and rider fees of 1.10% annually. The total all-in cost on the variable annuities exceeded 3.30% per year. Brennan also charged a one-time financial planning fee of \$4,500. Over the next 18 months, the combined annual fee drag on Margaret's portfolio exceeded \$9,800 -

roughly 2.88% of her total assets - while the underlying investments returned approximately 4.1% gross before fees, leaving her with a net return of barely 1.2%. Margaret's prior Treasury bond portfolio had been generating approximately 3.4% annually with negligible fees. Brennan received approximately \$14,200 in upfront and trailing commissions during the first year. Margaret's neighbor, a retired accountant, reviewed her statements in September 2023 and discovered that the fee structure was consuming most of her investment gains. When Margaret contacted Brennan to ask about the fees, he told her that the products were 'standard for someone in her situation' and that switching out would trigger surrender charges of up to 7% on the annuities.

Red Flag

A low-risk, fee-sensitive retiree was moved from low-cost Treasury bonds into high-cost Class C mutual fund shares and variable annuities with layered fees exceeding 3% annually, drastically reducing her net returns while generating substantial commissions for the advisor.

Red Flag Indicators

- Wholesale liquidation of a low-cost, suitable existing portfolio to fund new product purchases
- Selection of Class C share classes with ongoing 1.00% 12b-1 fees for a long-term, elderly buy-and-hold investor who would have qualified for breakpoint discounts on Class A shares
- Variable annuities with combined annual charges exceeding 3.30% recommended to a 71-year-old with modest assets and no need for tax deferral
- Total annual fee drag of approximately 2.88% consuming the vast majority of gross investment returns
- Advisor received \$14,200 in first-year commissions, representing over 4% of the client's total investable assets
- Surrender charge periods of up to 7 years effectively lock a 71-year-old client into products she may need to access for healthcare or living expenses
- No documented analysis comparing the cost and performance of the existing Treasury bond portfolio against the recommended products
- Advisor dismissed fee concerns by characterizing expensive products as 'standard' without providing any comparative cost disclosure

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), FINRA Rule 2330 (Variable Annuity Suitability), and Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the Care Obligation requiring analysis of reasonably available alternatives and the cost of the recommendation. The layered fee structure and Class C share selection may also implicate FINRA Regulatory Notice 16-15 regarding mutual fund share class suitability. If Brennan held himself out as a fiduciary or was dually registered, the Investment Advisers Act of 1940 Sections 206(1) and 206(2) prohibiting fraud and breach of fiduciary duty may also apply. The failure to consider lower-cost alternatives and the disproportionate fee burden relative to the client's conservative objectives and modest asset base suggest the recommendations were made primarily to benefit the advisor.

Recommended Action

The firm's compliance department should immediately review all of Brennan's variable annuity and Class C share recommendations over the past three years, with particular focus on elderly clients with conservative profiles. A cost-benefit comparison should be performed for Margaret's pre- and post-recommendation portfolio. The firm should consider making Margaret whole by reimbursing excess fees and facilitating a

surrender-charge-free exit from the annuities. Brennan should be placed on heightened supervision with mandatory pre-approval for all annuity and share class recommendations. The matter should be escalated to senior compliance for potential reporting on Form U5 and referral to FINRA if a pattern of high-fee, unsuitable product placement is identified across his book of business.

Red Flag Scenario 22

Topic: speculative_for_conservative_investor

Fact Pattern

Harold and June Ostrowski, ages 78 and 75 respectively, walked into the downtown Milwaukee branch of their brokerage firm in January 2023 with \$610,000 in proceeds from the sale of their family home. They told their advisor, Ryan Castellano, that they had moved into an assisted living community, that the \$610,000 represented the vast majority of their remaining liquid wealth aside from approximately \$40,000 in a joint savings account, and that they needed the money to pay their combined assisted living costs of \$8,400 per month for the foreseeable future. Harold had been diagnosed with early-stage dementia the previous year, and June explained that she handled all financial decisions. She explicitly stated she wanted 'safe investments that we can't lose money on' and requested something similar to the CDs they had previously owned. Over the next four months, Castellano invested approximately \$415,000 of their funds into a concentrated portfolio of small-cap biotechnology stocks, an inverse leveraged ETF tracking the Nasdaq-100, and a private placement REIT with a five-year lockup period and no secondary market. The remaining \$195,000 was placed into a high-yield corporate bond fund rated below investment grade. By October 2023, the biotech positions had declined by 38%, the leveraged inverse ETF had lost approximately 52% of its value due to daily rebalancing decay during a rising market, and the private placement REIT had suspended redemptions entirely. The Ostrowskis' portfolio had fallen to roughly \$347,000. June discovered the losses when she attempted to withdraw \$50,000 to prepay six months of assisted living fees and was told that a significant portion of their assets were either illiquid or had suffered substantial losses. Castellano had earned approximately \$22,000 in commissions and placement fees across the transactions. Internal records showed that Castellano had documented the Ostrowskis' risk tolerance as 'aggressive growth' and their investment time horizon as '10+ years' on the new account form, despite their ages, stated needs, and health circumstances.

Red Flag

An elderly couple with early-stage dementia, dependent on their portfolio to fund assisted living expenses, had the vast majority of their liquid assets placed into speculative small-cap biotech stocks, leveraged inverse ETFs, and an illiquid private placement REIT - resulting in catastrophic losses and inability to access funds for essential care costs.

Red Flag Indicators

- Client profile - ages 78 and 75, one spouse with diagnosed early-stage dementia - is fundamentally incompatible with speculative or aggressive investment strategies
- Clients explicitly requested safe, CD-like investments, and the advisor placed over 68% of assets into highly speculative and illiquid products
- Leveraged inverse ETF is a short-term tactical trading instrument wholly inappropriate for elderly

buy-and-hold investors with income needs

- Private placement REIT with a five-year lockup and no secondary market creates a severe liquidity mismatch for clients requiring \$8,400 per month in assisted living payments
- New account documentation listed risk tolerance as 'aggressive growth' and time horizon as '10+ years,' directly contradicting the clients' stated objectives, ages, and care dependency
- Concentration of over \$415,000 in speculative positions with no diversification into principal-protected or income-generating instruments
- Advisor generated \$22,000 in commissions and placement fees, suggesting financial motivation behind the unsuitable recommendations
- Portfolio declined approximately 43% in nine months, jeopardizing the clients' ability to pay for essential medical and living care

Regulatory Concern

This fact pattern implicates FINRA Rule 2111 (Suitability) across all three obligations - reasonable basis, customer-specific, and quantitative suitability. The falsification of new account documentation to reflect an 'aggressive growth' profile raises concerns under FINRA Rule 4511 (Books and Records) and FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade). Regulation Best Interest under SEC Rule 15l-1, including the Care Obligation and Disclosure Obligation, is directly at issue given the failure to consider the clients' actual financial situation, needs, and expressed preferences. The sale of the private placement REIT may also violate Regulation D suitability requirements if the Ostrowskis did not meet accredited investor thresholds or if the product's illiquidity was not adequately disclosed. The involvement of a client with diagnosed cognitive impairment raises potential issues under FINRA Rule 2165 (Financial Exploitation of Specified Adults) and applicable state elder financial abuse statutes. The deliberate misrepresentation of client information on account forms could constitute a violation of Securities Exchange Act Section 10(b) and Rule 10b-5.

Recommended Action

The firm must immediately freeze Castellano's discretionary authority and place him on suspension pending investigation. A dedicated senior investor protection team should contact June Ostrowski to assess the full scope of harm and arrange for emergency liquidity from any accessible account positions to ensure continuity of assisted living payments. The compliance department should file a suspicious activity report and consider whether a report to state Adult Protective Services is warranted given Harold's cognitive impairment. The falsified account documentation should be preserved and compared against recorded conversations, emails, and the clients' own written intake materials. The firm should initiate a full review of Castellano's entire book of business with emphasis on elderly and vulnerable clients. Restitution should be calculated based on the difference between the clients' portfolio performance and a reasonable benchmark portfolio consistent with their stated conservative objectives. The matter should be reported to FINRA and, if applicable, to the relevant state securities regulator, with potential Form U4/U5 amendments reflecting the investigation and any resulting disciplinary action.

Red Flag Scenario 23

Topic: penny_stocks_unsuitable

Fact Pattern

Margaret Kowalski, a 71-year-old retired school librarian in Tucson, Arizona, had a \$340,000 IRA rollover account that she opened in March 2022 with broker Daniel Voss at Southwest Capital Partners. Mrs. Kowalski's new account form listed her investment objective as 'income and preservation of capital,' her risk tolerance as 'low,' her annual income as \$38,000 from Social Security and a small pension, her liquid net worth as \$370,000, and her investment experience as 'limited - mostly CDs and a target-date fund in her 403(b).' During their initial meeting, she told Voss she needed the account to supplement her retirement income and could not afford significant losses. Between April and November 2022, Voss executed 47 purchases of penny stocks and micro-cap equities trading below \$2.00 per share across 19 different issuers, investing approximately \$215,000 - roughly 63% of Mrs. Kowalski's portfolio - into these positions. The stocks included a cannabis startup trading on the OTC Pink Sheets at \$0.38, a lithium mining exploration company at \$0.72, a pre-revenue biotech firm at \$1.10, and several other highly speculative companies with minimal revenues and no earnings history. Voss told Mrs. Kowalski these were 'ground-floor opportunities' that would 'double or triple within a year.' He did not explain the extreme volatility, wide bid-ask spreads, thin trading volumes, or the risk of total loss associated with these securities. Many of the trades were solicited by Voss during phone calls he initiated. By February 2023, the penny stock positions had collectively lost approximately \$163,000 in value - a 76% decline - with several positions becoming essentially worthless due to trading halts or company dissolutions. Mrs. Kowalski's total account value dropped from \$340,000 to approximately \$148,000. She discovered the extent of her losses only after her nephew, a CPA, reviewed her year-end brokerage statements and questioned why a retiree's IRA was filled with OTC micro-cap stocks. Voss earned approximately \$14,800 in commissions on the penny stock trades, which featured markups averaging 4.7%.

Red Flag

A registered representative concentrated a conservative, elderly retiree's IRA in highly speculative penny stocks and OTC micro-cap securities that were entirely inconsistent with her documented income needs, low risk tolerance, limited experience, and capital preservation objective.

Red Flag Indicators

- 63% portfolio concentration in penny stocks and micro-cap securities for a client with a 'low' risk tolerance and 'preservation of capital' objective
- 47 purchases across 19 speculative OTC issuers within an 8-month period in a retirement account for a 71-year-old retiree
- Client's documented investment experience was limited to CDs and a target-date fund, yet was placed into pre-revenue biotech, cannabis startups, and mining exploration companies
- Wide bid-ask spreads and markups averaging 4.7% per transaction, significantly above typical equity commission rates
- Solicited trades initiated by the broker rather than the client, suggesting the client was not independently seeking speculative investments
- No disclosure or discussion of the specific risks of penny stocks including illiquidity, volatility, potential for total loss, and limited public information
- 76% decline in the penny stock holdings within approximately 10 months, with several positions becoming worthless
- Losses discovered only by a third-party family member reviewing statements, indicating the client lacked understanding of what was in her account

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including customer-specific suitability and quantitative suitability, as the penny stock recommendations were fundamentally inconsistent with the customer's documented profile. Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1, may also apply, requiring that the broker act in the customer's best interest at the time of the recommendation, considering the customer's investment profile. The concentration in speculative, illiquid securities in a retiree's IRA may also implicate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially FINRA Rule 2020 if the advisor's statements about 'doubling or tripling' constituted fraudulent or misleading representations. Additionally, the SEC's penny stock rules under Exchange Act Rules 15g-1 through 15g-9 impose heightened disclosure and suitability obligations for penny stock transactions with non-exempt customers, including written risk disclosures and signed suitability statements that appear not to have been provided. NASAA guidelines on senior investor protections are also relevant given the client's age.

Recommended Action

The firm's compliance department should immediately freeze Daniel Voss's ability to execute penny stock or OTC trades and place his book of business under heightened supervision. A comprehensive review of all of Voss's client accounts should be conducted to identify other customers who may have been placed in similarly unsuitable speculative securities. The firm should file a FINRA Rule 4530 report and consider whether a Form U5 amendment is warranted. Mrs. Kowalski should be contacted regarding potential restitution or the firm's complaint process. Compliance should verify whether required penny stock disclosures and suitability determinations were properly documented. A suspicious activity review should assess whether Voss had any undisclosed financial interest in the penny stock issuers. The matter should be escalated to senior management and outside counsel to evaluate potential exposure under FINRA arbitration and possible referral to FINRA Enforcement and the SEC.

Red Flag Scenario 24

Topic: junk_bonds_conservative_investor

Fact Pattern

Harold and Estelle Brennan, ages 78 and 75 respectively, were long-time clients of financial advisor Patricia Mendes at Atlantic Wealth Management in Stamford, Connecticut. The couple had a combined portfolio of approximately \$1.2 million across a joint brokerage account and two individual IRAs, built over decades from Harold's career as a mechanical engineer and Estelle's work as a registered nurse. Both were fully retired, drawing Social Security and relying on portfolio income to cover approximately \$3,500 per month in living expenses not covered by their combined Social Security benefits of \$4,200 per month. Their account documentation consistently listed their investment objectives as 'income with capital preservation,' their risk tolerance as 'conservative,' and their time horizon as '5-10 years.' Their previous portfolio - managed by a now-retired advisor at the same firm - consisted of investment-grade municipal bonds, Treasury securities, and a short-duration bond fund. In January 2023, when Patricia Mendes took over their accounts, she told the Brennans that 'interest rates have changed the game' and that she could 'significantly boost their monthly income without meaningful additional risk.' Between February and August

2023, Mendes systematically liquidated approximately \$890,000 of the Brennans' investment-grade holdings and reinvested the proceeds into 14 different high-yield corporate bond positions rated BB or below, including three issues rated CCC by major rating agencies. The new positions included bonds issued by a distressed oil-and-gas exploration company, a highly leveraged regional hospital chain facing Medicare reimbursement cuts, a retail chain that had recently emerged from Chapter 11 bankruptcy, and a cryptocurrency lending platform. Mendes also placed \$120,000 into a closed-end high-yield bond fund trading at a 6% premium to its net asset value, and another \$95,000 into a leveraged loan fund with a 2.1% annual expense ratio. The portfolio's weighted average credit quality dropped from A+ to B, and its effective duration extended from 3.2 years to 7.8 years. The Brennans' monthly income initially increased from approximately \$3,200 to \$5,100, which Mendes highlighted in quarterly reviews. However, by December 2023, three of the bond positions experienced significant credit downgrades, and the cryptocurrency lending platform bond defaulted entirely, resulting in a near-total loss of the \$75,000 invested in that issue. The distressed oil-and-gas bonds dropped 34% in market value. Overall, the portfolio lost approximately \$187,000 in principal value by early 2024, falling to roughly \$1.013 million. Mendes earned approximately \$23,400 in commissions and sales concessions on the high-yield bond purchases, compared to the approximately \$6,800 she would have earned maintaining a comparable volume of investment-grade bond trades. Harold Brennan suffered a stroke in March 2024, and the couple urgently needed to liquidate portions of the portfolio to pay for home health aides, only to discover that several of the high-yield positions were trading at steep discounts with very thin secondary market liquidity, forcing sales at losses exceeding 20% below their purchase prices.

Red Flag

A financial advisor replaced a conservative elderly couple's investment-grade bond portfolio with high-yield and distressed debt instruments rated BB or below - including CCC-rated and defaulting issues - dramatically increasing credit risk, duration risk, and liquidity risk in a portfolio explicitly designated for income and capital preservation.

Red Flag Indicators

- Systematic liquidation of \$890,000 in investment-grade municipal and Treasury holdings to purchase 14 high-yield bond positions rated BB or below, including CCC-rated issues, for clients with a documented 'conservative' risk tolerance
- Portfolio weighted average credit quality dropped from A+ to B and effective duration nearly tripled from 3.2 to 7.8 years, fundamentally changing the risk profile without corresponding changes to the clients' documented objectives
- Inclusion of a cryptocurrency lending platform bond and a post-bankruptcy retail chain bond in a portfolio for retirees aged 75 and 78 who depend on the portfolio for living expenses
- Purchase of a closed-end high-yield fund at a 6% premium to NAV and a leveraged loan fund with a 2.1% expense ratio, suggesting prioritization of yield appearance over value and cost efficiency
- Advisor earned \$23,400 in commissions on the high-yield trades versus an estimated \$6,800 on comparable investment-grade transactions, indicating a potential financial incentive to recommend higher-risk products
- Clients were told the changes would boost income 'without meaningful additional risk,' which materially mischaracterized the credit, duration, and liquidity risks of below-investment-grade bonds
- When urgent liquidity was needed for medical expenses, multiple positions could only be sold at steep discounts due to thin secondary market trading - a foreseeable liquidity mismatch for elderly clients with

potential healthcare needs

- The initial increase in monthly income was used by the advisor to validate the strategy in quarterly reviews, obscuring the significant principal risk being taken to generate that income

Regulatory Concern

This conduct potentially violates FINRA Rule 2111 (Suitability), particularly the customer-specific and reasonable-basis suitability obligations, as the high-yield and distressed debt positions were fundamentally inconsistent with the Brennans' conservative profile, income dependence, advanced age, and limited time horizon. Under Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, the advisor's Care Obligation requires consideration of reasonably available alternatives and the risks, rewards, and costs of the recommendation in light of the customer's investment profile - a standard that appears unmet here. The mischaracterization of risk ('without meaningful additional risk') may constitute a violation of FINRA Rule 2210 (Communications with the Public) or FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices) and potentially Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder if the statements were materially misleading. The significant commission differential raises Reg BI Conflict of Interest Obligation concerns and FINRA Rule 3110 supervisory issues. Given the clients' ages, this fact pattern also implicates FINRA Rule 2165 (Financial Exploitation of Specified Adults) and potentially state elder financial abuse statutes. The firm's supervisory system under FINRA Rule 3110 may be deficient if it failed to flag the dramatic shift in portfolio credit quality and risk profile for elderly, conservative clients.

Recommended Action

Atlantic Wealth Management's compliance department should immediately place Patricia Mendes under heightened supervision, restricting her ability to execute below-investment-grade bond transactions without prior principal approval. A full account review of all Mendes client accounts should be initiated, prioritizing elderly and conservative-profile clients, to determine whether a pattern of unsuitable high-yield recommendations exists. The firm should engage an independent fixed-income analyst to assess the current portfolio and develop a remediation plan to transition the Brennans' holdings back toward an appropriate risk profile, considering tax implications and current market conditions. The firm should calculate total damages including realized losses, unrealized losses, excess commissions, and the liquidity discount losses incurred during the forced medical-expense sales. A FINRA Rule 4530 event report should be filed, and the firm should proactively contact the Brennans to discuss restitution. Compliance should review the firm's surveillance systems to determine why the dramatic shift in portfolio credit quality from A+ to B was not flagged. The matter should be referred to outside counsel for assessment of potential FINRA arbitration exposure and to evaluate whether a referral to FINRA Enforcement, the SEC, or the Connecticut Department of Banking is appropriate. Given the clients' ages and Harold's medical condition, the firm should also consider whether an elder exploitation report to adult protective services is required under applicable state law.

Red Flag Scenario 25

Topic: variable_annuity_unsuitable

Fact Pattern

Margaret Thornton, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed income of approximately \$2,400 per month from her pension and Social Security. Her total liquid assets were approximately \$310,000, held in a money market account and a short-term bond fund at a regional brokerage firm. Mrs. Thornton's account documents listed her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '1-3 years,' and her investment experience as 'limited.' In March 2023, her financial advisor, Derek Rollins, age 34, recommended she liquidate \$265,000 - roughly 85% of her liquid net worth - and purchase a variable annuity with a 7-year surrender period. The annuity carried total annual fees of 3.45%, including a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account management fees averaging 1.95%. The surrender charge schedule started at 8% in the first year and declined by 1% annually. Mr. Rollins received an upfront commission of approximately \$18,550 on the sale. Mrs. Thornton was not informed about the surrender charges in detail and believed she could access her funds at any time without penalty. Within eight months, Mrs. Thornton needed \$40,000 for an unexpected hip replacement surgery and associated home care costs. She attempted to withdraw the funds and was assessed a surrender charge of \$3,200. She also discovered that her account value had declined to approximately \$241,000 due to market losses in the aggressive growth sub-accounts Mr. Rollins had selected, combined with the fee drag. Her remaining liquid assets outside the annuity were only \$45,000. Mrs. Thornton's daughter filed a complaint in January 2024 alleging that her mother was never adequately told about fees, did not understand the product, and that the recommendation was wholly inappropriate given her age, income needs, and stated objectives.

Red Flag

A 79-year-old conservative, income-dependent retiree was placed into a high-fee variable annuity with a 7-year surrender period using 85% of her liquid assets, creating a severe liquidity mismatch and exposing her to market risk inconsistent with her profile.

Red Flag Indicators

- Client age of 79 with a 7-year surrender period extending well into her mid-80s
- 85% concentration of liquid assets in a single illiquid product
- Stated investment objectives of income and capital preservation contradicted by placement in aggressive growth sub-accounts
- Conservative risk tolerance and 1-3 year time horizon incompatible with a long-duration variable annuity
- Total annual fees of 3.45% eroding principal for a client dependent on assets for living expenses
- Upfront commission of \$18,550 suggesting advisor financial motivation rather than client need
- Client's limited investment experience and apparent lack of understanding of surrender charges
- No evidence the advisor discussed alternative lower-cost income-generating products

Regulatory Concern

This fact pattern raises potential violations of FINRA Rule 2111 (Suitability), including customer-specific suitability given the client's age, risk tolerance, time horizon, and liquidity needs. It also implicates FINRA Rule 2330, which imposes specific obligations for variable annuity recommendations, including a reasonable basis to believe the transaction is suitable and that the customer has been informed of the product's features, including surrender charges. Regulation Best Interest (Reg BI) under the Securities Exchange Act Section 15(l) may also apply, requiring the advisor to act in the customer's best interest and satisfy the Care Obligation and Disclosure Obligation. Additionally, FINRA Rule 2010 (Standards of

Commercial Honor and Principles of Trade) may be implicated if the advisor misrepresented or omitted material information about fees and liquidity restrictions. Many states also have specific protections regarding annuity sales to senior investors, and FINRA Regulatory Notice 07-43 provides guidance on senior investor protections.

Recommended Action

The firm's compliance department should immediately open a supervisory review of the transaction, including a review of the account opening documents, the new account form, the annuity application, and any notes or correspondence from the advisor. A senior-specific suitability review should be conducted. The firm should interview Mrs. Thornton (with her daughter present if she consents) to determine her understanding of the product at the time of sale. If the recommendation is found unsuitable, the firm should consider rescinding the annuity contract, reimbursing all surrender charges and excess fees, and restoring the client to her prior financial position. Mr. Rollins's book of business should be reviewed for similar patterns, particularly sales to elderly or conservative clients. A filing on Form U5 should be considered, and if a pattern of misconduct is found, a referral to FINRA Enforcement is appropriate. The firm should also evaluate whether its supervisory procedures for variable annuity sales to seniors are adequate under FINRA Rule 3110.

Red Flag Scenario 26

Topic: private_placements_unsuitable

Fact Pattern

Carlos and Elena Gutierrez, ages 52 and 49, are a married couple in Sacramento, California. Carlos works as a warehouse manager earning \$72,000 annually, and Elena is a part-time medical billing clerk earning \$28,000 annually. Their combined household income is \$100,000. They have a modest net worth of approximately \$480,000, which includes \$190,000 in equity in their home, \$85,000 in Carlos's 401(k), \$40,000 in a joint savings account, and \$165,000 in a brokerage account they opened in 2021. Their account documents listed their investment objectives as 'growth' with a 'moderate' risk tolerance and a time horizon of '10-15 years' for retirement. They had no prior experience with alternative investments. Between June 2022 and February 2023, their financial advisor, Patricia Cho, recommended three separate private placement investments: a \$55,000 investment in a real estate development fund focused on luxury resort properties in the Caribbean, a \$50,000 investment in a private oil and gas exploration partnership, and a \$60,000 investment in a startup medical device company offered through a Regulation D memorandum. In total, the Gutierrez family invested \$165,000 - the entirety of their brokerage account - into these three illiquid, high-risk private placements. Each investment carried commissions ranging from 7% to 10%, generating approximately \$14,200 in total commissions for Ms. Cho. The offering memoranda for all three investments disclosed risk factors including total loss of principal, no secondary market, hold periods of 5 to 10 years, and restrictions on transferability. By late 2023, the Caribbean resort fund suspended distributions and disclosed construction delays and cost overruns. The oil and gas partnership reported dry wells on two of its three exploration sites and wrote down asset values by 60%. The medical device startup failed to obtain clearance from regulators and entered receivership in January 2024. The Gutierrez family's \$165,000 investment is now valued at approximately \$22,000 in aggregate. They have no remaining liquid investment assets outside of Carlos's 401(k) and their savings account. The couple filed a complaint in

March 2024 stating they were told these investments were 'like real estate and energy funds you see on TV' and that they did not understand the risks or the illiquid nature of the products.

Red Flag

A moderate-income couple with no alternative investment experience had 100% of their liquid brokerage assets placed into three illiquid, high-risk private placements across unrelated speculative sectors, resulting in near-total loss of their non-retirement investment portfolio.

Red Flag Indicators

- 100% concentration of the brokerage account in illiquid private placements with no liquid holdings remaining
- Three separate private placement purchases in eight months suggesting a pattern of aggressive alternative investment recommendations
- Household income of \$100,000 and net worth of \$480,000 raise questions about whether accredited investor thresholds were legitimately met or whether the advisor assisted in inflating qualifications
- No prior experience with alternative or illiquid investments despite being placed into three complex offerings
- Commissions of 7-10% per transaction totaling \$14,200 indicating significant advisor financial incentive
- Diversification across three unrelated speculative sectors (Caribbean real estate, oil exploration, medical device startup) does not mitigate concentration risk in illiquid alternatives as an asset class
- Client statements suggesting the investments were compared to publicly traded funds, indicating possible misrepresentation of risk and liquidity characteristics
- Moderate risk tolerance and growth objective inconsistent with speculative investments carrying total-loss risk

Regulatory Concern

This fact pattern raises significant concerns under FINRA Rule 2111 (Suitability), particularly the customer-specific suitability obligation, given the clients' moderate risk tolerance, limited net worth, lack of experience with alternative investments, and the concentration of virtually all liquid assets in illiquid offerings. FINRA Rule 5122 (Private Placements of Securities Issued by Members) and Rule 5123 (Private Placements of Securities) impose filing and disclosure requirements, and firms must conduct reasonable due diligence on private placements under FINRA Regulatory Notice 10-22. Regulation Best Interest (Reg BI) under Exchange Act Section 15(l) requires satisfaction of the Care, Disclosure, Conflict of Interest, and Compliance Obligations - the advisor's substantial commissions and the apparent failure to disclose the true nature of these investments implicate all four. The comparison of private placements to publicly traded funds may constitute a violation of FINRA Rule 2210 (Communications with the Public) if made in writing, or a misrepresentation under FINRA Rule 2010. Additionally, if the Gutierrez family did not actually meet the accredited investor definition under Regulation D Rule 501(a), the offerings may have been sold in violation of the applicable Regulation D exemption, potentially implicating Securities Act Section 5. State blue sky laws may also apply.

Recommended Action

The firm should initiate an immediate investigation into the three private placement sales, including a thorough review of the subscription agreements, accredited investor questionnaires, and the advisor's notes or rationale for the recommendations. The firm should verify whether the Gutierrez family legitimately qualified as accredited investors at the time of each investment and whether the advisor assisted in any

way with inflating their financial information. A forensic review of Ms. Cho's entire book of business should be conducted to identify other clients who may have been placed into similar unsuitable private placements. The firm should assess whether adequate due diligence was performed on each offering as required by its supervisory procedures. If the sales are found to have been unsuitable, the firm should offer restitution to the Gutierrez family, potentially including the full \$165,000 principal investment less any distributions received, plus interest. Ms. Cho should be placed on heightened supervision immediately, and if a pattern of misconduct is confirmed, the firm should consider termination and an appropriate Form U5 disclosure. A referral to FINRA Enforcement should be made, and the firm should review and strengthen its supervisory procedures for the approval of private placement sales under FINRA Rule 3110, including implementing concentration limits for alternative investments relative to client net worth.

Red Flag Scenario 27

Topic: alternative_investments_unsuitable

Fact Pattern

Margaret Dalton, a 72-year-old retired school librarian in Tucson, Arizona, had a \$340,000 portfolio consisting primarily of Treasury bonds and a money market fund. She lived on Social Security income of \$2,100 per month and a small pension of \$1,400 per month. Her investment objective on file was 'capital preservation,' her risk tolerance was marked 'conservative,' and her time horizon was listed as '3-5 years' since she anticipated needing funds for assisted living within that window. She had no prior experience with complex investment products. In March 2022, her financial advisor, Craig Pullman, began recommending she move a significant portion of her portfolio into alternative investments. Over the following four months, Pullman placed \$95,000 into a non-traded real estate investment trust with a 7-year lockup period, \$60,000 into a private equity feeder fund with a 10-year commitment and capital call structure, and \$45,000 into a structured note linked to a basket of emerging market currencies with a 5-year maturity. In total, \$200,000 - roughly 59% of her portfolio - was moved into illiquid or semi-liquid alternative products. Pullman earned upfront commissions of approximately \$18,400 across the three transactions, compared to the roughly \$800 he would have earned annually on her prior bond and money market holdings. Mrs. Dalton was not informed that the non-traded REIT had suspended its share repurchase program the prior quarter, nor was she told that the private equity fund required additional capital calls that could obligate her to invest more money she might not have. By January 2023, Mrs. Dalton's health declined and she needed to access funds for a memory care facility costing \$7,500 per month. She discovered she could not liquidate any of the three alternative positions without facing severe penalties or, in the case of the private equity fund, simply could not redeem at all. Her liquid assets had been reduced to approximately \$140,000, which at the rate of her care expenses would be depleted in under two years. Her daughter, acting under power of attorney, filed a written complaint with the firm in April 2023.

Red Flag

A conservative, elderly investor with a short time horizon and anticipated near-term liquidity needs was concentrated into illiquid alternative investments with multi-year lockup periods, generating outsized commissions for the advisor.

Red Flag Indicators

- 59% portfolio concentration in illiquid alternative investments for a 72-year-old conservative investor
- Lockup periods of 7 and 10 years directly conflicting with a stated 3-5 year investment time horizon
- Client had no prior experience with complex or alternative investment products
- Anticipated near-term need for funds to pay for assisted living or memory care expenses
- Upfront commissions of \$18,400 compared to approximately \$800 annual revenue on prior holdings, suggesting commission motivation
- Advisor failed to disclose that the non-traded REIT had suspended its share repurchase program
- Capital call structure of the private equity fund could require additional involuntary outlays from a retiree on fixed income
- Liquid assets reduced to a level insufficient to cover foreseeable care expenses beyond two years

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including the customer-specific and reasonable-basis obligations, as the recommendations were inconsistent with the client's conservative risk tolerance, short time horizon, and documented liquidity needs. It also implicates Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the Care Obligation (making recommendations in the client's best interest and considering reasonably available alternatives) and the Disclosure Obligation (failing to disclose the REIT's suspended repurchase program and the capital call risks). FINRA Rule 2010 (Standards of Commercial Honor) may also apply. Additionally, FINRA Regulatory Notice 12-03 regarding heightened supervision of complex products and FINRA's guidance on non-traded REITs and alternative investment concentration limits are relevant. If the advisor had a fiduciary duty under the Investment Advisers Act of 1940, Sections 206(1) and 206(2) regarding fraud and breach of fiduciary duty would apply. State securities laws and elder financial exploitation statutes may also be implicated.

Recommended Action

The firm's compliance department should immediately freeze any further alternative investment transactions in Mrs. Dalton's account and launch a formal investigation into Craig Pullman's sales practices, including a review of all alternative investment recommendations he has made to clients over age 65 or with conservative profiles. The firm should conduct a full book review of Pullman's clients to determine if a pattern of unsuitable alternative investment concentration exists. The complaint should be reported on Pullman's Form U4 and disclosed on his BrokerCheck record. The firm should explore whether any early redemption or hardship withdrawal provisions exist for the locked-up products and assist the client in accessing whatever liquidity is available. A referral to FINRA Enforcement and the relevant state securities regulator should be made. Restitution to Mrs. Dalton should include recovery of the commissions earned and compensation for any losses or damages resulting from the illiquidity of the investments. The firm should also evaluate whether its supervisory procedures for approving alternative investment sales to senior investors are adequate, and if not, enhance those procedures with mandatory principal review and concentration limits.

Red Flag Scenario 28

Topic: penny_stocks_unsuitable

Fact Pattern

Robert and Linda Chen, ages 66 and 63, are a retired couple in suburban Philadelphia who rolled over their combined 401(k) accounts totaling \$510,000 into individual retirement accounts at a regional brokerage firm in September 2021. Robert is a retired electrician and Linda is a retired dental hygienist. Their new account forms listed their combined annual income as \$58,000 (Social Security and a small annuity), net worth of \$620,000 (including their home), investment experience as 'limited - mostly target-date mutual funds in employer plans,' risk tolerance as 'moderate,' and investment objective as 'retirement income and growth.' Their advisor, Dennis Whitfield, initially placed the accounts in a mix of blue-chip dividend stocks and investment-grade bond funds. However, beginning in February 2022, Whitfield began recommending purchases of micro-cap and penny stocks - shares trading below \$1 on OTC markets - in both of the Chens' IRA accounts. Between February and November 2022, Whitfield executed 47 separate penny stock transactions across the two accounts, purchasing shares in 14 different companies, most of which were thinly traded shell companies or early-stage firms with no revenue. The total amount directed into penny stocks reached \$185,000, representing 36% of their combined retirement portfolio. Many positions were held for only 8 to 21 days before being sold at a loss and replaced with another penny stock. The cumulative trading losses on the penny stock positions totaled \$112,000 by the end of November 2022. Additionally, the Chens paid approximately \$9,400 in markups and markdowns on the OTC transactions, which were not clearly itemized on their statements. Whitfield had a personal relationship with the CEO of one of the penny stock companies and had posted on social media encouraging followers to buy shares of that company, in which he placed \$32,000 of the Chens' money. That particular stock lost 84% of its value within six weeks of purchase. The Chens became aware of the extent of the losses in January 2023 when they requested a year-end portfolio summary to give to their tax preparer. Their combined IRA balances had dropped from \$510,000 to \$371,000 in just over a year.

Red Flag

Retirement IRA accounts belonging to a moderate-risk retired couple with limited investment experience were used for aggressive, short-term penny stock trading that generated substantial losses and undisclosed conflicts of interest.

Red Flag Indicators

- 36% of combined retirement assets concentrated in penny stocks and micro-cap OTC securities with no revenue history
- 47 transactions in 14 different penny stocks over 9 months in IRA accounts designated for retirement income
- Holding periods as short as 8-21 days indicating speculative short-term trading inconsistent with retirement income objectives
- Cumulative trading losses of \$112,000 representing approximately 22% of the original portfolio value
- Approximately \$9,400 in markups and markdowns on OTC trades not clearly disclosed or itemized on client statements
- Advisor had an undisclosed personal relationship with the CEO of one of the recommended penny stock companies
- Advisor publicly promoted a penny stock on social media while simultaneously placing client funds into the same security
- Clients had limited investment experience restricted to target-date funds and were not informed of the speculative nature of penny stocks

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2111 (Suitability), as penny stock speculation is fundamentally incompatible with the Chens' moderate risk tolerance, retirement income objective, limited experience, and reliance on these IRA assets for retirement. Regulation Best Interest under the Exchange Act, including the Care Obligation and Disclosure Obligation, is implicated by the failure to act in the clients' best interest and the failure to disclose the advisor's personal relationship and social media promotion of a recommended stock. FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices) and FINRA Rule 2010 (Standards of Commercial Honor) may apply to the undisclosed conflict of interest. The penny stock provisions under Section 15(h) of the Securities Exchange Act of 1934 and SEC Rule 15c-9 require specific penny stock suitability determinations and written disclosures for each transaction. The short-term trading pattern may also constitute churning or excessive trading in violation of FINRA Rule 2111(a) and the quantitative suitability obligation. The undisclosed markups may violate FINRA Rule 2121 (Fair Prices and Commissions) and the markup/markdown disclosure requirements under FINRA Rule 2232. The social media activity may also violate FINRA Rules 2210 (Communications with the Public) and potentially constitute market manipulation under Section 9(a)(2) of the Exchange Act.

Recommended Action

The firm should immediately restrict Dennis Whitfield's ability to execute penny stock or OTC transactions and place his accounts under heightened supervision pending a full investigation. All penny stock transactions in the Chens' accounts should be reconstructed and analyzed for suitability, excessive trading (using turnover rate and cost-to-equity ratio metrics), and markup reasonableness. The firm should investigate Whitfield's relationship with the penny stock company CEO and review his social media activity for potential market manipulation or undisclosed outside business activities. A full book review of all Whitfield clients should be conducted to determine if other customers were similarly directed into penny stocks. The matter should be reported to FINRA Enforcement, and if manipulation is suspected, a Suspicious Activity Report should be filed and the matter referred to the SEC's Division of Enforcement. The Chens should receive full restitution of their \$112,000 in trading losses plus the \$9,400 in excessive markups, and the firm should consider whether Whitfield's registration should be terminated. The firm should also review and strengthen its supervisory systems for detecting penny stock trading in retirement accounts, including automated alerts for OTC transactions in IRA accounts and concentration thresholds for speculative securities.

Red Flag Scenario 29

Topic: excessive_load_funds

Fact Pattern

Margaret Holloway, a 72-year-old retired schoolteacher in Tulsa, Oklahoma, had a \$485,000 portfolio consisting primarily of certificates of deposit and a small allocation to a balanced index fund. In March 2022, her longtime financial advisor, Craig Denman, retired and her account was transferred to a newer advisor at the same branch, Kyle Fenton, age 31. During their first meeting, Fenton told Holloway that her portfolio was 'dangerously underperforming inflation' and recommended a complete restructuring. Between April and September 2022, Fenton liquidated her CDs - incurring early withdrawal penalties totaling \$6,200 - and

invested the proceeds across twelve different Class A share mutual funds, each carrying front-end sales loads ranging from 4.50% to 5.75%. The total upfront load charges on the \$485,000 investment came to approximately \$25,400. Several of the funds had nearly identical investment objectives: three were large-cap growth funds from different fund families, two were intermediate-term bond funds, and two were balanced allocation funds with overlapping holdings. Fenton did not discuss lower-cost share classes, no-load alternatives, or the availability of breakpoint discounts that would have applied had the investments been consolidated into fewer fund families. Holloway's account application listed her investment objective as 'capital preservation,' her risk tolerance as 'conservative,' her time horizon as '1-5 years,' and her annual income as \$38,000 from Social Security and a modest pension. She needed periodic withdrawals of approximately \$1,500 per month to supplement her living expenses. By January 2023, the portfolio had declined to \$441,000 after accounting for loads, market losses, and her monthly withdrawals, representing a total loss of approximately \$44,000 - or roughly 9% of her original assets - in under a year. Holloway's granddaughter, a CPA, reviewed the statements in February 2023 and discovered the load charges, noting that substantially similar low-cost index fund alternatives were available through the same firm with no front-end loads and expense ratios less than one-third of what Holloway was paying.

Red Flag

A conservative, income-dependent retired client was moved entirely into high-load mutual funds with duplicative objectives, ignoring breakpoint discounts and lower-cost alternatives, generating over \$25,000 in upfront sales charges.

Red Flag Indicators

- Complete liquidation of existing conservative holdings (CDs) with early withdrawal penalties to fund new purchases
- Twelve separate Class A share mutual fund purchases across multiple fund families, defeating breakpoint discount eligibility
- Front-end sales loads totaling approximately 5.2% of total assets (\$25,400 on \$485,000)
- Multiple funds with substantially overlapping investment objectives (three large-cap growth, two intermediate bond, two balanced)
- Client profile indicates capital preservation objective and conservative risk tolerance, inconsistent with aggressive restructuring
- No evidence that lower-cost share classes (institutional, advisory, or no-load) were presented as alternatives
- Client is a 72-year-old retiree dependent on portfolio withdrawals for monthly living expenses
- New advisor restructured entire portfolio within six months of inheriting the account from a retiring colleague

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative suitability components. The recommendation to liquidate conservative, stable holdings and purchase high-load funds for a 72-year-old conservative retiree likely fails the customer-specific suitability analysis. Under Regulation Best Interest (Reg BI), the Care Obligation (17 CFR § 240.15l-1(a)(2)(ii)) requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, including evaluating reasonably available alternatives. Spreading purchases across multiple fund families to avoid breakpoint thresholds may constitute breakpoint fraud, violating FINRA Rules

2010 (Standards of Commercial Honor) and NASD Rule 2830 (formerly applicable to mutual fund sales practices). The Disclosure Obligation under Reg BI also requires clear disclosure of the costs and conflicts associated with Class A share loads versus available alternatives. Additionally, given the client's age and vulnerability, FINRA Rule 2165 and related guidance on senior investor protections are relevant.

Recommended Action

The firm's compliance department should immediately place a hold on the advisor's ability to execute new trades in the Holloway account and conduct a full review of all accounts transferred to Fenton from his retired predecessor. A forensic analysis should compare the load charges paid against what would have been charged with proper breakpoint consolidation and against available lower-cost share classes. The firm should calculate total restitution owed, including excess load charges, early CD withdrawal penalties, and the difference in ongoing expense ratios. A Uniform Application for Securities Industry Registration (Form U5) amendment or Form U4 disclosure may be warranted. The matter should be escalated to the firm's senior compliance officer for potential reporting to FINRA as a customer complaint, and the firm should consider proactively offering Holloway restitution and converting her holdings to appropriate lower-cost alternatives consistent with her stated investment objectives and risk tolerance.

Red Flag Scenario 30

Topic: structured_products_unsuitable

Fact Pattern

Robert and Linda Cheng, ages 68 and 65 respectively, are a retired couple living in suburban Phoenix, Arizona, with combined retirement savings of approximately \$1.1 million - \$620,000 in Robert's traditional IRA and \$480,000 in Linda's rollover IRA from a former employer's 401(k). Robert has early-stage Parkinson's disease and anticipated increasing medical expenses. Linda listed herself as the primary financial decision-maker. Their advisor, Diane Prescott at a regional broker-dealer, had managed their accounts since 2019 with a moderate allocation of 60% equities and 40% bonds. In January 2023, Prescott recommended the couple invest \$700,000 - approximately 64% of their total retirement savings - into three different structured notes: \$300,000 in a 7-year reverse convertible note linked to a basket of three technology stocks, \$250,000 in a 10-year principal-protected note tied to the S&P 500 with a participation rate of 80% and a cap of 25% total return, and \$150,000 in a 5-year autocallable note linked to a single pharmaceutical stock. Prescott told the Chengs the products offered 'downside protection with upside potential' and that the notes were 'similar to bonds but with better returns.' She did not explain that the reverse convertible could convert to shares of the worst-performing underlying stock if any of the three declined more than 30%, that the principal-protected note's guarantee applied only if held to maturity in 2033, or that the autocallable note had a knock-in barrier that could result in losses exceeding 50% of principal. The structured notes carried issuer commissions of 2.0% to 3.5%, totaling approximately \$18,200 in embedded compensation to Prescott and her firm. By October 2023, the reverse convertible's worst-performing underlying stock had declined 38%, triggering the knock-in event, and the note's market value dropped to approximately \$191,000 - a paper loss of \$109,000. The Chengs also discovered they could not sell any of the notes without accepting steep secondary-market discounts of 8% to 15% below indicative value, effectively locking up the majority of their retirement funds. Robert's medical expenses had increased to \$4,200 per month, and the couple was forced to take early distributions from their remaining

liquid IRA assets at an accelerated rate, increasing their tax burden significantly.

Red Flag

A retired couple with significant near-term medical expenses and moderate risk tolerance had 64% of their retirement assets placed into illiquid, complex structured notes with embedded risks and long maturities that were fundamentally mismatched with their liquidity needs and risk profile.

Red Flag Indicators

- 64% concentration of total retirement assets (\$700,000 of \$1.1 million) in structured products with maturities of 5 to 10 years for clients aged 65 and 68
- Known near-term liquidity needs due to Robert's Parkinson's diagnosis and escalating monthly medical costs of \$4,200
- Advisor described complex structured notes as 'similar to bonds' without explaining knock-in barriers, conversion risk, or conditional principal protection
- Reverse convertible note linked to volatile technology stocks inappropriate for conservative-to-moderate retired investors
- Single-stock autocallable note creating concentrated issuer and equity risk in a retirement account
- Embedded commissions of \$18,200 (2.0%-3.5%) not transparently disclosed to the clients
- Secondary market illiquidity resulting in 8%-15% discount to sell, effectively trapping retirement assets
- Principal-protected note's guarantee only valid at 10-year maturity - client would be 78 years old before protection applies

Regulatory Concern

This fact pattern implicates multiple regulatory standards. Under FINRA Rule 2111 (Suitability), the recommendation to concentrate 64% of a retired couple's assets in illiquid, complex structured products with long maturities is likely unsuitable given their age, health status, liquidity needs, and moderate risk tolerance. Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 Section 15(l) imposes a Care Obligation requiring reasonable diligence in evaluating the risks, rewards, and costs of a recommendation in light of the customer's investment profile, and a Disclosure Obligation requiring clear revelation of material conflicts including embedded compensation. FINRA Regulatory Notice 12-03 specifically addresses heightened supervision requirements for complex products, including structured notes, and emphasizes that firms must conduct reasonable-basis suitability analysis to ensure they understand the products before recommending them. The misleading characterization of structured notes as 'similar to bonds' may constitute a violation of FINRA Rule 2210 (Communications with the Public) and potentially fraud under Section 10(b) of the Securities Exchange Act and Rule 10b-5 if the omissions regarding knock-in barriers and conversion risk were material. FINRA Rule 2165 regarding financial exploitation of seniors and vulnerable adults may also be implicated given Robert's Parkinson's diagnosis.

Recommended Action

The firm should immediately initiate a supervisory review of Prescott's structured product recommendations across her entire book of business, with particular attention to senior clients and clients with documented medical conditions. For the Cheng account specifically, the firm should engage an independent analysis of whether the structured notes can be unwound or repurchased at fair value by the issuing institution, and calculate total damages including the knock-in losses on the reverse convertible, the illiquidity discount costs, the accelerated tax liability from forced early IRA distributions, and the embedded commission differential versus lower-cost alternatives. The firm should file a complaint with its compliance department,

consider whether a FINRA Rule 4530 reportable event has occurred, and determine whether restitution is appropriate. Prescott's approval to sell complex products should be suspended pending the review. The firm should also evaluate whether its supervisory procedures for structured product suitability review were followed, including whether a registered principal reviewed and approved the transactions, and whether the product was on the firm's approved list with appropriate concentration limits. The Chengs should be referred to independent legal counsel regarding potential arbitration claims.

Red Flag Scenario 31

Topic: unsuitable_income_investor

Fact Pattern

Margaret Donnelly, a 71-year-old retired school librarian in Tucson, Arizona, opened an account in March 2021 with financial advisor Ryan Pacheco at a regional broker-dealer. She completed a new account form indicating her annual income was \$38,000 (consisting entirely of Social Security and a small pension), her liquid net worth was approximately \$410,000, her investment objective was 'income with capital preservation,' her risk tolerance was 'conservative,' and her time horizon was '5-10 years.' She explicitly told Pacheco during their first meeting - which was documented in his own handwritten notes - that she needed monthly income from her portfolio to supplement her pension and cover prescription drug costs averaging \$1,100 per month. Between April 2021 and September 2022, Pacheco executed 47 trades in her account, moving approximately 68% of her portfolio into small-cap growth stocks, leveraged ETFs, and three speculative biotech companies with no earnings history. He also placed \$55,000 into a non-traded REIT with a seven-year lockup period and \$40,000 into a high-yield emerging market bond fund with significant currency risk. During this period, the account generated only \$3,200 in total dividend and interest income - far below what her prior conservative allocation would have produced. The account's annualized turnover rate was 6.2, and total commissions paid exceeded \$27,000. By December 2022, her account value had declined to \$261,000, a loss of approximately \$149,000. Mrs. Donnelly complained to the branch manager in January 2023 after she was forced to take out a home equity line of credit to pay for her medications. Pacheco had also changed her stated risk tolerance on internal forms to 'aggressive growth' in June 2021 without her knowledge or written consent.

Red Flag

A conservative, income-dependent retiree's portfolio was aggressively traded into speculative growth securities with minimal income generation, while her documented risk profile was secretly altered to justify the activity.

Red Flag Indicators

- Client's documented investment objective was income and capital preservation, but portfolio was concentrated in speculative growth and leveraged products
- Account turnover rate of 6.2 far exceeds reasonable levels for a conservative income-oriented account
- Total commissions of \$27,000 represent approximately 6.6% of the original portfolio value in 18 months
- Client's risk tolerance was changed from conservative to aggressive on internal records without documented client authorization
- Non-traded REIT with a seven-year lockup placed in account of a 71-year-old investor needing monthly

liquidity for medical expenses

- Portfolio generated only \$3,200 in income over 18 months despite client's explicit need for monthly income supplementation
- Client suffered a 36% portfolio loss while invested in a manner completely inconsistent with her stated objectives
- Client was forced to take on debt (home equity line of credit) due to insufficient portfolio income - a direct consequence of the unsuitable allocation

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2111 (Suitability), including the customer-specific suitability obligation and the quantitative suitability obligation given the excessive turnover rate. The unauthorized alteration of client records may violate FINRA Rule 4511 (Books and Records) and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). The excessive trading pattern may constitute churning in violation of Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder. Under Regulation Best Interest (Reg BI), the Care Obligation requires that recommendations be in the retail customer's best interest and not place the advisor's financial interest ahead of the customer's. The Disclosure Obligation and Conflict of Interest Obligation under Reg BI are also implicated given the commission-driven trading. Additionally, FINRA Rule 2360 and the concentration in speculative products for a senior investor may trigger concerns under FINRA Regulatory Notice 07-43 (Senior Investors) and state senior investor protection statutes.

Recommended Action

The firm's compliance department should immediately freeze the account to prevent further unsuitable transactions and initiate a full trade-by-trade suitability review. An internal investigation should examine the unauthorized alteration of the client's risk tolerance documentation, including a comparison of all versions of the new account form and CRM records with audit trails. The branch manager who received the complaint should be interviewed regarding supervisory oversight failures. The firm should calculate a damages estimate using a well-managed account comparison methodology and proactively offer restitution to Mrs. Donnelly. A Uniform Termination Notice (Form U5) should be filed with appropriate disclosures if the advisor is terminated. The matter should be reported to FINRA through a Rule 4530 filing, and the firm should consider whether a suspicious activity report is warranted. Enhanced supervisory procedures, including automated turnover and commission-to-equity ratio alerts for senior client accounts, should be implemented firm-wide.

Red Flag Scenario 32

Topic: alternative_investments_unsuitable

Fact Pattern

Carlos and Elena Fuentes, ages 54 and 52, are a dual-income couple in suburban Atlanta, Georgia. Carlos works as an operations manager for a logistics company earning \$87,000 annually, and Elena is a dental hygienist earning \$62,000. Their combined liquid net worth was approximately \$620,000, held primarily in a joint brokerage account and two individual IRAs. They had no prior experience with alternative investments and described their investment knowledge as 'moderate' on intake documents. Their stated goals were

saving for retirement in 10-12 years and maintaining a college fund for their 16-year-old daughter. In August 2022, their financial advisor, Danielle Kramer, recommended they invest \$310,000 - exactly 50% of their liquid assets - into a portfolio of four alternative investment products: \$95,000 into a non-traded business development company (BDC) with a five-year hold period, \$85,000 into a private placement oil and gas drilling partnership, \$75,000 into a structured note linked to a basket of cryptocurrency indexes with a three-year maturity and a conditional downside barrier, and \$55,000 into a private equity feeder fund requiring investors to be 'qualified purchasers' with at least \$5 million in investments - a threshold the Fuentes family did not meet. Kramer earned a combined upfront commission of approximately \$34,100 across the four products, representing an average commission rate of 11%. She did not provide the Fuentes family with the private placement memoranda for the oil and gas partnership or the BDC until the day of signing, giving them no meaningful time for review. By March 2024, the oil and gas partnership had suspended distributions and disclosed that two of its three wells were non-productive. The structured note had breached its downside barrier when cryptocurrency prices fell sharply, and the Fuentes family faced an estimated loss of 40% of principal at maturity. The BDC reduced its net asset value by 22%. The private equity feeder fund sent a capital call notice for an additional \$18,000 that the Fuentes family could not afford. In total, the family's \$310,000 alternative investment portfolio was valued at approximately \$178,000, a paper loss of \$132,000, and they had no ability to liquidate any of the positions to fund their daughter's upcoming college tuition.

Red Flag

Half of a moderate-income family's liquid assets were concentrated into illiquid, high-risk, high-commission alternative investments - including one product for which they were not eligible - without adequate disclosure or regard for their near-term liquidity needs.

Red Flag Indicators

- 50% concentration of liquid net worth in illiquid alternative investments for a family with a near-term college funding obligation beginning in approximately two years
- Average upfront commission rate of 11% across the four products, totaling \$34,100, creating a significant conflict of interest for the advisor
- Investment in a private equity feeder fund requiring 'qualified purchaser' status when the clients had only \$620,000 in liquid net worth - well below the \$5 million threshold
- Private placement memoranda were provided on the day of signing with no reasonable review period, depriving clients of the ability to make informed decisions
- Clients had no prior experience with alternative investments yet were placed into complex products including cryptocurrency-linked structured notes and oil and gas partnerships
- Structured note with conditional downside barrier tied to highly volatile cryptocurrency indexes was inappropriate for clients with moderate risk tolerance and a defined savings timeline
- Unexpected capital call of \$18,000 from the private equity fund created an unplanned financial burden inconsistent with the family's cash flow and savings goals
- No evidence that the advisor conducted or documented a reasonable basis suitability analysis for any of the four alternative products

Regulatory Concern

This pattern potentially violates FINRA Rule 2111 (Suitability) across all three obligations: reasonable-basis (failure to understand the products' risks), customer-specific (mismatch with the Fuentes family's moderate

risk tolerance, limited experience, and near-term liquidity needs), and quantitative (overconcentration in illiquid alternatives). Regulation Best Interest's Care Obligation under Rule 15l-1 of the Securities Exchange Act is implicated because the advisor placed her commission interest ahead of the customers' best interest. The sale of the private equity feeder fund to investors who did not meet the qualified purchaser threshold under Section 2(a)(51) of the Investment Company Act of 1940 raises serious eligibility and product-governance concerns, and may constitute a sale of unregistered securities to ineligible buyers under Sections 4(a)(2) and 3(c)(7) of the same Act and Regulation D. FINRA Regulatory Notice 12-03 (Complex Products) emphasizes heightened supervisory requirements for alternative and complex product recommendations. The failure to provide private placement memoranda in advance may violate the antifraud provisions under Section 10(b) of the Securities Exchange Act and Rule 10b-5 by omitting material information. The firm's supervisory system may also be deficient under FINRA Rules 3110 and 3120 if it permitted such concentrated alternative product sales without supervisory review or exception reporting.

Recommended Action

The firm should immediately conduct a comprehensive review of all alternative investment sales made by Danielle Kramer to identify other clients who may have been placed in unsuitable products or who did not meet eligibility thresholds. The Fuentes account should be referred to the firm's errors and omissions review committee for a damages assessment and potential restitution. The private equity feeder fund investment should be examined to determine if the firm bears liability for selling a product to ineligible investors, and the firm should consider whether a rescission offer is appropriate. Kramer's commission records should be audited to determine whether a pattern of alternative product recommendations correlates with higher commission payouts. The firm should file a FINRA Rule 4530 report and update Kramer's Form U4 as appropriate. Supervisory procedures should be enhanced to require a mandatory independent review and cooling-off period for any alternative investment allocation exceeding 25% of a client's liquid net worth, and suitability checklists with documented eligibility verification should be implemented for all private placement and qualified purchaser products.

Red Flag Scenario 33

Topic: senior_investor_exploitation

Fact Pattern

Margaret Ellison, an 81-year-old retired schoolteacher in Tucson, Arizona, had a \$620,000 portfolio consisting primarily of Treasury bonds, certificates of deposit, and a balanced mutual fund. Her stated investment objectives were capital preservation and income generation to supplement her \$2,100 monthly Social Security benefit. She had no prior experience with complex financial products and listed her risk tolerance as conservative on all account documents. In March 2022, her financial advisor, Kevin Darnell, age 34, began visiting Mrs. Ellison at her assisted living facility after her husband passed away. Between April and September 2022, Darnell convinced Mrs. Ellison to liquidate her entire portfolio and reinvest the proceeds into a combination of variable annuities with 10-year surrender periods (\$340,000 across three products), a non-traded real estate investment trust (\$140,000), and a leveraged closed-end fund focused on emerging market debt (\$140,000). The variable annuities carried surrender charges starting at 8.5% and annual fees totaling approximately 3.7%. Mrs. Ellison signed a power of attorney naming Darnell as her

agent in June 2022, which he used to execute several of the transactions without her direct involvement. By February 2023, the emerging market fund had lost 31% of its value, and Mrs. Ellison's granddaughter discovered that her grandmother could not access more than \$45,000 of her assets without incurring substantial penalties. Mrs. Ellison told her granddaughter she did not understand the products and believed her money was still in 'safe bonds.' Darnell earned approximately \$38,000 in commissions across all transactions during the six-month period.

Red Flag

Financial advisor exploited a recently bereaved elderly client in an assisted living facility by replacing a conservative, liquid portfolio with illiquid, high-fee, and high-risk products wholly inconsistent with her age, income needs, risk tolerance, and cognitive capacity, while also obtaining power of attorney over her accounts.

Red Flag Indicators

- Client is 81 years old residing in an assisted living facility with conservative risk tolerance and capital preservation objectives
- Complete liquidation of an existing conservative, suitable portfolio within a six-month period
- Placement of \$340,000 in variable annuities with 10-year surrender periods for a client whose life expectancy may not reach the end of the surrender period
- Advisor obtained power of attorney from the client and used it to execute transactions without her direct participation
- Transactions occurred shortly after the death of the client's spouse, a period of heightened emotional vulnerability
- Client expressed confusion about her holdings, stating she believed her money was still in safe bonds, indicating lack of informed consent
- Investment in leveraged emerging market debt and non-traded REITs for a client with no experience in complex products and a stated need for income and safety
- Advisor earned \$38,000 in commissions over six months, suggesting commission-driven rather than client-driven motivation

Regulatory Concern

Potential violations of FINRA Rule 2111 (Suitability), FINRA Rule 2165 (Financial Exploitation of Specified Adults), FINRA Rule 3240 (Borrowing From or Lending to Customers, to the extent the POA facilitated self-dealing), Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 including the Care Obligation and Conflict of Interest Obligation, and state elder financial exploitation statutes. The advisor's conduct may also violate the Investment Advisers Act of 1940 fiduciary duty if he was acting in an advisory capacity. The procurement of power of attorney raises concerns under FINRA Rule 3241 (Registered Person Acting as Power of Attorney, Executor, or in a Similar Capacity for Customers) and potential criminal elder abuse statutes in Arizona.

Recommended Action

The firm should immediately freeze the accounts and conduct a senior investor exploitation review under its written supervisory procedures. A suspicious activity report and elder exploitation report should be filed with appropriate state adult protective services and law enforcement. The firm should engage an independent review of all of Darnell's accounts involving clients aged 65 and older. Darnell should be placed on heightened supervision or suspended pending the investigation. The firm should calculate full restitution

including commissions, excessive fees, surrender charges, and investment losses, and offer to restore the client's portfolio to its prior conservative allocation. A formal filing on Form U5 should be made, and the matter should be referred to FINRA Enforcement and the relevant state securities regulator for potential disciplinary action and possible referral for criminal prosecution.

Red Flag Scenario 34

Topic: overconcentration_single_stock

Fact Pattern

David and Laura Chen, both age 52 and dual-income professionals in Seattle, Washington, maintained a joint brokerage account and two individual retirement accounts with a combined value of approximately \$1.85 million as of January 2023. David worked as a mid-level engineer at a publicly traded technology company and already held approximately \$400,000 in his employer's stock through the company's employee stock purchase plan and vested restricted stock units. The Chens' stated investment objectives were long-term growth with moderate risk, with a target retirement date of 2038. Their financial advisor, Patricia Howell, had managed their accounts since 2019. Beginning in February 2023, Howell recommended that the Chens invest an additional \$680,000 from their brokerage and IRA accounts into shares of the same technology company where David was employed. Howell told the Chens via email that the stock was 'a once-in-a-generation opportunity' and that analyst price targets suggested a 60% upside within 18 months. She did not discuss the concentration risk arising from David's existing employer stock holdings, nor did she document any analysis of the Chens' total exposure. After the additional purchases, the Chens held approximately \$1.08 million in a single stock - representing 58% of their total investable assets - in addition to David's ongoing employment income being dependent on the same company. In October 2023, the technology company disclosed an accounting irregularity and its stock price dropped 44% over three weeks. The Chens' combined single-stock position fell from \$1.08 million to approximately \$605,000, a loss of roughly \$475,000. Their total portfolio declined from \$1.85 million to approximately \$1.37 million. When the Chens confronted Howell, she acknowledged she had not considered David's employer stock holdings when making the recommendation and stated she had been 'focused on the upside.'

Red Flag

Financial advisor recommended massive additional purchases of a client's employer stock without accounting for existing concentrated holdings, resulting in 58% of the household's investable assets in a single security and creating a dangerous correlation between the clients' employment income and investment portfolio.

Red Flag Indicators

- Client already held \$400,000 in employer stock through company benefit plans before the advisor recommended additional purchases of the same stock
- Post-recommendation concentration of 58% of total investable assets in a single equity security
- Advisor failed to document or perform any analysis of the clients' total exposure to the single issuer across all accounts including employer-held shares
- Advisor used promotional language ('once-in-a-generation opportunity') and forward-looking price targets

as the primary basis for the recommendation without balanced risk disclosure

- Both employment income and the largest portfolio position were dependent on the same company, creating correlated financial risk
- The recommendation was inconsistent with the clients' stated moderate risk tolerance and diversified long-term growth objective
- Advisor admitted after the loss that she had not considered the employer stock holdings, indicating a failure of reasonable diligence
- No evidence of a written financial plan or investment policy statement addressing concentration limits or diversification strategy

Regulatory Concern

Potential violations of FINRA Rule 2111 (Suitability), specifically the customer-specific and reasonable-basis suitability obligations, as the recommendation failed to account for the customers' overall financial situation including concentrated employer stock. Under Regulation Best Interest (Reg BI), the Care Obligation requires a broker-dealer to exercise reasonable diligence, care, and skill in making recommendations, including evaluating the potential risks and rewards of the recommendation in light of the customer's investment profile. The Disclosure Obligation may also have been violated if the risks of concentration and correlated exposure were not adequately communicated. FINRA's guidance on concentrated positions and Regulatory Notice 12-03 (Know Your Customer and Suitability) emphasizes the duty to understand a customer's total financial picture. The firm's supervisory obligations under FINRA Rules 3110 and 3120 may also be implicated if no supervisory systems flagged the concentration or if account reviews failed to identify the single-stock exposure.

Recommended Action

The firm's compliance department should conduct an immediate review of the Chens' accounts and all other accounts managed by Howell for similar concentration patterns. The firm should evaluate whether its surveillance systems have automated alerts for single-stock concentration thresholds (commonly set at 20-25% of account value) and determine why no alert was triggered or acted upon. A reconstructive analysis should be performed to determine what a suitable, diversified portfolio would have returned over the same period to calculate potential restitution. The firm should consider offering the Chens a settlement that accounts for the incremental losses attributable to the overconcentration versus a reasonably diversified portfolio. Howell should be placed on heightened supervision with mandatory pre-approval for any single-security purchase exceeding 10% of a client's account value. The matter should be escalated for potential FINRA arbitration defense preparation, and a Form U4 amendment or U5 filing should be considered depending on the outcome of the internal investigation.

Red Flag Scenario 35

Topic: excessive_churning

Fact Pattern

Margaret Kowalski, age 71, is a retired schoolteacher living in suburban Ohio with a fixed annual income of \$38,000 from her pension and Social Security. In March 2022, she transferred her \$410,000 rollover IRA to a new brokerage account managed by financial advisor Derek Stanton at a mid-sized broker-dealer. Mrs.

Kowalski told Stanton during the account opening process that she wanted conservative growth to supplement her retirement income, had a low risk tolerance, and needed the funds to last through her lifetime with no other significant assets. Between April 2022 and September 2023, Stanton executed 287 trades in Mrs. Kowalski's account, primarily buying and selling large-cap equity positions, sector-specific ETFs, and a handful of small-cap growth stocks. The average holding period for positions was approximately 11 days. Over this 18-month period, the account generated \$74,200 in total commissions and transaction fees paid to Stanton and his firm. The account's annualized turnover rate was approximately 14.2 times. Despite the heavy trading activity, Mrs. Kowalski's account value declined from \$410,000 to \$291,000 - a net loss of \$119,000, or roughly 29% of her retirement savings. The cost-to-equity ratio in the account exceeded 28%, meaning the portfolio needed to generate returns of more than 28% annually just to break even after fees. Mrs. Kowalski stated she never requested the frequent trades and trusted Stanton to manage the account appropriately. She only discovered the extent of the trading when her grandson reviewed her account statements in October 2023 and noticed the dramatic decline in value alongside hundreds of transactions she did not recognize.

Red Flag

Excessive trading in a retired senior's conservative IRA account generating disproportionate commissions relative to account size while producing significant losses

Red Flag Indicators

- 287 trades executed in an 18-month period in a retirement account designated as conservative
- Annualized turnover rate of 14.2 - far exceeding what would be expected for a conservative buy-and-hold strategy
- Cost-to-equity ratio exceeding 28%, making it virtually impossible for the client to profit
- Total commissions of \$74,200 representing over 18% of the original account value in just 18 months
- Average holding period of only 11 days, inconsistent with the client's stated long-term retirement income objective
- Account value declined 29% during a period when broad equity markets were relatively stable or positive
- Client is a 71-year-old retiree with fixed income, low risk tolerance, and no other significant assets
- Client was unaware of the volume of trading activity until a family member reviewed the statements

Regulatory Concern

This pattern of excessive trading raises serious concerns under FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation which prohibits a broker from recommending a series of transactions that, even if individually suitable, are excessive in light of the customer's profile. Under Regulation Best Interest (Reg BI), adopted pursuant to Section 913 of the Dodd-Frank Act and codified at 17 CFR § 240.15l-1, the advisor's Care Obligation requires that recommendations not place the advisor's financial interest ahead of the customer's. The trading pattern also potentially violates FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and could constitute churning, which has been recognized as a form of securities fraud under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5. Additionally, given the client's age and vulnerability, FINRA Rule 2165 (Financial Exploitation of Specified Adults) may be implicated. The firm's supervisory obligations under FINRA Rule 3110 are also at issue for failure to detect and prevent the excessive trading through reasonable supervisory systems.

Recommended Action

The firm's compliance department should immediately freeze the account to prevent further trading, launch a formal investigation into Stanton's trading activity across all of his customer accounts, and run turnover and cost-to-equity analyses on his entire book of business. An exception report review should determine why existing surveillance systems failed to flag the excessive turnover rate and commission-to-equity ratios. The firm should consider placing Stanton on heightened supervision or suspending his trading authority pending investigation. A Suspicious Activity Report (SAR) should be evaluated. The firm should calculate and offer full restitution to Mrs. Kowalski for excess commissions and trading losses attributable to the churning. A FINRA Form U5 amendment should be filed if Stanton is terminated or disciplined. The matter should be reported to FINRA and the appropriate state securities regulator, and the client should be informed of her right to pursue arbitration through the FINRA Dispute Resolution process.

Red Flag Scenario 36

Topic: crypto_assets_unsuitable

Fact Pattern

Robert and Linda Espinoza, both age 64, are a married couple in Tucson, Arizona, planning to retire within 18 months. Robert works as a facilities manager earning \$72,000 annually, and Linda is a part-time medical billing clerk earning \$28,000. Their combined liquid investment portfolio totaled approximately \$520,000, held in a joint brokerage account and Robert's individual 401(k) rollover IRA, both managed by advisor Chelsea Whitmore at a registered investment advisory firm. During their annual review meeting in January 2023, the Espinozas reiterated their goals: preserve capital, generate modest income in retirement, and maintain sufficient liquidity for potential medical expenses, as Robert had recently been diagnosed with early-stage Parkinson's disease. Despite these clearly stated objectives, between February and June 2023, Whitmore reallocated approximately \$285,000 - roughly 55% of the couple's total investable assets - into a mix of cryptocurrency-related investments. This included \$120,000 directly into Bitcoin and Ethereum through a crypto trading platform linked to their brokerage account, \$95,000 into a private crypto lending fund with a 24-month lockup period and no guaranteed returns, and \$70,000 into shares of three micro-cap blockchain technology companies with limited operating histories and no revenue. Whitmore told the couple these investments would generate 'transformative returns' that would 'supercharge their retirement.' She did not provide written risk disclosures specific to the crypto assets, nor did she discuss the volatility history, the lockup restrictions on the lending fund, or the speculative nature of the micro-cap stocks. By December 2023, the Bitcoin and Ethereum positions had fluctuated dramatically and were down 32% from purchase price, the private crypto lending fund had suspended redemptions entirely after its underlying borrowers defaulted, and two of the three micro-cap blockchain stocks had each declined more than 75%, with one filing for bankruptcy. The Espinozas' \$285,000 crypto-related allocation was now worth approximately \$97,000 on paper, with \$95,000 of that effectively inaccessible in the frozen lending fund. Their total portfolio had dropped from \$520,000 to roughly \$332,000. When Robert called Whitmore in January 2024 expressing alarm about their retirement timeline, she suggested they 'stay the course' and consider investing an additional \$50,000 into a new decentralized finance token she described as 'the next big opportunity.'

Red Flag

Massive concentration of near-retirees' life savings into highly speculative and illiquid

cryptocurrency-related investments fundamentally inconsistent with their conservative objectives, income needs, and health considerations

Red Flag Indicators

- 55% of total investable assets allocated to speculative cryptocurrency and crypto-adjacent investments for clients 18 months from retirement
- Investment in a private crypto lending fund with a 24-month lockup despite the clients' need for near-term liquidity and stated concern about medical expenses
 - Allocation to micro-cap blockchain companies with no revenue - pure speculation inconsistent with capital preservation goals
 - No written risk disclosures provided for the cryptocurrency investments, lockup terms, or illiquidity risks
 - Advisor used promotional language like 'transformative returns' and 'supercharge their retirement' without discussing downside scenarios or historical volatility
 - After catastrophic losses, advisor recommended doubling down with an additional \$50,000 into another speculative crypto token rather than reassessing the strategy
 - Client has a diagnosed progressive medical condition (Parkinson's disease) creating foreseeable need for accessible liquid funds
- Total realized and unrealized losses of approximately \$188,000, representing 36% of the couple's entire portfolio, in under one year

Regulatory Concern

As a registered investment advisor, Whitmore and her firm owe the Espinozas a fiduciary duty under the Investment Advisers Act of 1940, including the duty of care and duty of loyalty as articulated by the SEC in its interpretive release (IA-5248). The massive allocation to speculative, volatile, and illiquid crypto assets directly contradicts the clients' documented investment objectives, time horizon, risk tolerance, and liquidity needs, representing a potential breach of the fiduciary standard. If any portion of the transactions occurred through a broker-dealer channel, Regulation Best Interest (17 CFR § 240.15l-1) would impose the Care Obligation and Disclosure Obligation, both of which appear violated. The recommendation of a private crypto lending fund with a lockup period to clients needing near-term liquidity may violate the suitability requirements under FINRA Rule 2111, including reasonable-basis, customer-specific, and quantitative suitability. The lack of written risk disclosures raises concerns under SEC Form ADV Part 2A requirements and the firm's duty to provide full and fair disclosure of material risks. The advisor's suggestion to invest additional funds into yet another speculative crypto token after massive losses could constitute additional misconduct. State fiduciary and anti-fraud statutes, as well as the antifraud provisions of Section 206 of the Investment Advisers Act, may also be implicated.

Recommended Action

The firm's Chief Compliance Officer should immediately review all of Whitmore's client accounts for similar unsuitable crypto-related allocations and place her under heightened supervision. An internal investigation should examine whether the firm had adequate policies and procedures governing cryptocurrency recommendations, concentration limits, and illiquid investment thresholds. The firm should engage outside counsel to evaluate potential liability and calculate restitution owed to the Espinozas, including consideration of the losses attributable to the unsuitable recommendations. The firm should file an amendment to Form ADV if the investigation reveals material compliance failures. If Whitmore also holds a securities license, a Form U5 filing with FINRA may be necessary. The matter should be self-reported to

the SEC and the Arizona Corporation Commission's Securities Division if warranted. The Espinozas should be informed of their rights to file a complaint with the SEC, pursue arbitration, or seek recovery through civil litigation. The firm should also review and strengthen its policies on crypto asset recommendations, implement concentration alerts and suitability screens for digital asset products, and require enhanced documentation and client acknowledgment before any cryptocurrency-related investment is made.

Red Flag Scenario 37

Topic: crypto_assets_unsuitable

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Ohio on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. She has a total liquid net worth of approximately \$340,000, nearly all of which is held in a traditional IRA that she has been drawing from for living expenses and medical costs related to her ongoing treatment for rheumatoid arthritis. Her investment experience consists solely of certificates of deposit and a target-date mutual fund selected by her former employer's 401(k) plan. Her stated investment objective on her account opening documents is 'capital preservation and income,' and her risk tolerance is marked as 'conservative.' In March 2023, her financial advisor, Derek Huang, age 34, began recommending that Margaret reallocate a significant portion of her IRA into cryptocurrency-related investments. Over a four-month period from March through June 2023, Huang moved \$185,000 - approximately 54% of her total retirement savings - into a combination of a Bitcoin spot fund, an Ethereum-linked structured note with a 3-year lock-up period, and two smaller-cap altcoin trusts that traded at persistent premiums to their net asset values. Huang told Margaret that 'crypto is the future of money' and that she 'couldn't afford to miss the generational wealth opportunity.' He did not discuss the volatility history of cryptocurrency markets, the lock-up restrictions on the structured note, or the premium-to-NAV issue with the altcoin trusts. By November 2023, the altcoin trusts had declined approximately 62% in value, and the structured note was trading at a 40% discount in the secondary market. Margaret's portfolio had lost over \$104,000 in unrealized value, and she was unable to liquidate the structured note to cover an unexpected \$18,000 dental surgery. She filed a written complaint with the firm in December 2023. Internal records show that Huang received a 4.5% commission on the structured note and elevated trailer fees on the altcoin trusts, compared to a 0.25% advisory fee he would have earned on a conservative bond allocation.

Red Flag

A conservative, elderly, fixed-income retiree was moved into highly volatile, speculative, and illiquid cryptocurrency investments representing over half her retirement savings, driven by outsized advisor compensation.

Red Flag Indicators

- Client is 71 years old, retired, and dependent on the invested assets for essential living and medical expenses
- Account documents clearly indicate 'capital preservation and income' objective and 'conservative' risk tolerance, directly contradicting crypto allocations
- 54% of total retirement assets concentrated in a single speculative asset class with extreme historical

volatility

- Illiquid structured note with a 3-year lock-up placed in an IRA from which the client actively takes distributions for living expenses
- Advisor earned a 4.5% commission on the structured note versus 0.25% on suitable conservative alternatives, creating a significant compensation conflict
- No documentation or evidence that the advisor disclosed volatility risks, lock-up provisions, or premium-to-NAV pricing to the client
- Client had zero prior experience with cryptocurrency, digital assets, or speculative investments of any kind
- Altcoin trusts purchased at persistent premiums to NAV, meaning the client overpaid for the underlying asset exposure from day one

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including customer-specific suitability and quantitative suitability, as the recommendations were fundamentally inconsistent with the client's documented profile. Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1, is implicated - specifically the Care Obligation (requiring reasonable diligence to understand risks and ensure recommendations align with the customer's investment profile) and the Disclosure Obligation (requiring disclosure of material conflicts including differential compensation). The Conflict of Interest Obligation under Reg BI is also at issue given the dramatically higher compensation the advisor received on the recommended products versus suitable alternatives. FINRA Rule 2010 (Standards of Commercial Honor and Principles of Fair Dealing) may be violated by the misleading sales pitch minimizing risk. Additionally, FINRA Regulatory Notice 22-08, which highlights concerns about complex and risky products being sold to retail investors, is directly relevant. The concentration in a single speculative asset class may also violate firm-level concentration policies typically required under FINRA Rule 3110 (Supervision).

Recommended Action

The firm's compliance department should immediately freeze any further crypto-related transactions in Margaret Kowalski's account and initiate a formal investigation into Derek Huang's sales practices, including a full review of all his client accounts for similar patterns of unsuitable crypto recommendations. The firm should pull Huang's complete compensation records for the prior 24 months and compare product-level commissions against what suitable alternatives would have generated. The firm should assess whether Huang's supervisory principal reviewed and approved the crypto allocations and whether the branch manager or OSJ flagged the concentration. If supervision was deficient, the firm should evaluate potential supervisory failures under FINRA Rule 3110. The firm should consider making the client whole through restitution or disgorgement of excess commissions, and a referral to FINRA's Department of Enforcement may be warranted. The client should be advised of her right to file a FINRA arbitration claim. The firm should also review and strengthen its product approval and concentration limit protocols for digital asset products across all retail accounts.

Red Flag Scenario 38

Topic: concentration_risk

Fact Pattern

Raymond and Dolores Chen, ages 67 and 64 respectively, are a married couple in Scottsdale, Arizona, who jointly hold a brokerage account and two individual IRAs with a combined value of approximately \$1.2 million as of January 2022. Raymond is a retired aerospace engineer and Dolores is a semi-retired part-time bookkeeper earning roughly \$22,000 per year. Their combined retirement income, excluding portfolio withdrawals, is approximately \$5,800 per month from Social Security and a small defined benefit pension. They indicated on their new account forms that their investment objectives were 'growth and income' with a 'moderate' risk tolerance and a 10-year investment time horizon. They noted that they planned to begin making regular withdrawals from their IRAs starting in 2025 to fund their living expenses and potential long-term care needs. Their previous portfolio, managed by another advisor, was diversified across domestic and international equity index funds, investment-grade bond funds, and a small allocation to real estate investment trusts. Beginning in February 2022, their new financial advisor, Craig Liddell, began systematically selling the diversified positions and reinvesting the proceeds into shares of a single publicly traded regional bank holding company headquartered in Phoenix, Arizona - the same bank where Liddell had previously worked as a commercial loan officer. Over the next 14 months, Liddell executed 43 separate purchase transactions in this single stock. By April 2023, the Chens' accounts held approximately \$1.07 million in this one security - representing 89% of their combined investment portfolio. Liddell told the couple the bank was 'rock solid,' that he had 'inside knowledge of how well the bank was performing,' and that the dividend yield of 3.8% would meet their income needs. He did not recommend any stop-loss strategy, hedging, or diversification plan. In May 2023, the regional banking sector experienced significant stress following several high-profile bank failures. The stock dropped 47% in six weeks, reducing the Chens' position from \$1.07 million to approximately \$567,000. Dolores Chen, who had been recently diagnosed with early-stage Parkinson's disease, expressed urgent concern about funding future care costs. The couple filed a formal complaint with the firm in July 2023. A review of Liddell's other client accounts revealed that 11 of his 38 households held more than 60% of their portfolios in the same regional bank stock.

Red Flag

A retired couple's diversified \$1.2 million portfolio was systematically liquidated and concentrated into a single regional bank stock at 89% of total assets, driven by an advisor's prior personal relationship with the issuer and unverified claims of insider knowledge.

Red Flag Indicators

- 89% of the couple's combined \$1.2 million retirement portfolio was concentrated in a single equity security, far exceeding any reasonable diversification standard
- 43 separate purchase transactions over 14 months in the same stock suggest a deliberate, systematic strategy to build the concentrated position rather than an organic drift
- Advisor had a prior employment relationship with the issuer (former commercial loan officer at the bank), creating a personal bias and potential conflict of interest
- Advisor referenced 'inside knowledge' of the bank's performance, raising concerns about both the veracity of the claim and the potential misuse of material non-public information
- Clients are in or near retirement with a defined withdrawal timeline starting in 2025 and an emerging long-term care need, making concentration in a volatile single stock incompatible with their liquidity and income requirements
- The previously diversified portfolio was affirmatively dismantled to fund the concentrated position - the

advisor did not merely fail to diversify but actively de-diversified

- No risk mitigation measures such as stop-loss orders, protective puts, or a phased rebalancing plan were implemented or discussed
- A pattern of similar concentration across 11 of the advisor's 38 households indicates this was not an isolated judgment call but a systemic practice

Regulatory Concern

This fact pattern implicates FINRA Rule 2111 (Suitability), particularly the customer-specific suitability obligation, as an 89% single-stock concentration is fundamentally inconsistent with a 'moderate' risk tolerance, 'growth and income' objective, and near-term income and liquidity needs for a retired couple. Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, is directly at issue - the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the client's investment profile including time horizon, liquidity needs, and risk tolerance; recommending near-total concentration in a single bank stock to retirees with healthcare cost exposure fails this standard. The Conflict of Interest Obligation under Reg BI requires the firm to identify and mitigate conflicts, including the advisor's personal ties to the issuer. The advisor's references to 'inside knowledge' raise potential concerns under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 regarding the misuse of material non-public information, or alternatively, fraud through misrepresentation if the advisor had no such information and fabricated the claim to induce purchases. FINRA Rule 2010 (Standards of Commercial Honor) is implicated by the misleading statements. FINRA Rule 3110 (Supervision) is at issue given that the firm's supervisory system failed to detect a pattern of extreme concentration across multiple client accounts over a 14-month period. FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision) principles regarding concentration monitoring are also relevant.

Recommended Action

The firm should immediately place Craig Liddell under heightened supervision and suspend his ability to execute trades pending a full investigation. Compliance should conduct a comprehensive review of all 38 of Liddell's client households, with particular focus on the 11 accounts identified as holding more than 60% in the same bank stock, to assess total client harm and determine whether restitution is warranted. The firm should engage outside counsel to evaluate whether Liddell's 'inside knowledge' statements constitute fraud or reflect actual possession of material non-public information - if the latter, a referral to the SEC's Division of Enforcement is required. The firm should notify the Chens of their right to pursue FINRA arbitration and should proactively assess whether a settlement or restitution offer is appropriate given the strength of the evidence. The firm's supervisory procedures should be audited to determine why 43 transactions building a single-stock position to 89% of a household did not trigger automated concentration alerts or principal review. Corrective measures should include implementing hard concentration limits with mandatory principal override requirements, enhanced new-hire due diligence for advisors with prior issuer relationships, and mandatory diversification disclosures for any single-position exceeding 25% of account value. A Wells-type process should be considered for the advisor, and the matter should be reported on the advisor's Form U4/U5 as appropriate.

Red Flag Scenario 39

Topic: overconcentration_single_stock

Fact Pattern

Margaret Kowalski, age 58, is a recently widowed retired schoolteacher living in suburban Milwaukee. In March 2022, she received \$1.2 million in life insurance proceeds following her husband's death. She had no prior investment experience and told her financial advisor, Derek Simmons, that she needed the money to fund her retirement, cover healthcare costs, and potentially assist with her two grandchildren's college tuition. She explicitly stated she could not afford to lose the principal and described herself as very conservative. Simmons, who had been an advisor at Lakefront Wealth Partners for six years, recommended she invest the entire \$1.2 million into shares of a single mid-cap technology company called NovaTech Solutions, telling Margaret the stock was 'a guaranteed winner' and that he had 'inside knowledge' the company was about to be acquired at a significant premium. Between March and May 2022, Simmons executed purchases totaling \$1.14 million in NovaTech shares, with the remaining \$60,000 placed in a money market account. By November 2022, NovaTech's stock had declined 62% after the company disclosed accounting irregularities and the anticipated acquisition fell through. Margaret's portfolio dropped to approximately \$493,000, a loss of more than \$700,000. She discovered the concentration when she requested a portfolio review from a different advisor at the firm in January 2023. Simmons had not provided any written analysis of diversification, nor had he discussed the risks of holding a single stock position. Account notes showed Margaret had called Simmons three times in October 2022 expressing concern about losses, and each time Simmons told her to 'hold tight' and that the stock would recover. The firm's internal surveillance system had flagged the account in April 2022 for single-stock concentration exceeding 90% of account value, but no supervisory follow-up was documented.

Red Flag

Concentration of 95% of a conservative, inexperienced retiree's life savings into a single speculative mid-cap technology stock with no diversification and misleading assurances of guaranteed returns

Red Flag Indicators

- Over 95% of total investable assets placed in a single equity security
- Client's stated conservative risk tolerance and income needs completely ignored in portfolio construction
 - Advisor made verbal guarantees of performance and referenced supposed inside knowledge of a pending acquisition
- No written risk disclosure, investment policy statement, or diversification analysis provided to client
- Client had zero prior investment experience and was in a vulnerable emotional state following spouse's death
 - Internal surveillance alert for single-stock concentration was triggered but never acted upon by supervision
- Client's repeated phone calls expressing concern about losses were met with unsupported reassurances rather than a portfolio review
- The recommended security was a speculative mid-cap stock wholly inconsistent with the client's stated need for capital preservation

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific obligation requiring that a recommended investment strategy be suitable for the particular customer based on age, risk tolerance, financial situation, and investment objectives. It also potentially violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) due to the misleading statements about

guaranteed returns and purported inside knowledge. The reference to inside knowledge of a pending acquisition could implicate Section 10(b) of the Securities Exchange Act of 1934 and SEC Rule 10b-5 regarding fraud and material misrepresentations, as well as potential insider trading concerns under the same provisions. The firm's failure to act on the surveillance alert may constitute a violation of FINRA Rule 3110 (Supervision). Under Regulation Best Interest (Reg BI), the Care Obligation requires that broker-dealers exercise reasonable diligence, care, and skill in making recommendations, and the concentration here is fundamentally inconsistent with the client's profile. NASAA Model Rules on dishonest and unethical business practices also address unsuitable recommendations and misrepresentations to clients.

Recommended Action

The firm's compliance department should immediately freeze the advisor's authority to make discretionary trades and initiate a full review of all accounts managed by Derek Simmons. An internal investigation should examine whether the advisor had any material non-public information regarding NovaTech Solutions and whether his statements constituted fraud. The firm should file a suspicious activity report if warranted and consider whether a Form U5 amendment is necessary. The surveillance failure should be escalated to senior compliance leadership with a root-cause analysis of why the April 2022 concentration alert was not addressed. Margaret Kowalski should be contacted by a senior compliance officer, provided with full account documentation, and informed of her right to pursue arbitration through FINRA's dispute resolution process. The firm should evaluate whether restitution is appropriate. A referral to FINRA Enforcement and potentially the SEC should be considered given the possible fraud and insider trading implications. The firm should also review and enhance its supervisory procedures for single-stock concentration alerts to ensure timely escalation and documented follow-up.

Red Flag Scenario 40

Topic: margin_unsuitable

Fact Pattern

Robert and Linda Chen, ages 71 and 68 respectively, are retired residents of Scottsdale, Arizona. Robert is a former postal worker receiving a pension of \$2,800 per month, and Linda receives Social Security benefits of \$1,400 per month. Their combined liquid net worth was approximately \$340,000, held in a joint brokerage account at Pinnacle Securities, and they owned their home outright valued at approximately \$280,000. Their account opening documents from 2019 listed their investment objective as 'income and capital preservation,' their risk tolerance as 'low,' and their investment experience as 'limited.' Their advisor, Craig Whitfield, had managed the account since its opening with a conservative mix of investment-grade bond funds and dividend-paying blue-chip equities. In January 2023, Whitfield convinced the Chens to sign a margin agreement, telling them it would 'give them more flexibility' and 'help boost their monthly income.' He did not explain that margin borrowing would expose them to the risk of losing more than their initial investment or that interest charges would accrue on borrowed funds. Between February and August 2023, Whitfield used margin to leverage the account, purchasing approximately \$210,000 in high-yield corporate bond ETFs and small-cap growth stocks on margin. At its peak in June 2023, the account carried a margin debit balance of \$195,000, representing a margin-to-equity ratio of approximately 57%. Monthly margin interest charges averaged \$1,350. In September 2023, a broad market selloff triggered a margin call of

\$78,000. The Chens, who were unaware of the margin activity's full scope, were unable to meet the call. Pinnacle Securities liquidated approximately \$185,000 of their holdings at depressed prices to satisfy the margin call, crystallizing losses of approximately \$112,000. The Chens' account balance fell from \$340,000 to roughly \$193,000. Whitfield earned approximately \$8,400 in commissions on the margin-funded trades. The Chens only learned the full extent of the margin usage when they received the liquidation notice. The firm's margin department had approved the margin agreement without any documented assessment of whether margin was appropriate for the Chens' age, income, or stated objectives.

Red Flag

Use of margin leverage on a retired elderly couple's conservative income-focused account without meaningful disclosure, resulting in catastrophic losses from a margin call liquidation

Red Flag Indicators

- Margin agreement obtained from elderly, low-risk-tolerance clients with limited investment experience and no documented explanation of margin risks
- Margin debit balance reached 57% of account equity, vastly exceeding any reasonable leverage for a conservative retiree account
- Monthly margin interest charges of \$1,350 consumed a significant portion of the clients' fixed monthly income of \$4,200
- Margin-funded purchases included small-cap growth stocks wholly inconsistent with the clients' stated income and capital preservation objectives
- Clients were unaware of the scope of margin activity until a forced liquidation occurred
- Advisor earned \$8,400 in commissions on margin-funded trades, suggesting a financial incentive to leverage the account
- Firm's margin department approved the agreement without any suitability or appropriateness review considering the clients' profile
- Account lost approximately 33% of its value (\$112,000 in realized losses) due to forced liquidation during a market downturn

Regulatory Concern

This fact pattern implicates FINRA Rule 2111 (Suitability), as the recommendation to use margin and the specific margin-funded investments were unsuitable given the Chens' age, limited income, low risk tolerance, conservative investment objectives, and limited experience. Regulation Best Interest's Care Obligation under SEC Rule 15l-1 requires that broker-dealers have a reasonable basis for believing a recommendation is in the customer's best interest and that the risks and costs are understood - neither condition was met here. FINRA Rule 2264 requires that firms provide customers with a margin disclosure statement that describes the risks of margin trading; the advisor's failure to explain margin risks may violate this rule and also constitutes a potential violation of FINRA Rule 2010 (Standards of Commercial Honor). The firm's margin approval process likely violated FINRA Rule 3110 (Supervision) and NASD Rule 2360(b)(16) by failing to assess whether margin was appropriate for the customer. Federal Reserve Board Regulation T governs margin lending, and while the technical margin requirements may have been met, the absence of any customer-specific suitability analysis is a supervisory failure. Additionally, the pattern of leveraging a retiree's account to generate commissions may constitute a violation of FINRA's prohibition against recommending excessive or unsuitable trading activity, and could be viewed as elder financial exploitation under various state statutes.

Recommended Action

The firm should immediately place Craig Whitfield under heightened supervision and conduct a comprehensive review of all his accounts, particularly those belonging to senior investors or those with conservative objectives. The margin department's approval process must be audited to determine how a margin agreement for a retired couple with low risk tolerance and limited experience was approved without any suitability documentation. The firm should calculate full restitution for the Chens, including all margin interest charges paid, commissions generated on margin-funded trades, and investment losses attributable to the unsuitable margin strategy. A revised margin approval protocol should be implemented requiring documented suitability assessments before margin agreements are executed, with enhanced scrutiny for customers over age 65 or those with conservative profiles. The firm should file a Form U5 amendment if Whitfield is terminated or a Form U4 amendment disclosing any internal disciplinary action. A FINRA Enforcement referral should be considered. The Chens should be informed of their rights to pursue FINRA arbitration and provided with a full accounting of all margin-related activity, interest charges, and trade confirmations. State securities regulators and Adult Protective Services should be notified if the facts support a finding of elder financial exploitation.

Red Flag Scenario 41

Topic: tax_deferred_unnecessary_annuity

Fact Pattern

Margaret Holloway, age 64, is a retired school librarian living in Tucson, Arizona. She has a modest pension of \$2,800 per month and Social Security income of \$1,950 per month. In March 2023, she inherited \$285,000 from her late sister, which was deposited into her existing IRA rollover account at a regional brokerage firm. Her financial advisor, Daniel Krueger, age 38, met with Margaret in April 2023 and recommended she invest the entire \$285,000 IRA balance into a variable annuity product with a 7-year surrender schedule. The annuity carried a mortality and expense charge of 1.35% annually, an administrative fee of 0.15%, and underlying sub-account fees averaging 0.85%, bringing total annual costs to approximately 2.35%. The surrender penalties started at 7% in year one and declined by 1% each year. Krueger earned a 5.25% commission on the sale, totaling approximately \$14,962. Margaret had no other liquid savings beyond a \$12,000 checking account. She had previously expressed concern about having access to her money for potential home repairs and medical expenses, as she had recently been diagnosed with early-stage macular degeneration. Krueger's notes from the meeting describe the annuity's tax-deferred growth benefit as the primary rationale for the recommendation. However, the funds were already in an IRA, which is inherently tax-deferred. Margaret did not select any optional living benefit riders. By January 2024, Margaret needed \$40,000 for a bathroom accessibility renovation and emergency eye treatment costs. When she attempted to withdraw the funds, she discovered she would face a \$2,800 surrender penalty plus a 10% early withdrawal tax penalty on any amount exceeding the annuity's free withdrawal provision of 10% per year. She filed a written complaint with the firm in February 2024.

Red Flag

Placement of already tax-deferred IRA assets into a high-cost variable annuity, eliminating the sole stated benefit of tax deferral while imposing substantial surrender penalties and layered fees on an elderly client

with limited liquidity and foreseeable near-term cash needs.

Red Flag Indicators

- Annuity purchased inside an IRA where tax-deferral benefit is completely redundant
- Client's entire liquid retirement savings (\$285,000) concentrated in a single illiquid product with a 7-year surrender period
 - Client had only \$12,000 in accessible cash reserves outside the annuity, far below reasonable emergency fund levels
 - Client explicitly communicated near-term liquidity needs for home repairs and medical expenses prior to the sale
 - Total annuity fees of 2.35% annually significantly exceeded costs of comparable mutual fund or ETF portfolios available within the IRA
 - Advisor earned a \$14,962 commission (5.25%) creating a significant financial incentive to recommend the annuity over lower-cost alternatives
 - No optional living benefit or guaranteed income riders were added, undermining any insurance-based justification for the product
 - Client was 64 years old with a progressive medical condition, making long surrender periods particularly inappropriate

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), specifically the reasonable-basis, customer-specific, and quantitative suitability components, as there was no reasonable basis to recommend a tax-deferred product inside an already tax-deferred account. It also implicates Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Section 15(l), particularly the Care Obligation (placing the customer's interest ahead of the advisor's financial interest) and the Disclosure Obligation (failure to adequately disclose the lack of incremental tax benefit and the full cost/liquidity impact). FINRA Regulatory Notice 12-55 specifically addresses concerns about variable annuities in tax-deferred accounts. Additionally, FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) requires a principal to review and approve variable annuity transactions and mandates that reasonable efforts be made to obtain customer-specific information including liquidity needs, time horizon, and existing tax-deferred holdings. The high commission structure may also raise concerns under FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

Recommended Action

The firm's compliance department should immediately investigate whether the branch principal conducted the required pre-approval review of this variable annuity transaction and whether the advisor's documentation adequately addressed why a variable annuity was suitable for assets already in a tax-deferred account. The firm should review all of Krueger's annuity sales in the past 36 months to identify a pattern of placing tax-deferred assets into annuities. Restitution should be calculated including the surrender penalty incurred, excess fees paid relative to a suitable alternative, and any tax penalties triggered by the forced early withdrawal. The firm should consider rescinding the annuity contract and making Margaret whole. A revised supervisory procedure should be implemented requiring enhanced scrutiny and a documented justification for any annuity recommendation within an IRA or qualified retirement account. A Uniform Termination Notice (Form U5) amendment may be warranted if a pattern of misconduct is discovered, and a filing with FINRA through the firm's regulatory reporting obligations should

be considered.

Red Flag Scenario 42

Topic: bond_duration_mismatch

Fact Pattern

Robert and Linda Yamamoto, ages 71 and 68 respectively, are retired residents of Portland, Oregon. Robert is a former mechanical engineer and Linda is a former dental hygienist. Their combined retirement income from pensions and Social Security totals \$7,200 per month. In January 2022, they met with their financial advisor, Christine Bellamy, at a national wirehouse firm to discuss investing \$620,000 in proceeds from the sale of their rental property. The Yamamotos explicitly stated they needed the funds to supplement their income over the next three to five years, as they planned to relocate to an assisted living community and would need approximately \$150,000 annually for combined care costs beginning in late 2024 or early 2025. They emphasized capital preservation and told Bellamy they could not afford significant losses. Bellamy recommended and executed a portfolio consisting almost entirely of long-duration bonds and bond funds: \$200,000 in a 30-year Treasury bond fund with an effective duration of 22.4 years, \$180,000 in a long-term investment-grade corporate bond ETF with a duration of 15.8 years, \$140,000 in zero-coupon Treasury bonds maturing in 2045, and \$100,000 in a long-duration municipal bond fund with a duration of 12.6 years. The portfolio's weighted average duration was approximately 17.3 years. Throughout 2022, as interest rates rose sharply with the Federal Reserve increasing the federal funds rate by 425 basis points, the Yamamotos' portfolio lost approximately \$158,000 in value, a decline of roughly 25.5%. By December 2022, the portfolio was worth approximately \$462,000. When the Yamamotos contacted Bellamy in early 2023 expressing alarm, she advised them to hold and wait for recovery. By September 2023, with assisted living placement becoming imminent, the couple was forced to liquidate a portion of the portfolio at a realized loss of \$121,000 to fund their first year of care. They filed a complaint in November 2023, stating they were never informed about duration risk or how rising interest rates could devastate their portfolio's value in the near term. Bellamy's internal client profile notes listed the couple's risk tolerance as 'moderate' and investment time horizon as '10+ years,' which contradicted the clients' documented emails requesting a three-to-five-year horizon.

Red Flag

Construction of a bond portfolio with a 17.3-year weighted average duration for elderly clients with explicitly stated three-to-five-year liquidity needs, exposing them to catastrophic interest rate risk directly contrary to their capital preservation objective and near-term income requirements.

Red Flag Indicators

- Portfolio weighted average duration of 17.3 years vastly exceeded the clients' stated 3-to-5-year investment horizon and liquidity timeline
- 100% of the portfolio was allocated to long-duration fixed income with no short-term or intermediate-term bond ladder to match known cash flow needs
- Zero-coupon bonds maturing in 2045 were purchased for clients who needed funds beginning in 2024-2025, a 20-year mismatch
- Advisor's internal profile listed a '10+ year' time horizon contradicting the clients' own written emails

specifying 3-to-5 years

- Risk tolerance was marked as 'moderate' yet the portfolio carried extreme interest rate sensitivity equivalent to aggressive fixed income positioning
- No discussion or documentation of duration risk, interest rate sensitivity, or scenario analysis was provided to the clients
- Clients were in their late 60s and early 70s with a defined, non-negotiable near-term expense (assisted living) that required capital preservation
- Advisor recommended holding through losses rather than rebalancing to shorter-duration instruments when the mismatch became apparent

Regulatory Concern

This scenario raises significant concerns under FINRA Rule 2111 (Suitability), particularly customer-specific suitability, as the portfolio's duration profile was fundamentally misaligned with the clients' stated time horizon, liquidity needs, and risk tolerance. Regulation Best Interest under Section 15(l) of the Securities Exchange Act of 1934 is implicated, specifically the Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations that align with the customer's investment profile, and the Disclosure Obligation requiring full and fair disclosure of material risks including duration and interest rate risk. The falsification or inaccurate recording of the client's time horizon in the firm's records may constitute a violation of FINRA Rule 4511 (Books and Records) and potentially FINRA Rule 2010 (Standards of Commercial Honor). The advisor's failure to recommend rebalancing after the mismatch resulted in material losses may also implicate ongoing suitability obligations. If the advisor knowingly recorded an inaccurate time horizon to justify the recommendation, this could constitute a violation of Section 10(b) of the Securities Exchange Act and Rule 10b-5 thereunder. Additionally, the firm's supervisory obligations under FINRA Rule 3110 are implicated if no supervisory review flagged the obvious mismatch between client-stated needs and portfolio construction.

Recommended Action

The firm should initiate an immediate compliance investigation comparing the advisor's internal client profile records against all client correspondence, including the emails where the Yamamotos specified their three-to-five-year timeline, to determine whether client records were intentionally falsified. The firm should engage an independent analysis of the portfolio to quantify damages by comparing the actual portfolio's performance against a duration-matched benchmark portfolio appropriate for the clients' stated needs. Restitution should include the realized losses attributable to the duration mismatch plus any excess costs incurred. The firm should review all of Bellamy's client accounts for similar duration mismatches, particularly among retired or elderly clients. Enhanced supervisory controls should be implemented requiring automated alerts when portfolio duration exceeds a client's stated investment time horizon by a defined threshold. Bellamy should be placed on heightened supervision pending the investigation's outcome. The firm should assess whether a filing on Form U5 is required and whether the matter warrants referral to FINRA's Department of Enforcement. The Yamamotos should be informed of their right to pursue arbitration through the FINRA Dispute Resolution forum.

Red Flag Scenario 43

Topic: variable_annuity_unsuitable

Fact Pattern

Margaret Holloway, age 79, is a retired schoolteacher living in Tucson, Arizona, with a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid savings amounted to approximately \$310,000, held in certificates of deposit and a money market account at a local bank. In March 2022, financial advisor Derek Stanton met with Mrs. Holloway after she attended a free dinner seminar titled 'Protecting Your Retirement from Market Crashes.' During the seminar and two subsequent in-home meetings, Stanton recommended she move \$275,000 - roughly 89% of her liquid assets - into a variable annuity product with a 7-year surrender period. The annuity carried a surrender charge schedule starting at 8% in year one, declining by 1% annually. The product included a Guaranteed Minimum Income Benefit rider that added 1.15% in annual fees on top of a 1.40% mortality and expense charge and underlying sub-account fees averaging 0.85%, bringing the total annual cost to approximately 3.40%. Stanton's new account paperwork listed Mrs. Holloway's investment objective as 'aggressive growth' and her risk tolerance as 'high,' despite her verbal statements during the meetings - witnessed by her daughter, Lisa - that she wanted something 'completely safe' and needed access to her money for potential assisted living costs. Mrs. Holloway's medical records indicate she was diagnosed with early-stage Alzheimer's disease in January 2022, two months before the recommendation. Within 14 months, Mrs. Holloway needed to access \$60,000 for a deposit at a memory care facility. The surrender charge on the withdrawal was \$4,800, and she also faced adverse market performance in the sub-accounts, which had declined 11% from the initial investment. Stanton earned a commission of approximately \$19,250 on the sale. His branch manager had approved the transaction after a cursory review that did not include any direct contact with the client.

Red Flag

An elderly client with cognitive decline, limited income, conservative objectives, and near-term liquidity needs was placed into a high-cost, long-surrender-period variable annuity representing nearly all of her liquid savings, with fabricated account documentation overstating her risk tolerance.

Red Flag Indicators

- Client is 79 years old with a recent Alzheimer's diagnosis, raising serious concerns about capacity and vulnerability to exploitation
- 89% of total liquid assets concentrated in a single illiquid product with a 7-year surrender period
- Account documentation lists 'aggressive growth' and 'high risk tolerance' contradicting the client's stated desire for safety and liquidity
- Total all-in annual fees of approximately 3.40% on the variable annuity far exceed the yield on her prior conservative holdings
- Client was solicited through a free dinner seminar - a common high-pressure sales tactic targeting seniors
- Advisor earned a \$19,250 commission creating a significant financial incentive to recommend this product over lower-cost alternatives
- Client's known near-term need for assisted living funds was ignored despite the product's steep early surrender charges
- Supervisory approval was granted without any direct client contact or independent verification of the client's actual objectives and cognitive capacity

Regulatory Concern

This fact pattern raises potential violations of FINRA Rule 2111 (Suitability), including customer-specific suitability and reasonable-basis suitability, as the recommendation was inconsistent with the client's age, financial situation, liquidity needs, risk tolerance, and investment objectives. FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities) requires a principal to consider whether the customer would benefit from features of a deferred variable annuity, the surrender period, and whether the customer has been informed of the product's features - none of which appear properly addressed. The falsification of account documents may violate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and FINRA Rule 4511 (General Requirements for Books and Records). The firm's supervisory failures may implicate FINRA Rule 3110 (Supervision). Additionally, many states have adopted the NAIC Suitability in Annuity Transactions Model Regulation, which imposes heightened requirements when selling annuities to seniors. Potential elder financial exploitation may trigger state Adult Protective Services reporting obligations. SEC Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 may also apply if the advisor was acting in a broker-dealer capacity, as the recommendation fails the Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation components.

Recommended Action

The firm should immediately place the advisor on heightened supervision and launch an internal investigation into the transaction, including interviewing Mrs. Holloway's daughter and reviewing all seminar materials and meeting notes. The firm should contact Mrs. Holloway (through her legal representative or power of attorney given her cognitive status) to assess the full extent of harm. The variable annuity surrender charges and any market losses attributable to the unsuitable recommendation should be reimbursed to the client, and the firm should facilitate a transfer to an investment appropriate for her actual profile. The falsified account documentation warrants a referral to FINRA Enforcement and potentially to the state securities regulator and Adult Protective Services. The branch manager's supervisory review process must be audited, and the firm should implement mandatory direct client contact procedures for all annuity sales to clients over age 65. A Suspicious Activity Report may need to be filed if elder financial exploitation is suspected. The advisor should face disciplinary action up to and including termination, and a Form U5 amendment reflecting the circumstances should be filed.

Red Flag Scenario 44

Topic: excessive_churning

Fact Pattern

Robert and Angela Chen, ages 52 and 48, are a married couple in Portland, Oregon. Robert is a software engineer earning \$145,000 annually, and Angela works part-time as a graphic designer earning \$38,000. In January 2021, they opened a joint brokerage account with \$420,000 - the combined proceeds from an inheritance and the sale of a rental property - with the stated objectives of moderate long-term growth for retirement and their two children's college education. Their advisor, Nathan Bridges, had discretionary authority over the account. Between January 2021 and September 2023, Bridges executed 387 trades in the account, including frequent round-trip transactions in large-cap equities, technology ETFs, and options positions. On 42 separate occasions, a security was purchased and sold within 30 days. On 17 occasions, the same security was sold and then repurchased within two weeks at a similar or higher price. The account's annualized turnover ratio during the 33-month period was approximately 11.2, meaning the entire

portfolio was turned over more than 11 times per year. Total commissions and transaction costs generated by the trading activity amounted to \$128,600, representing approximately 30.6% of the account's original value. The cost-to-equity ratio - the percentage the account would need to earn annually just to cover the costs of trading - was approximately 34%. Despite this frenzied activity, the account's net value at the end of the period was \$291,000, representing a loss of \$129,000 (30.7%) of the original investment, while the S&P 500 returned approximately 19% over the same period. Bridges earned \$96,400 in personal commissions from the trading. When Robert Chen reviewed his annual statements in October 2023 and questioned the losses, Bridges attributed the decline to 'market volatility' and 'strategic repositioning' and encouraged the Chens to add more capital. The Chens' prior investment experience was limited to employer 401(k) plans invested in target-date funds.

Red Flag

A discretionary account managed for a moderate-risk couple with long-term goals was subjected to extreme trading frequency generating outsized commissions and severe losses, with the advisor's compensation from commissions vastly exceeding the client's investment returns.

Red Flag Indicators

- Annualized turnover ratio of 11.2 far exceeds the commonly cited threshold of 6.0 that is presumptive of excessive trading
- Cost-to-equity ratio of 34% means the account needed to earn over a third of its value annually just to break even on trading costs
- 387 trades over 33 months in an account with moderate long-term growth objectives is inconsistent with any reasonable buy-and-hold or even active management strategy
- Total commissions and costs of \$128,600 represent 30.6% of the original account value, with \$96,400 going directly to the advisor
- 42 round-trip transactions within 30-day windows and 17 repurchases of the same security within two weeks suggest in-and-out trading designed to generate fees
- Account lost 30.7% of its value during a period when a passive benchmark gained approximately 19%, indicating the trading activity destroyed rather than created value
- Advisor held discretionary authority, meaning the clients did not individually authorize each trade, increasing the advisor's ability to churn without real-time client oversight
- When questioned about losses, the advisor deflected blame and solicited additional capital rather than addressing the pattern of excessive trading

Regulatory Concern

Excessive trading (churning) violates FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation which requires that an advisor with actual or de facto control over an account not engage in trading that is excessive in light of the customer's investment profile. The conduct also violates FINRA Rule 2010 (Standards of Commercial Honor) as churning is inherently dishonest and constitutes a fraud on the customer. Under SEC Regulation Best Interest (Reg BI), the Care Obligation requires that recommendations not place the financial professional's interest ahead of the customer's - generating \$96,400 in personal commissions while the account lost \$129,000 is a clear violation. The SEC has long held that churning constitutes a violation of Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder, as it involves a scheme to defraud through excessive trading in an account over which the broker exercises control. The firm's supervision may be deficient under FINRA Rule 3110 (Supervision),

as automated exception reports should have flagged the turnover ratio and cost-to-equity ratio well before 33 months of trading accumulated. The advisor's misleading explanation attributing the losses to market conditions rather than his own trading activity may constitute additional misrepresentations.

Recommended Action

The firm's compliance department should immediately revoke Nathan Bridges' discretionary authority over all accounts and place him on heightened supervision pending investigation. An independent trade review should be conducted across all of Bridges' accounts to determine if similar patterns exist with other clients. The firm should calculate disgorgement amounts and proactively offer restitution to the Chens, including the \$128,600 in commissions and transaction costs plus the opportunity cost of the foregone market gains. The matter should be reported through the firm's regulatory reporting obligations, including potential filing of a Form U5 amendment if Bridges is terminated. FINRA's automated surveillance systems (such as those monitoring turnover ratios and cost-to-equity ratios) should be supplemented by the firm's own exception reporting thresholds - the firm should review why its internal alerts did not trigger intervention earlier. The Chens should be advised of their right to pursue recovery through FINRA arbitration. The firm should also review its procedures for granting and monitoring discretionary authority, implement hard turnover-ratio alerts that require mandatory supervisory review, and consider restricting commission-based compensation structures for discretionary accounts in favor of fee-based arrangements.

Red Flag Scenario 45

Topic: private_placements_unsuitable

Fact Pattern

Margaret Hollis, a 71-year-old retired school librarian in Tucson, Arizona, had a total liquid net worth of approximately \$340,000, consisting of a \$210,000 IRA rollover from her pension and \$130,000 in a savings account. She lived on Social Security payments of \$2,100 per month and modest pension income of \$850 per month. In March 2022, her financial advisor, Derek Stanton, age 38, recommended she invest \$175,000 - roughly 51% of her liquid net worth - into two private placement offerings: \$100,000 into a non-traded real estate investment trust focused on commercial office space redevelopment, and \$75,000 into a private equity fund targeting early-stage cannabis technology companies. Both investments carried minimum lock-up periods of seven years with no guaranteed liquidity provisions. Stanton told Mrs. Hollis the investments would generate 'consistent 9-to-12 percent annual returns' and described them as 'like owning a savings bond but better.' He did not discuss the illiquid nature of the investments, the speculative risk profile of the cannabis tech fund, or the significant upfront commissions he would earn - approximately \$12,250 combined (7% on the REIT and 7% on the PE fund). Mrs. Hollis's account paperwork listed her risk tolerance as 'moderate growth' and her investment objective as 'income with capital preservation.' By January 2024, the cannabis tech fund had suspended redemptions entirely after two of its portfolio companies filed for bankruptcy, and the non-traded REIT had reduced its estimated share value by 35% due to declining occupancy rates in its commercial office holdings. Mrs. Hollis discovered she could not access any of the \$175,000 when she needed funds for emergency home repairs and escalating medical expenses related to a hip replacement surgery.

Red Flag

A retired senior citizen on fixed income was concentrated into illiquid private placements with long lock-up periods, representing over half her liquid net worth, despite documented conservative investment objectives.

Red Flag Indicators

- Over 50% of total liquid net worth placed into illiquid private placements for a 71-year-old retiree
- Seven-year lock-up periods recommended to a client dependent on fixed income with no other significant liquid reserves
 - Investment objectives documented as 'income with capital preservation' contradicted by speculative private equity and non-traded REIT allocations
 - Advisor earned approximately \$12,250 in upfront commissions (7% loads) creating a significant financial incentive to recommend these products
 - Advisor described speculative, illiquid investments as comparable to savings bonds, materially misrepresenting risk characteristics
 - No discussion of liquidity risks, redemption limitations, or the speculative nature of the cannabis technology fund
 - Client had no prior experience with alternative investments or private placements based on account history
 - Cannabis tech fund represented a highly speculative sector concentration inappropriate for any conservative fixed-income investor

Regulatory Concern

Potential violations of FINRA Rule 2111 (Suitability), including customer-specific suitability and quantitative suitability requirements. Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the Care Obligation (requiring reasonable diligence regarding the recommendation relative to the customer's investment profile) and Disclosure Obligation (failure to disclose material facts about the investments and conflicts of interest including commission incentives). FINRA Rule 2210 concerning communications with the public, specifically misleading comparisons of speculative private placements to savings bonds. Potential violation of FINRA Rules 3110 and 3120 regarding supervisory obligations if the firm failed to review and flag the concentration of illiquid alternative investments in a senior investor's account. The investment may also implicate NASAA guidelines on non-traded REITs, which many states cap at 10% of liquid net worth for retail investors. FINRA Regulatory Notice 12-03 (heightened supervision for complex products) is also relevant.

Recommended Action

The firm's compliance department should immediately freeze any additional alternative investment purchases in Mrs. Hollis's accounts and initiate a full suitability review of the recommendations. An internal investigation should examine whether Stanton made similar unsuitable private placement recommendations to other senior or conservative clients. The firm should evaluate whether its supervisory systems flagged or should have flagged the concentration levels and product types relative to the client's documented profile. A referral to FINRA's Office of Dispute Resolution should be facilitated if Mrs. Hollis wishes to pursue arbitration for damages. The firm should consider proactive restitution given the clear mismatch between documented objectives and recommendations. Stanton's book of business should be subject to a comprehensive review, and heightened supervision or suspension of his ability to sell alternative investments should be imposed pending the outcome. The matter should be reported on his Form U4/U5

as applicable, and the firm should file a complaint with FINRA Enforcement if internal findings suggest intentional misconduct or a pattern of abuse.

Red Flag Scenario 46

Topic: unsuitable_income_investor

Fact Pattern

Robert and Elaine Krueger, ages 68 and 65 respectively, retired in June 2021 from careers in municipal government in suburban Cleveland, Ohio. Their combined retirement savings totaled approximately \$620,000: \$390,000 in Robert's 401(k) rollover IRA and \$230,000 in Elaine's traditional IRA. They also received combined Social Security benefits of \$4,300 per month and had no pension. They explicitly told their financial advisor, Patricia Novak, that they needed their portfolio to generate reliable monthly income to cover a \$2,800 gap between their Social Security and their monthly living expenses of approximately \$7,100, which included a \$1,400 mortgage payment on their home. They emphasized they could not afford to lose principal and wanted 'safe, steady income like bonds or CDs.' Between August 2021 and February 2022, Novak restructured their combined portfolios as follows: \$185,000 into high-yield corporate bond funds rated below investment grade, \$140,000 into leveraged closed-end funds employing 30-40% structural leverage to amplify yields, \$95,000 into emerging market debt funds denominated in local currencies, \$80,000 into dividend-focused equity funds concentrated in the energy sector, \$65,000 into a structured notes product tied to the performance of a technology stock index with a two-year maturity and conditional coupon, and \$55,000 held in a money market account. Novak generated approximately \$14,800 in total commissions across these transactions. The Kruegers' account documents listed their risk tolerance as 'conservative' and their time horizon as '5-10 years.' During the 2022 market downturn, the leveraged closed-end funds declined 28%, the emerging market debt funds lost 19% due to currency depreciation and rising U.S. interest rates, and the high-yield bond funds dropped 14%. The structured notes missed their conditional coupon trigger in both observation periods, paying zero income. By December 2022, the combined portfolio value had fallen to approximately \$461,000 - a loss of roughly \$159,000 or 25.6% - and the monthly income distributions had become erratic, ranging from \$800 to \$2,400 per month rather than the steady \$2,800 the Kruegers needed. The couple was forced to begin liquidating positions at a loss to cover their mortgage and basic expenses, further eroding their retirement savings. Novak did not contact them to discuss rebalancing or adjusting the portfolio strategy at any point during the decline.

Red Flag

A conservative retired couple explicitly requesting safe, steady income was placed into a portfolio dominated by high-yield, leveraged, emerging market, and structured products generating unreliable income streams and significant principal losses.

Red Flag Indicators

- Client explicitly requested safe, bond-like income to cover a specific monthly shortfall, but was placed into high-risk income products including below-investment-grade bonds and leveraged funds
- Over 67% of the portfolio was allocated to high-yield, leveraged, and emerging market debt instruments despite a documented 'conservative' risk tolerance
- Leveraged closed-end funds employing 30-40% structural leverage are inherently volatile and unsuitable

for investors who cannot tolerate principal loss

- Structured notes with conditional coupons created the risk of zero income in precisely the market conditions when the clients most needed stability
- Energy sector concentration in equity holdings added sector-specific risk to a portfolio that was supposed to prioritize capital preservation
- Advisor earned \$14,800 in commissions, suggesting product selection may have been influenced by compensation rather than client needs
- No proactive communication or portfolio rebalancing during a sustained market decline affecting clients dependent on portfolio income for basic living expenses
- Monthly income distributions varied from \$800 to \$2,400 against a required \$2,800, demonstrating the portfolio's fundamental failure to meet the stated objective

Regulatory Concern

Potential violations of FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that recommendations align with the customer's investment profile including risk tolerance, financial needs, and investment objectives. Regulation Best Interest under Exchange Act Rule 15l-1, particularly the Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, and the Conflict of Interest Obligation requiring policies to mitigate conflicts arising from commission-based compensation. FINRA Regulatory Notice 12-03 regarding heightened suitability obligations for recommendations involving complex or leveraged products. FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) may apply given the overall pattern of disregard for the clients' clearly stated needs. The firm may have violated FINRA Rules 3110 (Supervision) if supervisory systems did not flag the mismatch between the conservative risk profile and the aggressive income portfolio construction, particularly the leveraged and structured product allocations. State securities laws and fiduciary standards may also apply depending on the advisory relationship and registration status.

Recommended Action

The firm should immediately assign a senior compliance officer to review the Krueger accounts and assess whether the current portfolio should be restructured to align with their documented conservative income objectives. An independent suitability analysis should be conducted on each product recommendation relative to the clients' profile at the time of purchase. The firm should investigate Patricia Novak's full book of business to determine whether similar patterns of aggressive income product recommendations exist among other retired or conservative clients. Novak should be placed on heightened supervision with pre-approval requirements for all transactions pending investigation results. The firm should calculate total damages including principal losses, income shortfalls, and tax consequences from forced liquidations, and proactively engage the Kruegers regarding potential restitution or offer to facilitate FINRA arbitration. A Regulatory Element Continuing Education review and potential Form U5 amendment should be considered depending on findings. If a pattern of misconduct is identified, the matter should be escalated to FINRA Enforcement through a Rule 4530 filing, and the firm should evaluate systemic supervisory failures that allowed a conservative retiree account to be loaded with leveraged and structured products without triggering exception reports.

Red Flag Scenario 47

Topic: *private_placements_unsuitable*

Fact Pattern

Margaret Thornton, a 71-year-old retired schoolteacher in Boise, Idaho, had a total liquid net worth of approximately \$340,000, consisting primarily of a \$280,000 IRA rollover from her pension and \$60,000 in a savings account. Her monthly income was \$2,100 from Social Security, and she had no other sources of income. She told her financial advisor, Kevin Driscoll, that her primary goals were capital preservation and generating modest supplemental income to cover medical expenses, which were averaging \$800 per month. She explicitly stated she could not afford to lose any principal because the IRA was her only retirement cushion. Between March 2021 and November 2022, Driscoll recommended that Mrs. Thornton invest \$210,000 - approximately 75% of her IRA - into three separate private placement offerings: \$80,000 into a real estate development fund focused on luxury condominiums in Panama, \$70,000 into a startup oil and gas exploration limited partnership in West Texas, and \$60,000 into a private debt fund lending to early-stage cannabis companies. Each investment carried a minimum 5-to-7-year lockup period with no redemption rights, and the offering documents for each disclosed substantial risk of total loss of principal. The combined upfront commissions and placement fees paid to Driscoll across the three investments totaled approximately \$21,000, representing a blended commission rate of 10%. By late 2023, the Panama real estate fund had suspended distributions and disclosed construction delays and cost overruns, the oil and gas partnership reported two consecutive dry wells and warned investors of potential total loss, and the cannabis debt fund defaulted on interest payments to investors after several borrowers went bankrupt. Mrs. Thornton was unable to access any of the \$210,000 invested and had to begin drawing down her remaining \$70,000 in liquid savings to pay for medical bills and living expenses. She contacted a neighbor's son, an attorney, after receiving a notice that the cannabis fund was entering receivership.

Red Flag

A retired, income-dependent senior citizen with modest assets and a stated need for capital preservation was concentrated into illiquid, high-risk private placements with long lockup periods, generating outsized commissions for the advisor.

Red Flag Indicators

- 75% of the client's total retirement assets were placed into illiquid private placements with 5-to-7-year lockup periods
- Client was 71 years old and dependent on her IRA as her sole retirement cushion beyond Social Security
- Client explicitly requested capital preservation and stated she could not afford to lose principal
- The three investments were all high-risk, speculative ventures (foreign luxury real estate, oil exploration, cannabis lending) unsuitable for a conservative retiree
- Blended commission rate of approximately 10% across the investments, totaling \$21,000, indicating a financial incentive for the advisor to recommend these products
- No diversification across asset classes that matched the client's conservative risk profile - all three investments carried disclosed risk of total loss
- Client's remaining liquid assets (\$130,000) were insufficient to sustain her for a 5-to-7-year lockup period given her monthly expenses and lack of other income
- Advisor made three separate recommendations over 20 months, each deepening the concentration and illiquidity problem without any apparent reassessment of the client's situation

Regulatory Concern

This fact pattern raises serious concerns under FINRA Rule 2111 (Suitability), including both customer-specific suitability and quantitative suitability, as the recommendations were inconsistent with the client's age, risk tolerance, liquidity needs, investment objectives, and financial situation. FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) may also be implicated given the pattern of self-serving recommendations. Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 Section 15(l) applies if the transactions occurred in a broker-dealer capacity, requiring the advisor to act in the customer's best interest and satisfy the Care Obligation and Conflict of Interest Obligation. Additionally, FINRA's heightened suitability obligations concerning senior investors under FINRA Rule 2165 and related guidance are relevant. The concentration of 75% of assets in illiquid alternatives may also violate firm-level concentration limits and supervisory obligations under FINRA Rules 3110 and 3120.

Recommended Action

The firm's compliance department should immediately freeze any further private placement recommendations by this advisor and conduct a full book-of-business review of Driscoll's client accounts, with particular emphasis on senior and retired clients. A supervisory review should assess whether the branch manager approved each private placement transaction and whether adequate due diligence was performed on the offerings. The firm should file a complaint with its internal dispute resolution process and consider proactive restitution to Mrs. Thornton. A FINRA Dispute Resolution arbitration claim should be prepared on Mrs. Thornton's behalf seeking full compensatory damages. The firm should also evaluate whether a U5 amendment or regulatory filing is warranted, and consider referring the matter to FINRA Enforcement for investigation of potential pattern misconduct.

Red Flag Scenario 48

Topic: penny_stocks_unsuitable

Fact Pattern

Robert and Diana Castellano, ages 62 and 59 respectively, are a married couple in suburban Philadelphia. Robert is a recently retired warehouse supervisor with a \$175,000 IRA rollover and a \$45,000 joint brokerage account. Diana works part-time as a dental hygienist earning \$28,000 annually. Their combined monthly expenses are approximately \$4,200, and they carry \$22,000 in credit card debt. They opened accounts in January 2022 with broker Jason Meacham after attending a free dinner seminar at a local steakhouse where Meacham gave a presentation titled 'Retirement Income Secrets: How to Double Your Nest Egg in 36 Months.' On their new account forms, the Castellanos indicated a moderate risk tolerance and a primary investment objective of income with some growth. Beginning in February 2022, Meacham began recommending a series of micro-cap and penny stocks, many trading on the OTC Markets below \$1 per share, across both the IRA and joint brokerage accounts. Over the next 14 months, Meacham executed 137 transactions in 23 different penny stocks, including shares of a purported lithium mining company in Bolivia, a pre-revenue artificial intelligence diagnostics firm, a Chinese reverse-merger medical device company, and a blockchain-based real estate tokenization startup. The average holding period for positions was 11 days. Total commissions and markups paid by the Castellanos during this period were

approximately \$34,500, representing roughly 15.7% of their combined initial account value of \$220,000. By April 2023, the combined account value had declined to approximately \$71,000 - a loss of \$149,000 or 67.7% of their original investment. Several of the penny stocks Meacham recommended were later halted from trading by regulators or became completely worthless. Meacham had also failed to provide the Castellanos with the required penny stock risk disclosure documents before executing the initial transactions. The Castellanos discovered the extent of their losses only when they attempted to withdraw funds to pay for emergency dental surgery for Diana.

Red Flag

A near-retirement couple with moderate risk tolerance and income-oriented objectives was subjected to hyperactive trading in speculative penny stocks, resulting in excessive commissions and devastating portfolio losses.

Red Flag Indicators

- 137 transactions in 23 different penny stocks over 14 months, with an average holding period of just 11 days, indicating classic churning behavior
 - Total commissions and markups of \$34,500 on a \$220,000 account - a cost-to-equity ratio of approximately 15.7% - far exceeding any reasonable threshold
 - Client account forms indicated moderate risk tolerance and income-with-growth objectives, entirely inconsistent with speculative penny stock trading
 - Clients were ages 62 and 59 with limited retirement assets and existing credit card debt, making speculative trading wholly inappropriate for their financial profile
 - The advisor solicited clients through a misleading dinner seminar promising to 'double your nest egg in 36 months,' suggesting high-pressure and deceptive sales tactics
 - Penny stock risk disclosure documents were not provided to the clients before initial transactions were executed
 - Several recommended stocks were later halted from trading or became worthless, suggesting the advisor failed to conduct adequate due diligence on the securities
 - Portfolio suffered a 67.7% loss (\$149,000) in 14 months, a result grossly inconsistent with any moderate-risk investment strategy

Regulatory Concern

This fact pattern implicates multiple regulatory violations. FINRA Rule 2111 (Suitability) is violated on customer-specific, reasonable-basis, and quantitative suitability grounds, as penny stocks were entirely unsuitable for the Castellanos' profile, and the volume and frequency of trading were excessive regardless of the securities involved. The turnover rate and cost-to-equity ratio strongly suggest churning in violation of FINRA Rule 2020 (Use of Manipulative, Deceptive, or Other Fraudulent Devices) and Section 10(b) of the Securities Exchange Act of 1934 along with Rule 10b-5. The failure to provide penny stock risk disclosures violates Section 15(h) of the Securities Exchange Act and SEC Rule 15g-2 through 15g-9, which mandate specific written disclosures, suitability determinations, and customer agreements before executing penny stock transactions. Regulation Best Interest's Care Obligation and Disclosure Obligation are also implicated. The misleading dinner seminar may violate FINRA Rule 2210 (Communications with the Public) regarding misleading performance claims. FINRA Rule 3110 (Supervision) is implicated if the firm failed to flag the extraordinary volume, commissions, and concentration in penny stocks.

Recommended Action

The Castellanos should immediately file a FINRA arbitration claim seeking compensatory damages for the full \$149,000 in losses plus excess commissions of \$34,500, along with interest, costs, and attorneys' fees. The firm should be required to produce all account documentation, trade confirmations, and supervision records. A regulatory complaint should be filed with FINRA Enforcement requesting an investigation into Meacham's trading practices across all customer accounts, with particular attention to whether other dinner seminar attendees were similarly harmed. The firm's compliance department should conduct an immediate review of Meacham's entire book of business, suspend his ability to execute penny stock transactions, and place him under heightened supervision pending investigation. FINRA should evaluate whether an expedited temporary cease-and-desist order is warranted to protect other investors, and the firm should assess potential U5 termination disclosure obligations.

Red Flag Scenario 49

Topic: penny_stocks_unsuitable

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher in Tucson, Arizona, opened a brokerage account in March 2022 with \$340,000 in retirement savings. She told her financial advisor, Derek Simmons, that she needed the money to cover living expenses, supplement her \$1,800 monthly pension, and pay for potential assisted living costs within the next three to five years. She described herself as conservative and said she could not afford to lose her principal. Her account application listed her risk tolerance as 'low' and her investment objective as 'income and capital preservation.' Between April 2022 and February 2023, Simmons executed 47 separate purchases of penny stocks - shares of micro-cap and nano-cap companies trading below \$1.00 per share on the OTC markets - across Mrs. Holloway's account. The companies included a speculative lithium mining startup, a pre-revenue cannabis biotech firm, a shell company purportedly developing drone delivery technology, and several other entities with no meaningful revenues or audited financials. At least 12 of the stocks had been the subject of promotional email campaigns. Simmons concentrated approximately 78% of Mrs. Holloway's portfolio - roughly \$265,000 - in these penny stock positions. Many of the trades involved wide bid-ask spreads of 15% to 40%, resulting in immediate unrealized losses upon purchase. Simmons also charged a \$75 per-trade commission on each OTC transaction, generating approximately \$3,525 in commissions for himself over the ten-month period. By June 2023, the penny stock positions had collectively lost 83% of their value, reducing Mrs. Holloway's account from \$340,000 to approximately \$94,000. Several of the stocks became completely illiquid, with no active market makers, leaving Mrs. Holloway unable to sell. When she called Simmons to express alarm, he told her the stocks were 'about to pop' and urged her to buy more shares to average down her cost basis. Mrs. Holloway's daughter discovered the account statements in August 2023 and reported the situation to the firm's branch manager.

Red Flag

A conservative, elderly, income-dependent retiree's account was overwhelmingly concentrated in highly speculative, illiquid penny stocks with no connection to her stated financial needs or risk tolerance.

Red Flag Indicators

- 78% portfolio concentration in penny stocks for a client with a 'low' risk tolerance and 'capital

preservation' objective

- Client is a 71-year-old retiree dependent on savings for living expenses and potential assisted living costs within 3-5 years
- 47 purchases of OTC micro-cap and nano-cap stocks in a 10-month period, many associated with promotional campaigns
- Wide bid-ask spreads of 15%-40% causing immediate embedded losses on each purchase
- Multiple positions became completely illiquid with no active market makers, creating a severe liquidity mismatch
- Advisor encouraged the client to invest additional funds to 'average down' after catastrophic losses of 83%
- Stocks purchased included shell companies, pre-revenue firms, and entities lacking audited financial statements
- Advisor generated \$3,525 in per-trade commissions on speculative OTC trades inappropriate for the client's profile

Regulatory Concern

This fact pattern raises concerns under FINRA Rule 2111 (Suitability), including the customer-specific, reasonable-basis, and quantitative suitability obligations. The advisor failed to have a reasonable basis to believe penny stocks were suitable for a conservative, elderly, income-dependent retiree. The extreme concentration in speculative securities also potentially violates Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Section 15(l), specifically the Care Obligation requiring the advisor to exercise reasonable diligence and consider reasonably available alternatives. FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) may also be implicated. Additionally, penny stock transactions involving non-exempt securities may trigger disclosure requirements under SEC Rule 15g-9 (Penny Stock Rules) and Exchange Act Section 15(h). The recommendation to average down after massive losses could constitute further unsuitable advice. If the advisor was aware that the stocks were subjects of promotional campaigns, concerns under Section 17(b) of the Securities Act regarding undisclosed compensation for stock promotion may arise. Senior exploitation concerns are also relevant under FINRA Rule 2165 and applicable state senior investor protection statutes.

Recommended Action

The firm's compliance department should immediately freeze the account to prevent further penny stock purchases and place a heightened supervision restriction on Derek Simmons's activities. A full trade-by-trade reconstruction of the account should be conducted to calculate total losses, commissions, and bid-ask spread costs. The firm should file a FINRA Rule 4530 regulatory event report and consider whether a Suspicious Activity Report is warranted. An internal investigation should examine whether Simmons received undisclosed compensation or promotional fees related to the penny stocks. The branch manager's supervisory practices should be reviewed for failure to detect the pattern earlier. The firm should consider offering restitution to Mrs. Holloway and cooperating with any subsequent FINRA examination or enforcement inquiry. Simmons's other client accounts - particularly those of senior investors - should be reviewed for similar penny stock concentration patterns. The firm should also evaluate whether an elder financial exploitation report to Arizona Adult Protective Services is required under state law.

Red Flag Scenario 50

Topic: high_fees_unsuitable

Fact Pattern

Robert and Janet Chen, both age 58, are a dual-income couple in suburban Chicago earning a combined \$135,000 annually. In January 2021, they rolled over Robert's 401(k) worth \$520,000 and Janet's IRA worth \$210,000 into advisory accounts managed by their financial advisor, Craig Whitfield, at a regional broker-dealer. The Chens told Whitfield they planned to retire at age 65 and wanted steady growth with moderate risk. They had no prior experience with complex investment products. Between January 2021 and December 2023, Whitfield placed the Chens' combined \$730,000 into a portfolio consisting almost entirely of high-cost products: (1) \$290,000 in Class C shares of five different mutual funds, each carrying annual 12b-1 fees of 1.00% and annual expense ratios ranging from 1.65% to 2.10%; (2) \$195,000 in two variable annuities with combined annual mortality, expense, and administrative charges of 1.45%, plus sub-account expense ratios averaging 1.15%, and surrender periods of eight years with declining surrender charges starting at 8%; (3) \$155,000 in a non-traded REIT charging a 7% upfront sales load, 1.5% annual asset management fee, and additional acquisition and disposition fees; and (4) \$90,000 in a structured product with a 3.5% upfront placement fee and annual costs totaling approximately 2.2%. In total, the Chens paid approximately \$51,100 in upfront loads, commissions, and placement fees, plus ongoing annual costs estimated at \$18,400 per year - representing an all-in annual expense drag of approximately 2.71% on their \$730,000. Whitfield earned approximately \$38,000 in commissions and trail compensation during this period. Lower-cost alternatives were readily available: comparable index fund portfolios with blended expense ratios of 0.08%-0.15%, or institutional share classes of the same mutual fund families at 0.45%-0.70%. The Chens discovered the fee structure in late 2023 when they consulted a fee-only financial planner for a second opinion. By that point, their portfolio had grown to only \$742,000 despite the broader market having returned over 25% cumulatively during the same period - meaning fees had consumed the vast majority of their investment gains. When they attempted to liquidate the variable annuities, they were informed they would owe approximately \$23,400 in surrender charges.

Red Flag

A moderate-risk couple approaching retirement had their entire \$730,000 retirement portfolio placed into uniformly high-cost, high-commission products when substantially cheaper alternatives were readily available, resulting in an annual fee drag of approximately 2.71% that consumed most of their investment returns.

Red Flag Indicators

- All-in annual expenses of approximately 2.71% (\$18,400/year) on a \$730,000 retirement portfolio when comparable low-cost alternatives existed at a fraction of the cost
- Exclusive use of Class C mutual fund shares - which carry the highest ongoing fees - rather than lower-cost share classes or index funds for a long-term retirement investor
- Variable annuities with 8-year surrender periods and 8% initial surrender charges placed inside tax-advantaged retirement accounts where the annuity's tax-deferral feature provides no incremental benefit
- A 7% upfront load on a non-traded REIT representing \$10,850 in immediate costs, combined with severe illiquidity inappropriate for pre-retirees needing access within 7 years

- Advisor earned approximately \$38,000 in commissions and trail compensation, creating a strong economic incentive to recommend high-cost products over low-cost alternatives
- Portfolio performance lagged the broader market by roughly 22 percentage points over three years, with fees accounting for the majority of the shortfall
- The Chens had no prior experience with complex products like variable annuities, non-traded REITs, or structured products, suggesting they could not meaningfully evaluate cost implications
- Surrender charges of \$23,400 effectively trapped the clients in unsuitable products, creating additional ongoing harm

Regulatory Concern

This fact pattern potentially violates Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Section 15(l), particularly the Care Obligation (requiring consideration of costs and reasonably available alternatives), the Disclosure Obligation (requiring full and fair disclosure of all material fees, conflicts, and compensation), and the Conflict of Interest Obligation (requiring policies to identify and mitigate conflicts arising from the advisor's compensation structure). FINRA Rule 2111 (Suitability) is implicated with respect to whether the specific share classes and product types were suitable given the clients' investment horizon, risk tolerance, and the availability of lower-cost alternatives. FINRA Regulatory Notice 12-25 addresses share class suitability and the obligation to recommend the most appropriate share class. The placement of variable annuities inside qualified retirement accounts raises additional suitability concerns under FINRA Regulatory Notice 07-53 and FINRA Rule 2330 (Variable Annuity transactions), which require heightened scrutiny and a reasonable basis to believe the annuity features justify the additional costs. Non-traded REIT suitability and concentration limits are addressed under FINRA Regulatory Notice 15-02. The advisor's compensation-driven product selection may also implicate FINRA Rule 2010 (Standards of Commercial Honor) and potentially constitute a breach of the duty to deal fairly with customers. If the advisory accounts are subject to the Investment Advisers Act of 1940, Sections 206(1) and 206(2) concerning fraud and fiduciary duty may also apply.

Recommended Action

The firm should initiate an immediate compliance review of the Chens' accounts, including a cost-benefit analysis comparing the products recommended against lower-cost alternatives available at the time of each recommendation. A reconstruction of the advisory fee and commission revenue generated for Whitfield should be completed. The firm should consider converting the Class C shares to institutional or lower-cost share classes and explore whether surrender charge waivers can be negotiated with the annuity carriers. Full restitution of excess fees - the difference between what the Chens paid and what they would have paid in reasonably available lower-cost alternatives - should be calculated and offered. The firm should file supervisory reports under FINRA Rule 3110 and evaluate whether a FINRA Rule 4530 event report is required. Whitfield's entire book of business should be audited for similar patterns of high-cost product concentration, particularly among retirement rollover accounts. The firm should enhance its product shelf oversight to flag advisors who disproportionately recommend high-commission products and implement automated alerts for accounts with all-in costs exceeding benchmark thresholds. If a pattern of systematic cost-insensitive recommendations is found, referral to FINRA Enforcement and cooperation with any resulting investigation is recommended.